



The Claremont City Council will hold a public meeting on Wednesday, December 11, 2024, at 6:30 p.m. in the Council Chambers of City Hall.

AGENDA (Revised)

- 6:30 PM 1. PLEDGE OF ALLEGIANCE
- 6:32 PM 2. ROLL CALL
- 6:34 PM 3. AGENDA CHANGES
- 6:35 PM 4. REPORT OF THE SECRETARY
- 6:37 PM 5. MAYOR'S NOTES
- 6:42 PM 6. CITY MANAGER'S REPORT
- 6:55 PM 7. APPOINTMENT TO BOARDS AND COMMITTEES
 - a. Removal Planning Board Member- Giosi-Woods
 - b. Removal Zoning Board Member- Russell
- 6:45 PM 8. CITIZEN'S FORUM (Comments on Non-agenda Items Limited to 5 Minutes per Speaker (Council Rule 24))
- 9. OLD BUSINESS
- 6:55 PM A. Resolution 2025-23 Washington Street Paving Plan – Public Hearing (City Manager/Director of Finance)
- 7:10 PM B. Resolution 2025-27 Authorization to Borrow Parks and Recreation Bus- Public Hearing (City Manager/Director of Finance)
- 7:20 PM C. Four Day Work Week (City Council)
- 10. NEW BUSINESS
- 7:35 PM A. FY23 Final Audit Presentation (City Manager/Director of Finance)
- 7:50 PM B. Resolution 2025-28 Auth to Purchase Parking Lot, Map-Lot 120-25 and 120-26 – Public Hearing (City Manager/Director of Finance)
- 8:05 PM C. Resolution 2025-29 Taxi-way Alpha Grant Approval – Public Hearing (City Manager/Fire Chief)
- 8:15 PM D. Resolution 2025-30 Center for Tech and Civic Life Grant Acceptance – Public Hearing (City Manager/City Clerk)
- 8:35 PM E. 79E Application - 174 Broad Street – Public Hearing (City Manager/City Planner)
- 8:45 PM 11. COMMITTEE REPORTS
- 8:50 PM 12. FUTURE AGENDA ITEMS AND DIRECTIVES
- 8:55 PM 13. CONSULTATION WITH LEGAL COUNSEL
- 9:00 PM 14. ADJOURNMENT

PLEASE NOTE: Claremont City Council's next scheduled meeting will be on Wednesday, January 8, 2025

Contemporaneous meeting notes for use with other resources in preparation of draft minutes
MEMBERS – PERSONS appearing – BRIEF DESCRIPTION – DECISIONS. RSA 91-A:2.

The Claremont City Council held a meeting on Wednesday, November 6, 2024, in the Council Chambers of City Hall.

The meeting was called to order by Mayor Girard at 6:30 p.m.

Members of the Council present:

Ward I Councilor Andrew O'Hearne
Ward II Councilor Brian Zutter
Ward III Councilor Jonathan Hayden – Absent
Assistant Mayor Debora Matteau
At-Large Councilor William Greenrose
At-Large Councilor Wayne Hemingway
At-Large Councilor William Limoges
At-Large Councilor Nicholas Koloski
Mayor Dale Girard

Also present:

Yoshi Manale, City Manager

A motion was made by Assistant Mayor Matteau and seconded by Councilor Limoges to suspend Council Rules and adding a discussion of a removal from boards and committees.

Roll call:

**Koloski – no
Greenrose – yes
Limoges – yes
Matteau – yes
Zutter – yes
Hemingway – yes
O'Hearne – no
Girard – yes
Motion carried 6-2**

A motion was made by Assistant Mayor Matteau and seconded by Councilor Greenrose to enter a non- public for RSA 91-A;3II(d), inviting the City Manager to attend.

Contemporaneous meeting notes for use with other resources in preparation of draft minutes
MEMBERS – PERSONS appearing – BRIEF DESCRIPTION – DECISIONS. RSA 91-A:2.

Roll Call:

Koloski – yes

Greenrose – yes

Limoges - yes

Matteau – yes

Zutter – yes

Hemingway – yes

O’Hearne – yes

Girard – yes

Motion carried -8-0

FRANCES J. TOLLES HOME DISCUSSION

Mayor Girard expressed anything that is not in the public Council packet will not be discussed.

Manager Manale presented a redlined example of changes from the 1988 bylaw resolution.

Mayor Girard read through the changes.

Discussion

Councilor Greenrose asked why have more than one ex officio member; Manager Manale added this for the flexibility.

Councilor O’Hearne shared concern about the old resolution, and suggested a sub-committee be formed from the Tolles Home for their bylaws, and then have it brought in front of Council.

Councilor Zutter agrees to some extent, but believes this red-line version is a good first step.

Councilor Limoges noted these were good changes, but wants to see no board members can hold more than one position at a time. Councilor Limoges also suggested a site manager should have some credentials with elder care, and building maintenance.

Councilor Greenrose noted this was a good document to send back to the Tolles Home, contains language that is nondiscriminatory, and thinks this is a good launching point for them.

Assistant Mayor Matteau stated the redline resolution is a good start, and suggested changing the ex officio to clean-up, and wants to see 91-A being followed at board meetings.

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Councilor Koloski wanted to emphasize this is a City board, and wants to make sure training is extended like all other boards.

Councilor Koloski noted being comfortable with going forward and hearing comments about the bylaws.

Councilor Hemingway agreed as long as it's within the packet document.

Council Agreed to listen to public comment about the presented bylaws with a time limit of three minutes each.

Susan Mokol- Resident at Tolles Home was curious about discrimination laws, because there are men, women, and couples living in the Tolles Home and shared concern because some women are living there specifically because they have issues with men.

Deb Snelling, Ward III, stated the assumption was the residents were expecting to give statements at tonight's meeting at the recommendation of Councilor O'Hearne, and noted there will be a subcommittee being put together in November to work on bylaws, and taking it one step at a time.

Peggy Demeris, Ward II, asked what brought this discussion on for bylaws, and noted just having a 100-year party for Mrs. Tolles. Peggy stated these women that live there, are there because they feel safe, and having men come in and saying there are going to be changes are scaring them and would like Council to take that into consideration.

A motion was made by Councilor Limoges and seconded by Councilor Zutter to accept amended Frances J. Tolles Home by laws.

Councilor Koloski stated having no interest in formally adopting or accepting these changes until they go back to the Tolles Home Board, Councilor Koloski noted this could be the version that goes back and gets incorporated to what they are going to work on and come back with.

Councilor O'Hearne agrees with this.

Councilor Zutter agrees this is a first step forward.

Assistant Mayor Matteau wants to at least clean up the appointment issue of adding a Council member.

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Councilor Koloski noted voting no to adding Councilor O'Hearne as a board member being unsure of the authority to do so.

Mayor Girard noted the 91-A doesn't necessarily need to be put in there as it is a law for all boards.

Roll call:

Koloski – no

Greenrose – yes

Limoges - yes

Matteau – yes

Zutter- yes

Hemingway -no

O'Hearne – no

Girard – yes

Motion carried 5-3

BOARD MEMBER REMOVAL

Assistant Mayor Matteau wants to discuss the removal of a member of the planning board who has missed most of the meetings; John Woods-Giosi, and would like to make a motion to remove him.

Councilor Koloski wasn't in favor of adding this to the agenda, and wants this officially posted, and would like to afford the proper process of placing it on a public agenda.

Councilor Hemingway agrees; thinks the individual should have the opportunity to weigh in on it, and thinks it should be publicly noticed.

City Council agrees to add this to the December agenda.

ADJOURNMENT

At 7:01 p.m., a motion was made by Councilor Limoges and seconded by Councilor Hemingway to adjourn.

Voice vote:

Koloski – yes

Greenrose – yes

Limoges - yes

Matteau – yes

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Zutter – yes
Hemingway – yes
O’Hearne – no
Girard – yes
Motion carried 7-1

Respectfully Submitted,

Julia A. Bizzarro
Clerk to the Council

Contemporaneous meeting notes for use with other resources in preparation of draft minutes
MEMBERS – PERSONS appearing – BRIEF DESCRIPTION – DECISIONS. RSA 91-A:2.

The Claremont City Council held a meeting on Wednesday, November 13, 2024, in the Council Chambers of City Hall.

The meeting was called to order by Mayor Girard at 6:30 p.m.

Members of the Council present:

Ward I Councilor Andrew O'Hearne
Ward II Councilor Brian Zutter
Ward III Councilor Jonathan Hayden
Assistant Mayor Debora Matteau
At-Large Councilor William Greenrose
At-Large Councilor Wayne Hemingway
At-Large Councilor William Limoges
At-Large Councilor Nicholas Koloski
Mayor Dale Girard

Also present:

Yoshi Manale, City Manager

AGENDA CHANGES

None.

REPORT OF THE SECRETARY

A motion was made by Councilor O'Hearne and seconded by Councilor Limoges to accept the minutes of the October 23rd, 2024, City Council meeting.

Councilor Limoges noted on Page 8 Fire wall should be spelled Firewell Block

Councilor Koloski discussed Page 5 should have had his questions and discussion on repeaters, and this information going into the CIP and what the Chief responded, along with if Claremont cruisers had camera.

Councilor O'Hearne and Councilor Limoges were okay with these changes

Voice vote:

Koloski – yes

Greenrose – yes

Contemporaneous meeting notes for use with other resources in preparation of draft minutes
MEMBERS – PERSONS appearing – BRIEF DESCRIPTION – DECISIONS. RSA 91-A:2,

Limoges - yes
Matteau – yes
Zutter – yes
Hemingway – yes
Hayden – yes
O’Hearne – yes
Girard – yes
Motion carried 9-0

MAYOR’S NOTES

Friday November 15, from 10am to noon, Borden’s Mattress is celebrating 100 years of business, they will be providing tours of their facility, registration will be on the Claremont Chamber of Commerce website.

Saturday November 23rd, the Claremont Hannaford will be hosting a stuff a truck from 8am to 3pm. They are accepting non-perishable items which will be donated to local food pantries.

72 Pleasant Street on November 23rd at 6pm the New Well Collaborative will be hosting a soft opening social event.

Friday November 29th, Claremont Parks and Recreation will be hosting their annual Christmas tree lighting in Broad Street Park starting around 6pm.

CITY MANAGER’S REPORT

Manager Manale noted the Early Care and Education Association of the Upper Valley Region plans to expand to Claremont because of the growing childcare needs of employees living in Claremont.

Announcing the City has hired a deputy director of Planning and Development who will be focused on implementing our plan for economic growth for the City. Todd Workman is an experienced developer who has played a vital role in revitalizing downtown Franklin, New Hampshire.

Merchant McIntyre is here to discuss workforce challenges, and noted this has been a very successful partnership.

Jason Lever and Tristan Southard from Merchant McIntyre gave a presentation:



Federal Funding Update

November 13, 2024

Presented By:

Tristan Southard, Associate Vice President, Legislative Strategy
Jason Lever, Government Relations Associate



Partnership Update

- MM began its engagement with Claremont in January of 2023 to conduct a Resource Inventory and develop a comprehensive Federal Funding Strategy and Federal Grants Grid.
- In implementing the strategy and grid, MM has provided full-service government relations for the City, including federal grants forecasting, grant writing, and legislative advocacy.
- To date, Claremont and MM have secured over \$3.7 million in federal funding for the City's public safety, surface transportation, and economic development priorities, yielding a ROI of 16:1.



Awarded Funding – Surface Transportation and Trails

- \$1.46 million for design and engineering to redevelop and enhance Charlestown Road (Source: DOT RAISE).
- \$320,000 for the development of a county-wide Safe Streets and Roads for All Action Plan (Source: SS4A).
- \$30,000 to reconstruct the trestle bridge along the Sugar River Recreational Trail.
- \$10,000 to design a pedestrian path connecting Wall Street in downtown Claremont to the existing rail trail bridge along the south side of the Sugar River.



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Awarded Funding – Economic Development and City Infrastructure

- \$444,000 for development at the Claremont Creative Center (Source: NBRC).
- \$50,000 for the Claremont Business Innovation Downtown (BID) Program (Source: USDA RBDG).
- Assisted in the drawdown of a \$100,000 award to install sprinklers in the historic Claremont Opera House and City offices (Source: Congressionally Directed Spending).



Awarded Funding – Public Safety

- \$1.3 million to upgrade the Claremont Police Department's emergency radio system and record keeping system (Source: Congressionally Directed Spending).
- \$40,000 for the Claremont Police Department to purchase new body-worn cameras to replace CPD's outdated inventory (Source: SRT-BWC).
- \$20,000 to purchase and install smoke detectors in Claremont's residential areas (Source: FEMA).



Pending Applications

- \$850,000 for the Sugar River Revitalization and Brownfields Redevelopment River Project (Source: Congressionally Directed Spending).
- \$136,000 proposal to the NH Department of Energy to install solar panels on the roof of the Claremont Community Center.
- \$180,000 for pedestrian safety infrastructure through the SS4A Planning and Demonstration Program.



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Upcoming Applications

- Surface Transportation
 - SS4A Implementation Grants
- Public Safety
 - FEMA AFG
- Economic Development
 - EDA Public Works and Economic Adjustment Assistance
- Workforce Development
 - EDA, DOL, HRSA, NBRC funding opportunities.



Washington D.C. Update



Councilor Greenrose thanked both Jason and Tristan for the information, and noted these were impressive wins and asked if the any of these were low hanging fruit or easy to get.

Tristan noted it was a testament to how much work the City puts in. Many of these opportunities were very competitive on a nationwide level, and is confident with this process the City will continue to see success.

APPOINTMENT TO BOARDS AND COMMITTEES

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MEMBERS – PERSONS appearing – BRIEF DESCRIPTION – DECISIONS. RSA 91-A:2.

A motion was made by Councilor Koloski and seconded by Assistant Mayor Matteau to appoint Austin Ford to represent the City of Claremont to the Upper Valley Lake Sunapee Regional Planning Commission Transportation Advisory Committee.

Voice vote:

Koloski – yes

Greenrose – yes

Limoges - yes

Matteau – yes

Zutter – yes

Hemingway – yes

Hayden – yes

O'Hearne – yes

Girard – yes

Motion carried 9-0

A motion was made by Councilor Limoges and seconded by Councilor Koloski to appoint Ted Wadleigh as the alternate to represent the City of Claremont to the Upper Valley Lake Sunapee Regional Planning Commission Transportation Advisory Committee.

Voice vote:

Koloski – yes

Greenrose – yes

Limoges - yes

Matteau – yes

Zutter – yes

Hemingway – yes

Hayden – yes

O'Hearne – yes

Girard – yes

Motion carried 9-0

CITIZEN'S FORUM

Mayor Girard gave reminder that Citizen's forum is designed to allow you the opportunity to make the Council aware of your concerns. Please state your name and ward number, we ask you to address your concerns directly to the Council. The Council Manager will not be responding to you during this time. You are limited to five minutes on any non-agenda items. In the back of the

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room please write down your contact information if you'd like to be contacted as well as your concern on the clipboard for follow up.

Stephen Fitch, Ward I, stated he was glad to hear work is being done at the trestle bridge, and noted crossing the bridge 69 times over the last eight years, claiming it does need improvement. Mr. Fitch is hoping to walk on a newly constructed bridge soon.

OLD BUSINESS

Resolution 2025-24 Recreational Trails Program Grant

Director Martin presented Resolution 2025-24 and shared a presentation of photos of trestle bridge.

These photos displayed how the decking is lifting, boards missing, and added, vegetation growing on the side. Director Martin noted this Grant includes a 20% in-kind match from the City.

Councilor Greenrose asked if the steel trestles are solid, because the memo from Beta Group stated the steel was in good condition, but decking did need to be re-done.

Councilor Hayden noted that the Beta Group also mentioned deteriorating concrete of the wall and asked if this was going to be fixed later on, Director Martin stated that is not part of the scope of this project.

Mayor Girard thanked Director Martin for putting this together and agrees with Mr. Fitch, and questioned the timeline on receiving grant funding. Director Martin added, the endangered species project takes a long time. Mayor Girard then asked if there will be \$20,000.00 added to the budget for 2025, Director Martin replied yes.

Mayor Girard stated he thinks this project needs to be done, and it's really important.

A motion was made by Assistant Mayor Matteau and seconded by Councilor Greenrose to accept resolution 2025-24

Assistant Mayor Matteau read Resolution 2025-24 into the record.

Councilor Hayden questioned the volunteer scope; Manager Manale will look into it.

Mayor Girard opened a public hearing, no one spoke. Mayor Girard closed the public hearing.

Roll call:

Koloski – yes

Greenrose – yes

Limoges - yes

Contemporaneous meeting notes for use with other resources in preparation of draft minutes
MEMBERS – PERSONS appearing – BRIEF DESCRIPTION – DECISIONS. RSA 91-A:2

Matteau – yes
Zutter – yes
Hemingway – yes
Hayden – yes
O’Hearne – yes
Girard – yes
Motion carried 9-0

NEW BUSINESS

2025-25 Capital Budget

Director Martin stated to the Council he is seeking approval for three items. Arrowhead bathroom facilities, Barnes Park bathroom facilities, and a splash pad.

Director Martin noted Arrowhead bathrooms were built back in 1960 and do not meet ADA standards. The proposed costs to upgrade the facilities is \$52,910.00. The original plan submitted in the packet came in at roughly \$19,000.00. That original plan was drawn up by the late Leon Hobbs, and was to renovate two-bathrooms on the lower level of the lodge to bring them up to ADA compliance. In the current proposal Director Martin would like to demo one side of the restroom facilities, which is the woman’s bathroom side in the lower lever of the lodge to create more recreational space for visitors as they enter the lodge, and reconstruct the other side of the bathrooms, which is the men’s side by creating two ADA compliant single unit bathrooms, and one standard bathroom totaling three single bathrooms facilities.

Barnes Park Bathroom Facilities are close to one-hundred years old, largest issue is there is no hand washing sink in men’s bathroom. Parks has been paying for portable bathrooms. The proposed cost to upgrade these facilities is \$50,380.00.

Director Martin shared photos of both Arrowhead and Barnes Park facilities.

Councilor Koloski stated concerns about the scope of the project from entering into agreement with Arrowhead to now. Councilor Koloski asked if someone from the organization is coming to speak on this.

Manager Manale stated this is part of CIP, reiterated the City’s obligation is the ADA bathrooms. Councilor Zutter stated he was not recusing himself from conversation because there is more to this than ARC, but noted ARC was part of the conversation with Director Martin and thinks its serves the purpose of this area better.

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Assistant Mayor Matteau asked if the initial \$19,000.00 would still will satisfy having an ADA compliant bathroom. And shared concern having to answer to taxpayers, because the perception of the public would be putting public money into a private business.

Director Martin retracted his previous statement, and stated he does not think \$19,000.00 would facilitate the ADA compliant bathrooms as this quote was from over a year ago.

Assistant Mayor Matteau suggested being willing to allocate \$25,000.00 because prices have gone up but wants this to move forward.

Councilor Koloski stated he appreciates this process but there are other things in CIP, and wants to meet obligations, Councilor Koloski noted he is comfortable with putting \$25,000.00 to go forth on this project.

Barnes Park:

Councilor Koloski noted restrooms and grandstands have been on the CIP for a while, but shared concern to focus on areas people are breaking into.

Manager Manale stated the cost of renovating is high, and is looking into a removal.

Councilor Koloski shared concern for putting money into something that would be demo' d .

Mayor Girard shared concern about fire damage.

Councilor Greenrose asked if the demo of grandstand is in this budget and is it a threat a threat to bathrooms.

Assistant Mayor Matteau suggests a total of \$75,000.00 for the bathroom upgrades.

Councilor Limoges agrees.

Splash Pad:

Director Martin noted the proposed Splash pad will cost \$324,573.00 form Watersplash Inc. and they will hold this bid until the end of year.

Director Martin noted the average annual cost is \$5,000.00 to \$30,000.00 in water usage, recycling, recirculating, electricity, maintenance, chemicals, and labor(staff).

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Assistant Mayor Matteau asked if the operating cost estimates for 3 months or 4-5 months. Director Martin said it depends and that's why range is so vast.

Councilor Koloski asked if the design has the ability to add on features, Director Martin stated add and exchange.

Assistant Mayor Matteau is in favor of the splash pad.

Councilor Limoges shared concerns for kids causing problems.

Director Martin noted Barnes Park has recently been a hot spot for vandalism, but one way to deter negativeness would be more traffic, and more eyes on the park, this would create promoting a positive recreation.

Hemingway shared concern for the vandalism, and thinks it would be better if it was in closer proximity to the Recreation Center.

Councilor Zutter stated loving the idea of this but can't support it.

Councilor Greenrose shared concern over 20k-50K on bathrooms, when this project is \$300K+, and thinks vandalism will happen at night when no one is around.

Mayor Girard agrees with Councilor Zutter and stated there are many issues that should be addressed.

Assistant Mayor Matteau stated if they are not getting a splash pad, she wants all this money to go to paving.

Director Bates stated the CIP cannot change its purpose.

Councilor Koloski is in favor of moving \$75,000.00 for bathrooms.

A motion was made by Councilor Limoges and seconded by Councilor Greenrose to accept the Capital budget amended to the amount of \$75,000.00 for ADA compliant bathrooms.

Councilor Limoges read resolution 2025-25 into the record.

Mayor Girard opened a public hearing, no one spoke. Mayor Girard closed the public hearing. opened/closed.

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Councilor Hayden asked to clarify, if the \$75,000.00 isn't enough will this be coming back to ask for more money.

Manager Manale replied the City will work within the \$75,000.00 to make the project work. Otherwise, the City will find appropriations.

Roll call:

Koloski – yes

Greenrose – yes

Limoges - yes

Matteau – no

Zutter – no

Hemingway – yes

Hayden – no

O'Hearne – no

Girard – yes

Motion carried 5-4

Resolution 2025-26 Authorization to Borrow 17 Water Street Property

Manager Manale presented Resolution 2025-26 and stated the City has been in negotiations with the state for Water Street. City Finance Director, Nancy Bates reached out to Claremont Savings Bank for a loan, and noted this is a building occupied by the state for almost 40 years, until July. If City Council allows the Manager to move forward with this loan final approval will be held in January.

A motion was made by Councilor Zutter and seconded by Councilor Hayden to accept resolution 2025-26.

Councilor Zutter read Resolution 2025-26 into the record.

Discussion:

Councilor Koloski shared concerns about carrying costs, and stated he wished to have had this information prior, and then asked if the City reached out to Primex.

Manager Manale noted any costs included in this building will be incorporated within this sale.

Assistant Mayor Matteau stated the City needs to control this scenario, and with the City owning it, there shouldn't be a problem finding a developer.

Contemporaneous meeting notes for use with other resources in preparation of draft minutes
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Councilor Limoges agrees the City needs to do this so the City can control who goes into this property.

Councilor Koloski noted it's a wet sprinkler system and would have to operate heat for every floor assuming when last sprinkler inspection was done, and annual fire alarm inspection was completed.

Manager Manale reminded the Council this building is valued at 1.4 million and the City will be getting it for \$700,000.00.

Councilor Koloski stated wanting to control the tenant that goes into this property.

Manager Manale stated the point of the RFP is to vet developers.

Councilor Greenrose asked if are we obligated to the best bid.

Manager Manale stated we don't have to sell to the highest bidder.

Councilor Koloski asked what account is the heating expense coming out of and what the cost would be.

Mayor Girard opened a public hearing, no one spoke. Mayor Girard closed the public hearing.

Roll call:

Koloski – no

Greenrose – yes

Limoges – yes

Matteau – yes

Zutter – yes

Hemingway – yes

Hayden – yes

O'Hearne – no

Girard – yes

Motion carried 7-2

Resolution 2025-27 Authorization to Borrow Parks and Recreation Bus

Director Bates presented Resolution 2025-27 and noted this is for the replacement of the current parks and recreation bus and first payment was voted on in the 25 budget.

Director Martin mentioned it would be a 2024/2025 model 14 + 1 driver passenger bus with a standard

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warranty period.

Councilor Limoges suggested not to purchase another Mercedes.
Councilor Koloski asked if Parks and Recreation will be trading current bus.

Director Martin stated it will go onto Municibid, no trade.

City Council agrees by Consensus to wait until the RFP comes in.

Merit System Change – Prorated Leave

Human Resource Director, Jamie Young explained the Merit System update to the Council regarding prorated leave.

The Council had no objections.

COMMITTEE REPORTS

Assistant Mayor Matteau noted the Planning Board granted a new extension for a solar project. Mayor Girard noted the CDA discussed the roof, and its going back out to bid. Mayor Girard noted the Airport Committee met at the end of October, brought a few projects forward, and there may be hangars developed, also discussing a weather station.

FUTURE AGENDA ITEMS AND DIRECTIVES

Councilor Hayden asked for Washington St.
Manager Manale stated the Council requested a full audit report first, and will be on for December meeting.

Assistant Mayor Matteau asked for the 4-day work week to be put back on for the December meeting.

Councilor Koloski wants an update on water meter hold overs and the ability to read meters remotely, and asked if everyone changed over or are we paying employees to go read only 4-5 locations.

Councilor Limoges wants a smokestack update.
Manager Manale noted the EPA gave an estimate- and suggested taking down the other facility, looking at full cost through engineer.

Councilor Koloski would like an update on Sullivan Street.

CONSULTATION WITH LEGAL COUNSEL

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None.

ADJOURNMENT

A motion was made by Councilor O’Hearne and seconded by Councilor Limoges to adjourn.

Voice vote:

Koloski – yes

Greenrose – yes

Limoges - yes

Matteau – yes

Hemingway – yes

Zutter – yes

Hayden – yes

O’Hearne – yes

Girard – yes

Motion carried 9-0

Respectfully Submitted,

Julia A. Bizzarro
Clerk to the Council

DEPARTMENT: PUBLIC WORKS
November 2024 MONTHLY REPORT

Department Highlights:

Pot hole patching has been ongoing through-out the city

Road maintenance with ditching and shoulder work in preparation for the winter

Tree work as needed throughout the city as there were some higher winds that brought trees/branches down

Backup battery replacement at the parking garage

Mill Road sidewalk repair/widening

Winter preparation, plow maintenance, and calibration of salt spreaders

Hydrant Prep for the winter with hydrant repairs/rebuilds. This is to remove water and make sure they won't freeze in the harsh weather in addition to repairing gaskets and parts as needed

Culvert repairs were done as needed around the city to replace a few failing/aged culverts before the winter.



(Culvert Replacement on Old Newport Road)

The first storm of the year was on Thanksgiving Day, the team was out clearing roads and sidewalks the best they could during the holiday. The team did a great job working their way through the city with a few new drivers out learning the cities plow routes/sidewalks.

Data and Statistics:

Cemetery Division had 6 Burials this month

- 6 cremations.

Staffing:

- Currently the DPW has two vacancies
- One Utilities Clerk
- One Truck Driver

Current Projects:

Electrical upgrades ongoing at the Waste Water treatment plant

Infrastructure (water, sewer, drainage) planning for lower Belding St.

Winter Storm Operations

Repair of DPW flooring/Drywall after water damage occurred from a broken relief valve on our boiler on the ground level.

Sincerely,

Alex Gleeson
Director, Public Works



FINANCE

NOVEMBER 2024 MONTHLY REPORT

12/11/2024

Department Highlights:

- 2024 Tax Rate Set at \$29.26.
- 2024 Audit – audit field work completed.

Data and Statistics:

- Current Budget Status
 - General Fund – 40%
 - TIF Fund – 82%
 - Water Fund – 54%
 - Sewer Fund – 32%

Staffing:

- Continued recruitment for part-time Collection Clerk.

Current Projects:

- Implementation of new procedures to address FY23 audit findings.
- Additional BS&A training for staff.
- FY24 Audit work continues.
- Reconciliation of projects, GL accounts, and update of capital asset schedules.

Partnerships:

- Working with all departments to clean up special revenue accounts, grants, and projects.
- BS&A taking place the week of December 9th.
- Working with Tolles Home for inclusion in City audit.

Nancy Bates

Nancy Bates, Finance Director

REVENUE AND EXPENDITURE REPORT FOR CITY OF CLAREMONT

Balance As Of 11/30/2024

GL Number	Description	24-25 Amended Budget	YTD Balance 11/30/2024 Normal (Abnormal)	Activity For 11/30/2024 Increase (Decrease)	Balance 11/30/2024 Normal (Abnormal)	% Bdgt Used
Fund: 001 GENERAL FUND						
TAXREV	TAXES - REVENUE	53,070.00			53,070.00	0.00
INTTAX	INTEREST ON TAXES	300,000.00	79,977.34	3,875.96	220,022.66	26.66
STNHGOV	STATE OF NH - GOVT REVENUE	1,547,379.00	199,502.94		1,347,876.06	12.89
LPF	LICENSES PERMITS & FEES	2,571,959.00	1,076,337.88	221,158.94	1,495,621.12	41.85
DEPREV	DEPARTMENTAL REVENUE	1,630,403.00	467,699.87	77,766.16	1,162,703.13	28.69
RENT	RENT OF CITY PROPERTY	87,100.00	35,631.05	609.50	51,468.95	40.91
PYMTLIEU	PAYMENTS IN LIEU OF TAXES	236,332.00			236,332.00	0.00
MISCREV	MISCELLANEOUS REVENUES	335,700.00	(57,538.76)	25,504.96	393,238.76	17.14
FBRETAIN	FROM FUND BALANCE/RETAINED EARNINGS	57,008.00			57,008.00	0.00
Fund 001 - GENERAL FUND:						
TOTAL REVENUES		6,818,951.00	1,801,610.32	328,915.52	5,017,340.68	
Fund: 022 TIFD - DOWNTOWN						
TAXREV	TAXES - REVENUE	682,950.00	1,505.13	0.96	681,444.87	0.22
Fund 022 - TIFD - DOWNTOWN:						
TOTAL REVENUES		682,950.00	1,505.13	0.96	681,444.87	
Fund: 090 WATER DEPARTMENT						
REV	REVENUES	2,224,324.00	585,307.45	(570.97)	1,639,016.55	26.31
MISCREV	MISCELLANEOUS REVENUES	87,150.00	52,756.15	9,131.09	34,393.85	60.53
Fund 090 - WATER DEPARTMENT:						
TOTAL REVENUES		2,311,474.00	638,063.60	8,560.12	1,673,410.40	
Fund: 092 SEWER DEPARTMENT						
REV	REVENUES	2,593,694.00	816,470.45	47,396.02	1,777,223.55	31.48
MISCREV	MISCELLANEOUS REVENUES	535,211.00	307,903.98	38,098.48	227,307.02	57.53
Fund 092 - SEWER DEPARTMENT:						
TOTAL REVENUES		3,128,905.00	1,124,374.43	85,494.50	2,004,530.57	
Report Totals:						
TOTAL REVENUES - ALL FUNDS		12,942,280.00	3,565,553.48	422,971.10	9,376,726.52	

REVENUE AND EXPENDITURE REPORT FOR CITY OF CLAREMONT

Balance As of 11/30/2024

*NOTE: Available Balance / Pct Budget does not reflect amounts encumbered.

GL Number	Description	24-25 Amended Budget	YTD Balance 11/30/2024 Normal (Abnormal)	Activity For 11/30/2024 Increase (Decrease)	Available Balance 11/30/2024 Normal (Abnormal)	% Bdg Used
Fund: 001 GENERAL FUND						
411	POLICY/EXEC/HR/COUNCIL	687,056.00	221,342.80	52,897.91	455,299.20	32.22
412	CITY ADMIN/FINANCE/IT	973,024.00	386,954.76	92,489.27	585,720.44	39.77
413	ELECTIONS	24,630.00	3,895.43	891.75	20,734.57	15.82
414	ASSESSING	239,329.00	74,905.03	14,262.28	33,505.61	31.30
415	MUNICIPAL COMPLEX	587,930.00	157,631.49	38,621.80	395,871.58	26.81
416	PLANNING & DEVELOPMENT	1,072,682.00	381,605.46	88,832.58	687,130.42	35.57
417	GENERAL SERVICES	1,042,011.00	281,583.87	60,150.30	627,331.44	27.02
420	COMMUNICATION 911	691,216.00	263,086.03	52,397.20	428,129.97	38.06
421	POLICE	3,280,678.00	1,247,921.60	350,550.48	2,032,756.40	38.04
422	FIRE	2,893,898.00	1,185,166.49	346,515.24	1,708,731.51	40.95
432	WELFARE	471,252.00	271,091.46	43,651.52	162,660.54	57.53
434	SANITATION	26,500.00	3,549.16	95.01	22,950.84	13.39
441	STREETS & ROADS	3,978,753.00	1,344,759.40	229,433.53	2,594,105.81	33.80
450	LIBRARY	437,873.00	173,665.91	46,782.88	260,886.59	39.66
461	DEBT RETIREMENT	859,179.00	513,090.76	321,665.38	346,088.24	59.72
471	CEMETERIES	248,613.00	100,629.42	11,544.43	147,983.58	40.48
472	AIRPORT OPERATIONS	126,379.00	7,227.56	601.44	119,151.44	5.72
481	PARKS & RECREATION	492,748.00	178,944.46	29,114.54	253,495.45	36.32
482	CSB COMMUNITY CENTER	1,408,027.00	502,906.77	122,922.13	881,358.73	35.72
485	SOCIAL-COMMUNITY	50,000.00	31,000.00		19,000.00	62.00
Fund 001 - GENERAL FUND:						
TOTAL EXPENDITURES		19,591,778.00	7,330,957.86	1,903,419.67	11,782,892.36	
Fund: 022 TIFD - DOWNTOWN						
610	DEBT SERVICE	587,950.00	521,136.28		66,813.72	88.64
620	SAWTOOTH	95,000.00	37,260.74	4,351.83	57,739.26	39.22
Fund 022 - TIFD - DOWNTOWN:						
TOTAL EXPENDITURES		682,950.00	558,397.02	4,351.83	124,552.98	
Fund: 090 WATER DEPARTMENT						
490	WATER	2,311,474.00	1,204,247.28	475,176.97	796,244.87	52.10
Fund 090 - WATER DEPARTMENT:						
TOTAL EXPENDITURES		2,311,474.00	1,204,247.28	475,176.97	796,244.87	
Fund: 092 SEWER DEPARTMENT						
492	SEWER	3,128,905.00	912,814.77	143,827.25	1,549,296.73	29.17
Fund 092 - SEWER DEPARTMENT:						
TOTAL EXPENDITURES		3,128,905.00	912,814.77	143,827.25	1,549,296.73	
Report Totals:						
TOTAL EXPENDITURES - ALL FUNDS		25,715,107.00	10,006,416.93	2,526,775.72	14,252,986.94	



DEPARTMENT - Fire
MONTHLY REPORT
DATE November Report

City Manager's Office
58 Opera House Square
Claremont, New Hampshire 03743
Ph: (603) 542-7002 Fax: (603) 542-7014
Email: citymanager@claremontnh.com
www.claremontnh.com

Department Highlights:

The month of November had the CFD responding to 112 calls for service. A few calls that I would like to highlight are:

- A first alarm brush fire on Green Mountain.
- Mutual aid responses to Cornish and Charlestown for brush fires (Cornish), a motor vehicle accident with entrapment (Cornish), and assistance with investigating a large, target hazard building (Charlestown.)
- A serious motor vehicle accident on Charlestown Rd. with entrapment.
- A working fire at the old Reed's site on Washington St. which resulted in one civilian fatality.

We did turn down one mutual aid response to Unity, which we were called due to Unity not being able to staff the call. The call was to investigate a tree on wires. The reason for our denial was due to weather-related incidents we were currently handling in Claremont, and, had our primary Engine stuck on Bible Hill due to the weather. This was on Thanksgiving.

We received a Ford F-150, generously gifted by Ford of Claremont. I appreciate the support from the councilors who attended the handover. Radios are scheduled to be installed, and upon completion, this vehicle will transition to our primary command response vehicle. Our current Car-1 will be designated as Car-2 and will serve as our primary logistical response vehicle.

We held live fire training evolutions at our Connex facility during call company training, where we worked on hose deployments and extinguishment tactics.

Data and Statistics:

I am currently working on a Community Risk Reduction Program specifically targeting the improper disposal of smoking material(s.) This includes the proper disposal of wood fire ash as well. These types of fires have resulted in nearly 18% of our fires in recent years. I have a goal of reducing this number to 10% within three years, and 5% of total



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fires within 5 years. I will be focusing on public education, as well, as incentivizing the usage of smoking disposal stations for commercial properties (multi-family residences.)

Staffing:

We are currently at full staff, with our newest member graduating from the fire academy this coming month.

Current Projects:

- I am currently working on new policies/SOG's to prepare for the new PFAS requirements for structural gear and uniform wear.
- We installed a new traffic cabinet at North and Elm Street, replacing the damaged unit through a Primex claim
- I'm working with the city attorney to recover outstanding radio monitoring fees.
- I've started planning with our grant consultant for the next Assistance to Firefighters Grant (AFG) submission, with a target to complete it by December.

Partnerships:

- Department members volunteered with Parks and Recreation to help with the Broad Street Park holiday lighting, which has received positive community feedback. We also had some assistance from the Police Department.
- I attended a leadership breakfast at the Tech Center and recognized our first student ride-along participant. This continues our collaboration with the school district to boost recruitment efforts.
- On a personal note, I am honored to have been asked to join the Board of Directors for the New Hampshire Fire Chiefs Association, representing fire chiefs in the western part of the state.

James Chamberlain
Chief of Department



DEPARTMENT Legal
MONTHLY REPORT
DATE 12/2/2024

City Manager's Office
58 Opera House Square
Claremont, New Hampshire 03743
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Current Projects:

- Current litigation:
 - 189 Broad; 44 Front St., 127 Sullivan, Cottage St
- Recent and ongoing projects:
 - 48 Central variance
 - 44 Central egress
 - 8 Union St
 - 91A requests
 - Stevens Brk right of way and conservation easement issues
 - Driveway appeal policy
 - 13 Grandview
 - Veterans Park court construction
 - 189 Broad
 - 40 Main
 - 87 Mulberry
 - 32 Grandview
 - Robert Grace
 - Sullivan St sidewalks
 - 28 Prospect
 - 127 Sullivan
 - 10-12 Spring
 - 16 High
 - CSBCC contract review
 - Cigarette receptacle
 - 17 Water St purchase
 - River Bank Church
 - Water St parking
 - Airport leases
 - Bounce house parcel
- 3-5 phone calls and multiple emails per day regarding various other questions or issues. several meetings per week.

Jim Feleen



**Fiske Free Library
Monthly Report
November 2024**

Fiske Free Library
108 Broad Street
Claremont, New Hampshire 03743
Ph: (603) 542-7017
Fax: (603) 542-7029
Email: mgrace@claremontnh.com

Department Highlights:

Circulation in November declined slightly due to the holidays but was still on par with last November's numbers. Circulation for the first eleven months of 2024 is 3 percent higher than the same period last year and 21 percent higher than in 2022.

In addition to circulating materials, the library has been very busy with programming, outreach, and collaboration with community groups. Over 60 children took advantage of our collection of hands-on activity materials in the children's room during the month while 31 children explored the offerings on our AWE educational computers. We had five read to a dog sessions in November with 29 human participants. Our collaborative storytimes with Claremont's TLC Family Resource Center continue to grow in popularity. During November TLC presented three storytime sessions which attracted a total of 21 participants.

The Stevens High School Life Skills program has been visiting the library regularly and has been taking part in our read to a dog program. The after school chess program is beginning to attract more participants. We now have a volunteer chess instructor who will be available on Tuesdays from 3 to 5 pm.

Despite having limited space and staffing, the library continues to be in great demand as a venue for tutoring, mentoring, and social services visits. During November there were 15 mentoring/tutoring sessions and 24 social services visits in the library. These sessions/visits involved over 115 participants.

Data and Statistics:

In November patrons checked out 3,205 items. We loaned 42 items to other libraries and borrowed 44 items for our patrons via the statewide interlibrary loan service. Patrons checked out 20 items using our self-checkout station. During November the library provided library patrons with 221 in-house computer sessions. 31 children utilized the library's two AWE early literacy educational games workstations. 132 new items were added to the collection during the month and 20 new patrons signed up for library cards. There were 1,404 searches of our catalog during the month. The topic generating the most searches in our catalog in November was the currently very popular author Freida McFadden.



Fiske Free Library

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Current Projects:

We are currently working on weeding projects in the fiction collection and in the children's picture book collection in order to free up space in our chronically crowded shelves. Our new Children's Room service desk has been installed and is in service.

Michael Grace,
City Librarian



Parks & Recreation Department
Justin Martin, Director of Parks & Recreation
152 South Street
Claremont, New Hampshire 03743
Ph: (603) 542-7019
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November 2024 Parks & Recreation Department Report City of Claremont, New Hampshire

Department Highlights:

Membership Appreciation Day at CSBCC Every month we show appreciation to our amazing members here at the CSBCC. We appreciate each and everyone of our members and love celebrating them with a special day on the first of each month. We did receive a wonderful donation from Laclair Farm in Claremont, NH of fresh squash and pumpkin to raffle off.

Youth Football Banquet The Mini Cardinal Youth Tackle and Flag Football programs held there end of season banquet at the Claremont Senior Center. Many awards were given out to players including, Mini Cardinal of the Year, Offensive Player of the Year and Defensive Player of the Year.

NFL Flag Football Our Mini Cardinal Youth Flag Football Team ended their season by competing in an official NFL Flag football sanctioned tournament down in Massachusetts. Although we did not win, we were competitive with larger programs from around New England!

Hometown Holiday Liftoff/Park Lightning at Broad Street Park We were excited to greet Santa on Black Friday at Broad Street Park curtesy of the Claremont Fire Dept. A great night was had by all starting at Broad Street Park with time spent with Santa followed by a parade around town. We would like to thank all that helped make this event a reality, including Claremont Fire, Claremont Police, Golden Cross Ambulance, Home Depot, Twin Pines, Pine Hill, Subway, Stevens High School, Brenda & Jim Baker, Rick and Evie Plourde, Hope to Freedom Recovery, and all the rest of the volunteers that came out and help set up lights in the park! A very special thank you to Claremont Fire Lt. Michael Snide for his hours of time spent helping make sure the park was merry and bright for this holiday season.

Youth Sports Recap Various fall sports have concluded for the season including, Mini Cardinal Tackle Football, Mini Cardinal FLAG Football, Mini Cardinal Youth Field Hockey and Claremont Youth Soccer. We look forward to a busy winter with youth basketball stating up in December!

CSBCC Update Upgrades at the CSBCC has included finalizing the install of the new scoreboard in the gymnasium and revitalization of the men's locker room through painting the metal lockers. We have also added general activities for middle school aged kids in room B to help with the transition in the afterschool times. We are planning for a CSBCC Open House event on Tuesday, December 10th 2024, we will have information, games, prizes and tours available to the community.



Parks & Recreation Department
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Parks Update The gate to Monadnock Park was closed in late November. Winterization of buildings, amenities and equipment has taken place to prepare for the winter months. Inside projects are taking aim, such as the slide at the CSBCC and we plan to schedule work in the parks for the spring months including tree removal at Broad St. Park and the removal of the underground tank at Barber St. Park.

Fitness Classes Our winter fitness class lineup will include 20+ fitness classes from beginner to advance. We plan to host "pop-up weekend classes" throughout the winter months.

Upcoming Events		
Date	Event	Location(s)
Tues. Dec. 10	<i>CSBCC Open House</i>	CSBCC
Tues. Dec. 31	<i>First Night</i>	CSBCC, Arrowhead, Maple Lanes
Thurs. Jan 2	<i>New CSBCC Scoreboard Unveiling</i>	CSBCC
January 27 to January 31	<i>Winterfest</i>	TBA



Parks & Recreation Department
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Key Performance Indicators (KPI's) - Data & Statistics:

Active *New* Memberships **(+ or - from previous month)**

Adult (Paid in Full): 133
Adult (MTM Agreement): 182
Adult (MTM No Agreement): 28

Youth (Paid in Full): 52
Youth (MTM Agreement): 54
Youth (MTM No Agreement): 17

College (Paid in Full): 15
College (MTM Agreement): 18
College (MTM No Agreement): 7

Family (Paid in Full): 152
Family (MTM Agreement): 160
Family (MTM No Agreement): 16

Senior (Paid in Full): 400
Senior (MTM Agreement): 69
Senior (MTM No Agreement): 59

New Membership Total: 1,362

Active *Old* Memberships **(+ or - from previous month)**

Adult Annual: 2
Family Annual: 3
Senior Annual: 10
Youth Annual: 1

Old Membership Total: 16

Total Active Memberships: 1,378

CSBCC Member Entries/Check-Ins:
7082

Guest Pass Entries/Check-Ins:
577

Total Cash/Check/GC Gross Revenue
\$4,945.00

Total CC/ECP/DC Gross Revenue
\$41,916.85

Total ActiveNet Processing (*CC) Fees
\$1,362.45

Total ActiveNet Transaction Fees
\$1,324.79

Total Net Monthly Revenue
\$44,174.61



Parks & Recreation Department
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Staffing:

Front Desk We are accepting applications on an ongoing basis for this position. We, currently, are fully staffed. We will continue to interview and hire viable candidates as we see them fitting into our team at the CSBCC.

Lifeguard We are accepting applications on an ongoing basis for this position. We are currently looking for 10AM to 2PM lifeguard shift coverage. We plan to interview and hire as applicants become available to do so. We are always looking for certified lifeguards. We are advertising for this position. *Note: we are actively looking for instructors to teach swimming lessons as well.

Fitness Instructor/Personal Trainer We are accepting applications on an ongoing basis for these positions. Looking for multi-faceted instructors/personal trainers who want to work with a large diversity of people. Our two personal trainers are helping many members obtain their health and fitness goals. The CSBCC has been able to promote personal training as an added benefit to members!

Parks Maintenance We are actively advertising for this position until filled.

Gym Monitor In preparation for the winter months, specifically youth and adult basketball season, we have been proactive in recruiting and hiring gym monitors to help with the day-to-day operations in the gymnasium area.



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Current Projects:

Tennis and Pickleball Courts at Veteran's Park

Although, an official decision on the funding application with the state is anticipated within the next month, we are happy to report that barring any major setbacks, we should be awarded close to \$300,000.00 in LWCF funds for use towards this project. This project will be scheduled to begin in the Spring of 2024 and final install of the courts will take place by Fall of 2025.

Due to changes in the scope of the project, we went out with a new RFP and received 3 bids. The bid round was very competitive, and we are pleased to have had Pine Hill Construction come in with the lowest bid. We plan to award the project following final confirmation of the LWCF funds being awarded.

Tentatively, the project is set to break ground in the spring of 2025 with a completion of Fall of 2025. More information will be available in the coming months as finalized plans are set.

Registration Management Software The department has been meeting with Xplor Recreation and setting up milestones, dates/times for trainings, and gathering needed information to proceed with the software transition. The initial startup call has taken place, and we plan to have weekly meetings and bi/tri weekly training meeting with our software guides. We are excited to inform the community of this transition in the coming months as we continue to work through the timeline for the transition. Currently, we are looking at early spring for a launch of the new software.

Scoreboard at CSBCC The installation of the scoreboard at the CSBCC has been completed. GKN Aerospace donated this scoreboard to the city back in early 2024. We plan to host an unveiling of the new scoreboard on Thursday, January 2nd at 4:50PM at the CSBCC.

Benches at Broad Street Park New victorian style benches are now installed at Broad Street Park.



Parks & Recreation Department
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Partnerships:

Recycle Beyond the Bag In partnership with the Claremont Sugar River Rotary, the CSBCC has set up a collection station for plastic materials that meet the standard of the program. In short, this program can yield 1 trex's deck bench for every 1000 lbs. of plastic collected.

Fourth Kind Films We are currently partnering with Fourth Kind Films to bring more advertising of the CSBCC to the community. Rob Thompson has been working on building a commercial for the CSBCC to advocate the benefits of the CSBCC to the community. There is currently no timeline as to when they will be finalized, however, we want to try and ramp up advertising for the winter months, especially around the New Year.

"Love Makes a Family" Project Turning Point Network and TLC's Rural Outreach along with the City of Claremont will be partnering to bring "Love Makes a Family" to the CSBCC. This project will help create awareness and bring the community together to help support LGBTQ families in our community. It will consist of photos of families in the community in a collage form that will form an educational display in the lobby at the CSBCC.

Stevens High School Athletics We met with current Stevens High School Varsity basketball coaches, as well as current youth rec. coaches to discuss the future of girls and boys basketball in Claremont. Specifically, we are looking into ways to partner to better support young athletes in their transitions from youth rec. to middle school to high school.

The Giving Tree We partner with DCYF each year to give kids in need presents for Christmas. A lot of the kids that are benefiting from the program are currently in foster care and would not otherwise be able to have a Christmas with out this program. This year, we helped over 60 kids in need! We would like to thank all the CSBCC members and Claremont community members that helped by selecting a ornament off the tree and helped sponsor a kiddo this holiday season.

Respectfully submitted,

Justin Martin, Director of Parks & Recreation - City of Claremont, NH



To: Yoshi Manale, City Manager
From: Planning & Development Department
Date: November 30, 2024
RE: November 2024 – Monthly Report, Planning & Development Department

ECONOMIC DEVELOPMENT

Business New/Expansions/Renovations/Relocation – *Calendar Year 2024*

Nail salon, new business, 285 Washington	Wendy's & Chipotle's, Washington St., new construction
Sundaez Ice Cream, 50 West Pleasant, new construction, expanded business	T-Mobile, 283 Washington, Certificate of Occupancy issued
Mazda dealership, 114 Charlestown Rd. – Certificate of Occupancy	Jeep dealership, Charlestown Road, new construction underway.
One Way Bakery, Glidden St – New business owners (former Uptown Bakery)	Claremont Glassworks, North St - Expansion
KJ's Pizza, Pleasant St – new business	Turp's Auto Sales, Main St - New business
Fresenius Kidney Care – Certificate of Occupancy issued	Dazzle Nails, Washington St - New business
Daily Grind, Pleasant St – New location	Stepping Stones - Certificate of Occupancy issued
Union Block Tattoo, 1 Pleasant Street – Applied for Certificate of Occupancy	Brick House Management – Certificate of Occupancy issued

Estimated project costs new building permit applications Nov - \$4,220,681.07

Business Visits – New and existing projects, staff reviews, business visitation, real estate, conference calls

Meetings/Projects/Other

- TAP grant – Broad St & Monadnock Park
- Sugar River EPA project – Steering Committee ongoing
- Website updates
- Sugar River Destination Council
- Marketing and banners

See Over →

PROJECTS

North/Main Street Intersection Project (NHDOT)

- Eversource shifting wires from old to new poles – work on-going.
- Installation of permanent waterline and drainage underway. – After shutdown
- Winter shutdown temp. pavement has been installed.
- Winter shutdown until April 2025.
- Web page has been set up at City of Claremont: Route 12 & North Street Improvements Project (claremontnh.com)

Congestion Mitigation Quality Assurance grant

- 10 out of 10 intersections are now running with new controllers and grid smart camera
- Technology was connected to the Fire Department
- New cabinets will be installed starting in December

Pleasant Street

- Sullivan Street sidewalk repair/replacement is complete.
- The installation of lights is underway.
- Granite Pavers work to be scheduled.

56 Opera House Square – Claremont Creative Center

- Roof replacement bid will be re-bid after Structural Engineering analysis.

Sugar River Land & Sullivan Machine Power Plant site – Reuse Planning, Brownfield Testing & Abatement - Sugar River Land parcels

- Ground water monitoring on Synergy completed
- Site specific and Quality Assurance Plans were approved by EPA
- Soil sampling begun on the Sullivan stack site
- Project web page has been added at City of Claremont: Sugar River Land Redevelopment (claremontnh.com)

City Hall Window Restoration

- Project schedule being prepared

Visitors Center Roof and Entrance

- Front entrance repair on-going.

TAP Grant Broad Street/Rail Trail

- Additional boundary survey work scheduled for the first and second week of December

Other Projects

City Hall Sprinkler system; no bids received. Waiting on USDA input.

PLANNING & ZONING/BOARDS & COMMISSIONS

Claremont Development Authority – 11/21/2024 – Cancelled (no quorum)

Conservation Commission – 11/21/2024

- ESA Regulations- Claremont Tax Map 106 Lot 21
- Invoice from Moosewood Ecological
- Conservation Commission 2025 Schedule

Historic District Commission – 11/20/24

- Mi Casitas Enterprises LLC - Application to replace existing porches on the front and back of the building at 16-26 Factory Street. Continued from 10/24/2024. Approved.
- Michael Belanger, 20 Briggs Street- Application to add a deck on the side of the property and fire exit stairs off upstairs unit, and addition of a door at 20 Briggs Street. Continued from 10/24/2024. Approved.

Planning Board

11/12/24

- Power Investments LLC, Milton Mills, NH – Application for an extension of Site Plan approval for construction, operation and maintenance of solar arrays on Grissom Lane. Approved.
- Proposed Amendment – Driveway Regulations – Continued discussion until January 2025.

11/25/24

- kcs ARCHITECTS, Marlborough, NH- Application for a conditional use permit for a conversion of a single family into a duplex at 14 Bay Street. Approved.

Zoning Board – 11/4/2024

- Tiffany Hall, 96 Pleasant Street- Application for a variance to allow conversion of a building to allow 4 dwelling units that does not meet the lot size requirements at 25 Putnam Street. Continued from 10/7/2024. Approved.
- Granite State Packing, 471 Sullivan Street- Application for a variance to allow pork slaughter at 471 Sullivan Street. Continued from 10/7/2024. Continued to January 2025.
- Riverbank Church, White River Junction, VT- Application for a special exception for a church to be located in the R2 District at 75 Winter Street. Continued from 10/7/2024. Withdrawn.
- Patricia & Donald Paquette, 80 Clay Hill Road- Application for a special exception to allow a baking business as a home occupation in the RR District at 80 Clay Hill Road. Approved.

EPA Steering Committee – 11/6/24

- Weston & Sampson Updated the Committee
- Stack and Building Demolition Discussion

Arts, History & Culture Preservation Commission – 11/20/24

- Reviewed minutes
- Reviewed inventory – All Commission Members will come back to next meeting with list of Top 5 inventory items.
- Reviewed timeline and items that can be deliverable – City Staff will come back with a timeline for review

See Over →

ZONING ENFORCEMENTS ACTIONS

1. 8 Union Street – Building height exceeds 40-ft limit for the CR2 zoning district. With legal.
2. 132 Pleasant Street – Zoning violations abated, owner working with City staff. Enforcement case to be closed.
3. 87 Mulberry Street – Zoning violations abated. Building permits issued, enforcement case closed
4. Claremont Fund LLC – 44-50 Central Street – Discovery of illegal 13th dwelling unit – Dwelling unit unoccupied, to be removed. City staff in discussions with owner about future use and waiting to assist.
5. 44 Front Street – Citation issued for living in a camper. Cease & desist order was delivered.
6. 189 Broad Street – Enforcement case closed.
7. 36-38 Opera House Square – Illegal unit, staff notified that the owner will be seeking proper permits to rectify.
8. 463 Winter Street – Past illegal units violation, property currently for sale. Staff will be in contact to ensure future owners know what is needed for compliance.
9. 114 Charlestown Road – City staff was notified of a potential lighting violation at the property, staff investigating.
10. Various addresses – Pursuing amendment to zoning ordinance to fix enforcement process for livestock.

Other:

Acuity Management – NHDES public hearing to be scheduled in Claremont.

Zoning Amendments:

Planning Board Subcommittee is reviewing the Zoning Ordinance and plans to suggest several amendments to the Planning Board. Amendments will then go to Council.

BUILDING & PROPERTY MAINTENANCE/HEALTH CODES

Building inspections November 2024: 80
Building Inspections 2024: 654

Building Permits November 2024: 66
Building Permits 2024 (*calendar year*): 638

Additional inspections:

Rental Assistance Inspections: 8

Property Maintenance Inspections: 80

Food Service Inspections: 2

Health Complaint Inspection: 0

New Formal Enforcement Actions (Violation Letters) –

15 Chellis Street - trash and cars – 2nd Notice

28 Belding Street, Apt. 2 – windows and housing – 2nd Notice

28 East Street - trash and no heat – 2nd Notice

84 Pleasant Street – property maintenance

Court Enforcement – 0

See Over →

City Actions on private properties this month – 3
15 Chellis Street
28 East Street
28 East Street

Property Maintenance Report – November

NEW COMPLAINTS & PM	ABATED
84 Pleasant Street	2 Winter Street (Trash)
Total New Complaints - 1	Total Abated - 1



Welfare Department
58 Opera House Square
Claremont, New Hampshire 03743
Ph: (603) 542-7007
Fax: (603) 542-7048
Email: scarr@claremontnh.com
www.claremontnh.com

November 2024

212 contacts with department, 127 of which related to homelessness and/or eviction (60%). We continue to see increasing numbers of folks having difficulty affording their current housing who are also unable to find an affordable alternative. As colder weather approaches, we anticipate an increase in homeless numbers. The lack of affordable housing also keeps shelter guests staying for longer periods, further limiting availability of shelter beds. At the time of this report, 89% of my rent line has been exhausted, therefore I will be coming to Council soon to request additional funds. I have attached a recent article from the NH Fiscal Policy Institute regarding statewide SNAP (Food Stamp) recipients. Claremont has the second highest percentage of recipients in the state - 15.9% - tied with Berlin. This reflects the economic struggles we are seeing in our caseload.

22 vouchers were processed for 15 cases, totaling \$21,763.60:

Rent	\$21,462.00**
Fuel	\$ 301.60

***\$1200 in rental assistance applied to landlord's delinquent taxes per RSA 165:40-a*

Received \$3,000.00 in reimbursement from another municipality

An additional \$8,005 in rental assistance is being held for 7 clients pending inspection and/or code compliance.

Sczuka-Dodson Fund	\$ 552.00 Expended for 2 households
Ellen Straw Fund	\$ 200.00 Expended for 1 household

There was no TEFAP distribution in November. Food was distributed to 4 households during the month. Once again, Assistant Director Kristi White collaborated with Riverstone Church to have Thanksgiving baskets delivered to 10 local families, ensuring a holiday meal for 35 residents of Claremont. We are grateful to Pastor Joe Gnatek and his congregation for this annual partnership.

- 11/6 AD White attended the monthly Sullivan County Community Partners meeting, led by Beth Daniels, CEO, Southwestern Community Services to discuss ongoing homeless and housing issues. This was followed by a monthly case conferencing meeting, focusing on strategies for specific cases of chronically homeless individuals in Sullivan County, facilitated by DHHS Bureau of Homeless Supports
- 11/8 Director Carr attended a Housing Action NH meeting
- 11/12 and 11/13 Director Carr attended 2 webinars regarding Social Security Disability benefits, presented by Kristin Venator, NH Vocational Rehabilitation
- 11/26 Director Carr attended a NICE committee meeting

Respectfully submitted,

Suzanne M. Carr
Welfare Director

About One in Eighteen Granite Staters Were Enrolled in SNAP Assistance in State Fiscal Year 2024

October 15, 2024

The Supplemental Nutrition Assistance Program (SNAP) provides food assistance for individuals and families that have incomes below 200 percent of the federal poverty guidelines, or \$51,640 per year for a household of three in 2024. Based on the U.S. Census Bureau's municipal population estimates from July 1, 2023 and enrollment data from the New Hampshire Department of Health and Human Services, an average of 5.5 percent of the state's population was enrolled in SNAP assistance during any given month during State Fiscal Year (SFY) 2024, which spanned from July 1, 2023 to June 30, 2024.

While SNAP was utilized across the state in SFY 2024, enrollment varied based on municipality. Stratford had the largest percentage of its population receiving SNAP assistance, with an average of 19.1 percent receiving benefits each month. Although Stratford also had the highest percentage enrollment during the prior SFY, the SFY 2024 percentage was a slight decline from the average of 21.1 percent receiving assistance during SFY 2023. Claremont (15.9 percent), Berlin (15.9 percent), Stewartstown (15.0 percent), and Winchester (14.0 percent) also had relatively large percentages of their populations both receiving SNAP assistance and enrolled in Medicaid in 2023 compared to the statewide average, suggesting a greater need for services within these municipalities.

Thirteen organized municipalities and townships with smaller populations did not have any residents enrolled in SNAP throughout SFY 2024. Despite being home to an estimated 1,000 residents in July 2023, no residents of New Castle received assistance during SFY 2024. Several municipalities had less than one percent of their populations enrolled in SNAP, including Durham, Hanover, South Hampton, Rye, Hollis, Waterville Valley, Brookline, Stratham, and Windham, with seven of these municipalities falling within the state's three southeastern counties.

Despite having generally lower percentages of their populations receiving assistance, the southeasternmost counties had more people enrolled in SNAP due to their large population sizes. For example, an average of 3,512 Concord residents (7.9 percent of the population) received assistance during the year, compared to approximately 125

residents in Stratford (19.1 percent of the population). Following trends similar to Medicaid enrollment, Franklin and Manchester had the largest percentages of their populations receiving SNAP assistance in the four southeastern counties, at 12.1 percent and 11.9 percent, respectively.

According to the most recent data from the U.S. Department of Agriculture (USDA), approximately 42,300 households (7.4 percent) in the state were food insecure during the 2021-2023 period. Using the U.S. Census Bureau's 2022 population estimates and the state's 2022 average household size of 2.44 people, about 103,100 people may have been food insecure each year during 2021-2023. Comparatively, an average of 77,027 people were enrolled in SNAP throughout SFY 2024, which may suggest that not all residents who were food insecure received assistance. While New Hampshire has historically had relatively low rates of food insecurity compared to other states, the percentage of households who were food insecure in the 2021-2023 period increased from about 5.4 percent in 2019-2021, the lowest rate in the prior two decades.

Tags:

Health

Claremont Community Television, Inc.
Balance Sheet
As of November 30, 2024

	Nov 30, 24
ASSETS	
Current Assets -	
Checking/Savings	
Claremont Savings Bank	57,245.41
Total Checking/Savings	57,245.41
Other Current Assets	
Edward Jones Certificate of Dep	60,000.00
Total Other Current Assets	60,000.00
Total Current Assets	117,245.41
Fixed Assets	
Equipment	
1999	62,923.17
2000	2,896.95
2001	13,678.27
2002	284.86
2005	36,320.70
2006	6,854.80
2007	17,321.14
2008	23,853.33
2010	13,828.39
2011	24,372.54
2012	4,880.62
2013	48,528.91
2014	29,836.00
2015	6,988.00
2018	1,134.51
2020	64,361.83
2021	29,655.66
2022	3,800.00
2023	
City Hall Studio	10,000.00
Total 2023	10,000.00
2024	9,630.00
Accumulated Depreciation	-315,282.00
Total Equipment	95,867.68
Station Start-Up Expenses	
Accumulated Depreciation	-2,948.11
Station Start Up Expenses - Other	2,948.11
Total Station Start Up Expenses	0.00
Total Fixed Assets	95,867.68
TOTAL ASSETS	213,113.09
LIABILITIES & EQUITY	
Liabilities	
Current Liabilities	
Credit Cards	
Chase Credit Card	-956.74
Total Credit Cards	-956.74
Other Current Liabilities	
Payroll Liabilities	12.08
Total Other Current Liabilities	12.08
Total Current Liabilities	-944.66
Total Liabilities	-944.66

Claremont Community Television, Inc.

Balance Sheet

As of November 30, 2024

	Nov 30, 24
Equity	
Retained Earnings	150,590.71
Net Income	63,467.04
Total Equity	214,057.75
TOTAL LIABILITIES & EQUITY	213,113.09

Claremont Community Television, Inc.
Profit & Loss
November 2024

	Nov 24
Ordinary Income/Expense	
Income	
Contributions	500.00
Interest Earned	1.43
Total Income	501.43
Expense	
Benefits	
SIMPLE IRA	150.00
Total Benefits	150.00
Office	
Bank Fees	8.00
Total Office	8.00
Payroll and Expenses	
Executive Director	5,250.00
Meeting Videographers	991.50
Payroll Taxes	484.41
Total Payroll and Expenses	6,725.91
Professional Services	
Professional Fees	125.00
Total Professional Services	125.00
Total Expense	7,008.91
Net Ordinary Income	-6,507.48
Net Income	-6,507.48

Claremont Community Television, Inc.
Profit & Loss
January through November 2024

	Jan - Nov 24
Ordinary Income/Expense	
Income	
City Franchise/Tech Fund	120,000.00
City Hall 2023 Studio Upgrade	17,374.00
Contributions	500.00
Grants	2,000.00
Interest Earned	2,410.83
Memberships	250.00
Total Income	142,534.83
Expense	
Benefits	
SIMPLE IRA	1,500.00
Total Benefits	1,500.00
Communications	
Telephone and ISP	3,124.65
Total Communications	3,124.65
Equipment and Repair	
CCTV Station	
Equipment Consumables	5,117.97
Total CCTV Station	5,117.97
Total Equipment and Repair	5,117.97
Office	
Bank Fees	299.00
Board & Administration	112.77
State of NH Report Fees	75.00
Supplies	25.20
Total Office	511.97
Other	
Professional Affiliation Fees	418.75
Total Other	418.75
Payroll and Expenses	
Executive Director	52,500.00
Meeting Videographers	5,781.50
Payroll Taxes	4,487.11
Workmans Comp Ins 2023-2024	37.00
Workmans Comp Ins 2024-2025	650.00
Total Payroll and Expenses	63,455.61
Professional Services	
Professional Fees	1,375.00
Total Professional Services	1,375.00
Sponsorship	
SHS Athletics	300.00
Total Sponsorship	300.00
Station Expenses	
Software/Programming	3,197.17
Supplies	66.67
Total Station Expenses	3,263.84
Uncategorized Expenses	0.00

Claremont Community Television, Inc.
Profit & Loss
January through November 2024

	Jan - Nov 24
Total Expense	79,067.79
Net Ordinary Income	63,467.04
Net Income	63,467.04

[illegible]

[illegible]



City Manager's Office
58 Opera House Square
Claremont, New Hampshire 03743
Ph: (603) 542-7002
Fax: (603) 542-7014
Email: citymanager@claremontnh.com
www.claremontnh.com

Memorandum

To: Mayor, Assistant Mayor, and City Council
From: Yoshi Manale, Claremont City Manager
Date: 12.2.2024
Re: Washington Street Paving Project Financing

The Council has requested that the Washington Street paving project be considered using the unassigned fund balance, pending confirmation that adequate funds are available based on information provided in our 2023 financial audit.

The 2023 audit has confirmed that the city has a healthy unassigned fund balance and is in good financial health. The current unassigned fund balance is \$5,331,825, as found on page 57 of the 2023 financial statement.

As a reminder, the city has a policy of maintaining a fund balance between 5 and 15% of the current FY budget. The current number is between \$979,589 and \$2,938,767.

Based on the current strong balance in the unassigned fund balance and in anticipation of a continued increase in that amount in the FY24 audit, the city manager and the finance director recommend that the council use the fund balance to finance the Washington St. paving project.

To keep the Washington Street project's current bid price from Pike Industries and begin paving in Spring 2025, the council is requested to approve an appropriation of \$1,246,430 from the unassigned balance to finance the project. The scope of that project is attached.



Department of Public Works
8 Grandview Street
Claremont, New Hampshire 03743
Ph: (603) 542-7020
Fax: (603) 542-7022

To: Yoshi Manale, City Manager
From: Alex Gleeson, Director of Public Works
Date: December 5, 2024
Re: Washinton Street Paving Informational Slides

City Manager Manale,

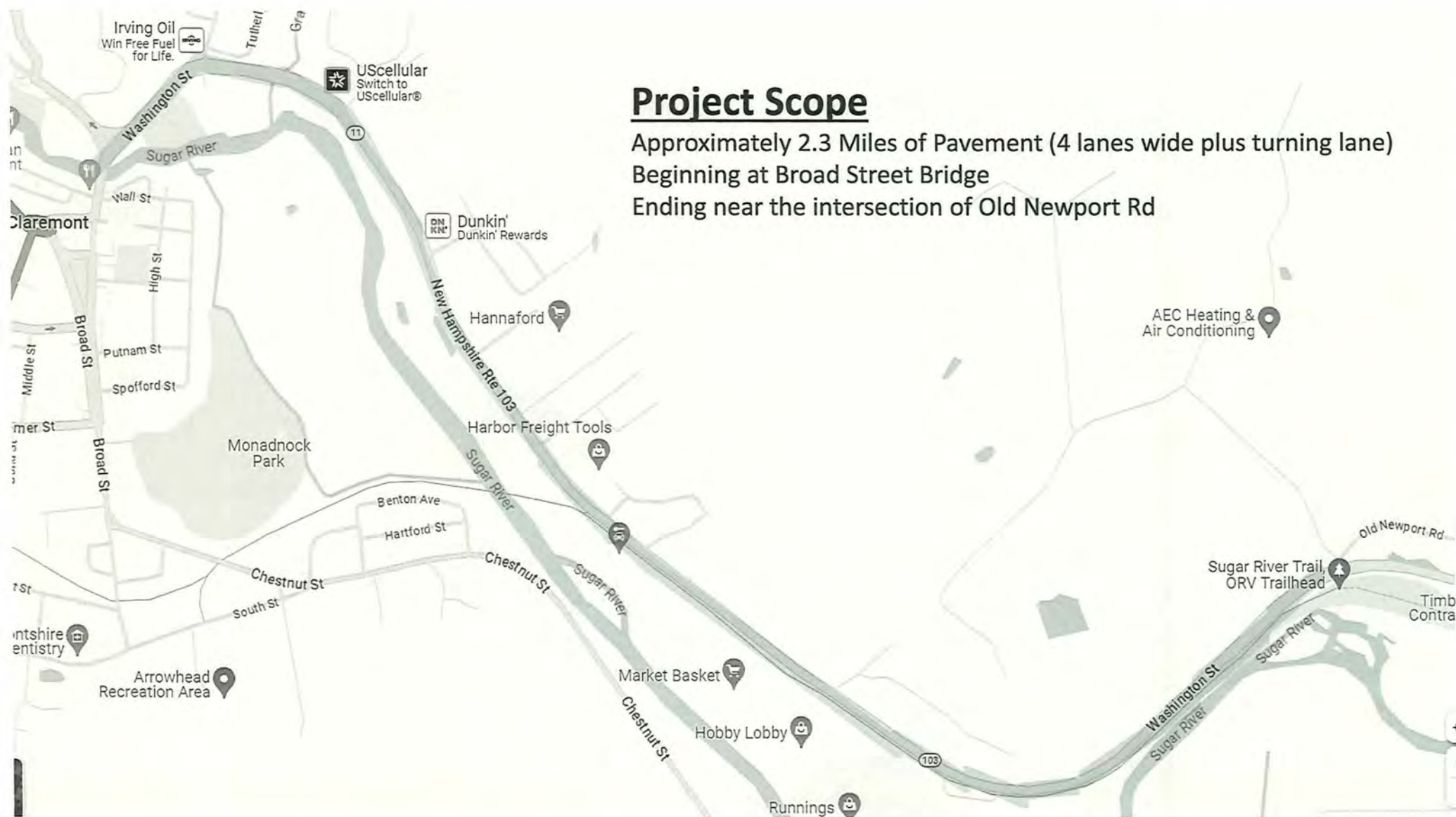
Please see attached slides. They show the area related to the Washington Street paving project. It gives an overview of the project limits, and shows the details of the 2-inch milling in addition to the 1/2inch shim coat with the 1.5inch high strength asphalt top.

As you are aware, this is one of the most highly traveled roads in Claremont spanning approximately 2.3 miles long with 4 travel lanes (13.8 lane miles), in addition to the turning lanes. The ability to pave the entire length of Washington Street all at the same time, will allow for a much-improved driving surface for the traveling public, in addition to a uniform maintenance and repair timeline for the busy thoroughfare.

After the project went out for bid in January the low bid was from Pike Industries. Once the funding is in place, the project can be awarded and a contract signed in order to proceed with the project.

Sincerely,

Alex Gleeson
City of Claremont
Director, D.P.W.



Project Scope

Approximately 2.3 Miles of Pavement (4 lanes wide plus turning lane)

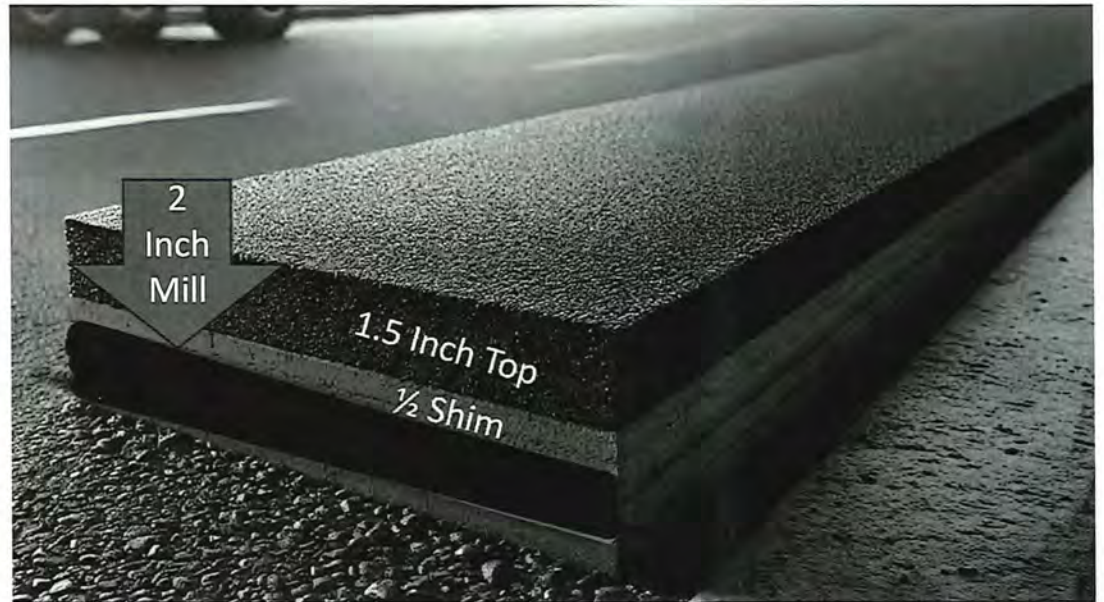
Beginning at Broad Street Bridge

Ending near the intersection of Old Newport Rd

Scope Continued



Shoulder to Shoulder Paving & Line Striping



1. Road will be milled down 2 inches (Millings to the DPW)
2. 1/2 inch shim will be applied to smooth the imperfections
3. 1.5 Inch top will be applied on top of millings and shim with high strength asphalt

Scope Continued

Structure Adjustments for manholes, valve boxes, and drainage catch basins as needed

Milling of approximately 71,000 square yards of existing asphalt surface

- Millings will be loaded on trucks and sent to the DPW facility to later use on gravel roads.

The use of the milling reduces cost, dust, and provides a better driving surface

Roadway Sweeping

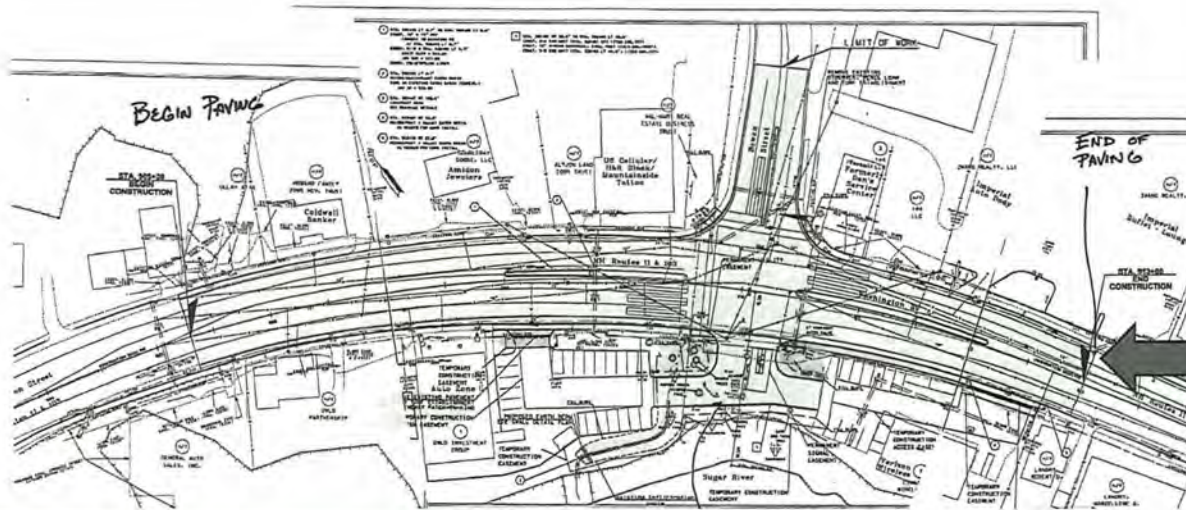
Application of Emulsified Tack Coat

Full width Shim coat at ½ inch with Hot Mix Asphalt (HMA)

Wearing Coarse 1.5 inches to add profile to the road (High Strength Asphalt)

Line Painting

Latest Paving Work Completed
on Washington Street



The highlighted area (Left) is the most recent pavement work on Washington Street which was a 1 inch mill and fill



The highlighted area (right) is the map view of the same section. This section would be milled 2 inches, with a $\frac{1}{2}$ inch shim and a 1.5 inch high strength overlay.



- *Completing this section that was done 5 years ago with the rest of the road now:
- Increase Strength with a thicker top for an increased lifetime of the road
 - Save on mobilization costs, repair work/replacement in the future with the entire road on the same timeline

Rail Trail Improvements Included in bid

Addition of gravel

Approximately 835 tons of $\frac{3}{4}$ inch crushed ledge
product

Fine Grading

Approximately 5,500 square yards of fine grading

Compaction

Rail Trail Improvement Area



RESOLUTION 2025-23

Washington Street

WHEREAS the City Council of the City of Claremont, New Hampshire (the "City Council") has identified Washington Street paving as a project for fiscal year 2025;

BE IT RESOLVED by the City Council, after public hearing duly noticed, that it hereby grants permission to spend unassigned fund balance to cover costs associated with the 2025 Washington Street Project, up to the amount of \$1,246,430;

(2/3 Vote Required)

Dated this 11th day of December, 2024 the City of Claremont, County of Sullivan, State of New Hampshire.

AYES _____

ABSENT _____

NAYS _____

ABSTAIN _____

CERTIFICATION

I, Julia A. Bizzarro, the undersigned officer, hereby certify that the foregoing Resolution was adopted by the City Council of the City of Claremont, New Hampshire, at a meeting duly noticed and held on December 11, 2024.

Julia A. Bizzarro, Clerk to the Council



Finance Office
58 Opera House Square
Claremont, New Hampshire 03743
Ph: (603) 542-7002
Fax: (603) 542-7014
Email: finance@claremontnh.com
www.claremontnh.com

Memorandum

To: Yoshi Manale, Claremont City Manager
From: Nancy Bates, Finance Director
Date: 2024-11-07
Re: 2025-27 Parks and Recreation Lease Memo

Attached is a resolution in connection with a lease for the scheduled replacement of a bus for the Parks and Recreation Department.

The first lease payment is budgeted for in the FY2025 budget. The following is the amortization table for the proposed lease provided by Claremont Savings Bank.

Principal	\$ 64,956
Rate	5.38%
Payments	5
Payments	\$15,159.06

Annual Payment	Beginning Balance	Payment	Principal	Interest	Cumulative Principal	Cumulative Interest	Ending Balance
1	\$64,956.00	\$15,159.06	\$11,667.68	\$3,491.38	\$11,667.68	\$3,491.38	\$53,288.32
2	\$53,288.32	\$15,159.06	\$12,294.81	\$2,864.25	\$23,962.49	\$6,355.63	\$40,993.51
3	\$40,993.51	\$15,159.06	\$12,955.66	\$2,203.40	\$36,918.15	\$8,559.03	\$28,037.85
4	\$28,037.85	\$15,159.06	\$13,652.03	\$1,507.03	\$50,570.18	\$10,066.06	\$14,385.82
5	\$14,385.82	\$15,159.06	\$14,385.82	\$773.24	\$64,956.00	\$10,839.30	\$0.00



RESOLUTION 2025-27

Parks & Recreation Bus Lease

BE IT RESOLVED by the City Council of the City of Claremont, New Hampshire after public hearing duly noticed; and

WHEREAS, the 15 passenger bus in the Parks and Recreation fleet is scheduled to be replaced in FY2025, with funds having been raised and appropriated therefore in the 2025 operating budget; and

WHEREAS the City is prepared to lease a new 15 passenger bus for the Parks & Recreation Department through a lease/purchase arrangement based upon and after solicitation of bids pursuant to the City's purchasing policies;

NOW THEREFORE BE IT RESOLVED that the City Manager or his designees are hereby authorized to enter into a 5-year lease/purchase agreement in the principal amount of \$64,956 for the lease of said bus, the cost of \$15,159.06, including interest, for the first annual payment having been raised and appropriated in the FY2025 budget; and

BE IT FURTHER RESOLVED the proposed lease agreement shall contain a termination clause in the event of non-appropriation of sufficient funds for any year subsequent to the first year of the agreement (*majority vote required*)

Dated this 11th day of December 2024 the City of Claremont, Sullivan County, State of New Hampshire.

AYES _____

ABSENT _____

NAYS _____

ABSTAIN _____

CERTIFICATION

I, Julia Bizzarro, the undersigned officer, hereby certify that the foregoing Resolution was adopted by the City Council of the City of Claremont, New Hampshire, at a meeting duly noticed and held on December 11, 2024.

Julia A. Bizzarro, Clerk to the Council



Personnel Policy- Compressed work schedule

Purpose:

The purpose of this policy is to outline the procedures necessary to allow for an alternate four-day work week. The reasons for the compressed work schedules are: to improve customer services by increasing departmental operational hours during the week; to expand services provided by the City to the community; to increase the productivity, effectiveness and efficiency of City departments and City Staff; to provide exceptional customer service and convenience to our citizens; to improve the environment with less travel days (reducing emissions, noise and traffic) and to reduce travel expenses to assigned employees. Not all City departments or positions will be assigned to a compressed work schedule.

Scope

The policy applies to those departments and personnel that/who are approved by the City Manager for a four-day work week as a strategic departmental and staffing management solution. This pertains to non-bargaining and union employees when approved in a collective bargaining agreement. Each City Hall Director will determine which employees will be assigned to a 4-day compressed work schedule or other alternate schedule and which employees will be assigned to a 5-day work schedule. The City Manager will have the final approval of all work schedules. All City Hall employees must comply with their assigned work schedules.

Definitions

Compressed Work Schedule: A compressed work schedule allows an employee to work a traditional 40-hour workweek in less than the traditional 5-day workweek schedule.

Core Hours: Are the department's operational customer service hours (a fixed block of time) which an employee is expected to be at work unless on approved leave.

Policy Details

The following requirements need to be met in developing a compressed work schedule arrangement.

4.1 Department heads will determine which positions will be assigned to a compressed 4-day or other alternate work schedule. Positions that are not assigned to a 4-day or other alternate work schedule will work a traditional 5-day, 40-hour workweek.

4.2 The City Manager will have the sole discretion to approve compressed work schedules. The compressed schedule allows approved positions to work longer days, Monday – Thursday, in exchange for a day off each Friday. For flexibility purposes, directors, with the approval of the City Manager, may elect a different day off or other alternate schedule to provide coverage as needed for their department. The intent of this policy is not to increase the costs or expenses incurred by the City of Claremont.

4.3 Employees assigned by their department head to a compressed 4-day work schedule will work four (4) nine-and-a-half-hour days with a half-hour paid lunch break or other approved alternate work schedule. The core workweek will consist of working Monday through Thursday from 7:00 a.m. to 5:00

p.m. with Fridays off or other alternative work schedules. Non-exempt employees will be paid overtime at a rate of time and one-half after the employee has worked 40 hours. Holidays falling on a Friday will not be a paid holiday.

4.4 employees working under the compressed work schedule must comply with existing organizational policies and guidelines. This arrangement can be suspended or terminated if:

- The compressed work schedule does not comply with the City's needs;
- Denied by the City Manager and/or Department Head;

Compressed workweek schedules must be set (not varying from pay period to pay period);

- 4 ten-hour days Monday – Thursday, 7:00 a.m. – 5:00 p.m., with a half hour of paid lunch, and Fridays off every pay period; Exempt, non-exempt, and non-union employees only;
- Employees will be paid their normal wages based upon a regular 5-day, 40-hour work schedule;
- Employees working a compressed 4-day workweek schedule will not be paid for holidays that fall on a day they are generally not scheduled to work;
- Employees whose regular work schedule includes hours worked on Fridays (or a different day approved by the City Manager) will receive the equivalent number of holiday hours the employee would have typically been scheduled for when a holiday occurs. For example, if an employee who's scheduled to work 4 hours on a Friday when the holiday occurs, the employee will receive the equivalent of four (4) holiday hours.
- Non-Bargaining (non-exempt and exempt) employees working a compressed 4-day work schedule will be charged 10 hours a day if absent or on approved paid leave the full day or the number of actual hours missed;
- Union-approved employees will be charged a 10-hour day if absent or on approved paid leave for a full day or the number of actual hours missed;
- Non-Bargaining and Union approved employees will not accrue additional vacation, personal or sick leave due to a compressed 4-day work schedule.

Compressed work schedules must meet the following additional requirements:

- Departmental and City operational requirements must be met;
- Departmental and City services to customers must be maintained or improved;
- Costs to the City of Claremont will not be increased;
- Each office or department must be covered during the core hours of the compressed work schedule and business hours; or approved by exception by the City Manager

Approved compressed work schedules will meet the following standards:

- Compressed work schedules will maintain the ability of the City of Claremont to assign responsibility and accountability to individual employees for the provision of services and performance of their duties.

Procedures

The department head will assign work schedules. The City Manager will have the final approval of assigned work schedules and the management of this policy.

Effective Date

This Ordinance shall take effect and be enforced as of June 1, 2023.

CITY OF CLAREMONT, NEW HAMPSHIRE
Financial Statements
With Schedule of Expenditures of Federal Awards
June 30, 2023
and
Independent Auditor's Report

**Report on Internal Control Over Financial Reporting
and on Compliance and Other Matters Based on an Audit
of Financial Statements Performed in Accordance
With *Government Auditing Standards***

**Report on Compliance for Each Major Federal Program and
Report on Internal Control Over Compliance
Required by the Uniform Guidance**

Schedule of Findings and Questioned Costs

CITY OF CLAREMONT, NEW HAMPSHIRE
FINANCIAL STATEMENTS
June 30, 2023

TABLE OF CONTENTS

	<u>Page(s)</u>
INDEPENDENT AUDITOR'S REPORT	

BASIC FINANCIAL STATEMENTS

EXHIBITS:

A	Statement of Net Position	1
B	Statement of Activities	2
C	Balance Sheet – Governmental Funds	3
C-1	Reconciliation of the Balance Sheet of Governmental Funds to the Statement of Net Position	4
D	Statement of Revenues, Expenditures and Changes in Fund Balances – Governmental Funds	5
D-1	Reconciliation of the Statement of Revenues, Expenditures and Changes in Fund Balances of Governmental Funds to the Statement of Activities	6
E	Statement of Net Position – Proprietary Funds	7
F	Statement of Revenues, Expenses and Changes in Net Position – Proprietary Funds	8
G	Statement of Cash Flows – Proprietary Funds	9
H	Statement of Fiduciary Net Position – Fiduciary Funds	10
I	Statement of Changes in Fiduciary Net Position – Fiduciary Funds	11
	NOTES TO BASIC FINANCIAL STATEMENTS	12-50

REQUIRED SUPPLEMENTARY INFORMATION

SCHEDULES:

1	Schedule of Revenues, Expenditures and Changes in Fund Balance – Budget and Actual (Budgetary Basis) – General Fund	51
2	Schedule of Changes in the City's Proportionate Share of the Net OPEB Liability	52

CITY OF CLAREMONT, NEW HAMPSHIRE
FINANCIAL STATEMENTS
June 30, 2023

TABLE OF CONTENTS (CONTINUED)

	<u>Page(s)</u>
SCHEDULES:	
3 Schedule of City OPEB Contributions	53
4 Schedule of Changes in the City's Total OPEB Liability and Related Ratios	54
5 Schedule of Changes in the City's Proportionate Share of the Net Pension Liability	55
6 Schedule of City Pension Contributions	56
NOTES TO REQUIRED SUPPLEMENTARY INFORMATION	57

FEDERAL COMPLIANCE

SCHEDULE:	
I Schedule of Expenditures of Federal Awards	58-59
NOTES TO SCHEDULE OF EXPENDITURES OF FEDERAL AWARDS	60
Report on Internal Control Over Financial Reporting and on Compliance and Other Matters Based on an Audit of Financial Statements Performed in Accordance with <i>Government Auditing Standards</i>	61-62
Report on Compliance for Each Major Federal Program and Report on Internal Control Over Compliance Required by the Uniform Guidance	63-65
Schedule of Findings and Questioned Costs	66-68
Summary Schedule of Prior Audit Findings	69-70
Corrective Action Plan	71-72

INDEPENDENT AUDITOR'S REPORT

To the Honorable Mayor, City Council and Manager
City of Claremont, New Hampshire

Report on the Audit of the Financial Statements

Opinions

We have audited the accompanying financial statements of the governmental activities, the business-type activities, each major fund, and the aggregate remaining fund information of the City of Claremont, New Hampshire, as of and for the year ended June 30, 2023, and the related notes to the financial statements, which collectively comprise the City of Claremont, New Hampshire's basic financial statements as listed in the table of contents.

In our opinion, the financial statements referred to above present fairly, in all material respects, the respective financial position of the governmental activities, the business-type activities, each major fund, and the aggregate remaining fund information of the City of Claremont, New Hampshire, as of June 30, 2023, and the respective changes in financial position, and, where applicable, cash flows thereof for the year then ended in accordance with accounting principles generally accepted in the United States of America.

Basis for Opinions

We conducted our audit in accordance with auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States. Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are required to be independent of the City of Claremont, New Hampshire and to meet our other ethical responsibilities, in accordance with the relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinions.

Responsibilities of Management for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with accounting principles generally accepted in the United States of America, and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about the City of Claremont, New

Hampshire's ability to continue as a going concern for twelve months beyond the financial statement date, including any currently known information that may raise substantial doubt shortly thereafter.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinions. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with generally accepted auditing standards and *Government Auditing Standards* will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the financial statements.

In performing an audit in accordance with generally accepted auditing standards and *Government Auditing Standards*, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the financial statements.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the City of Claremont, New Hampshire's internal control. Accordingly, no such opinion is expressed.
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the financial statements.
- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about the City of Claremont, New Hampshire's ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control related matters that we identified during the audit.

Required Supplementary Information

Accounting principles generally accepted in the United States of America require that the budgetary comparison information, schedule of changes in the City's proportionate share of the net OPEB liability, schedule of City OPEB contributions, schedule of changes in the City's total OPEB liability and related ratios, schedule of changes in the City's proportionate share of the net pension liability, and schedule of City pension contributions be presented to supplement the basic financial statements. Such information is the responsibility of management and, although not a part of the basic financial statements, is required by the Governmental Accounting Standards Board, who considers it to be an essential part of financial reporting for placing the basic financial statements in an appropriate operational, economic, or historical

context. We have applied certain limited procedures to the required supplementary information in accordance with auditing standards generally accepted in the United States of America, which consisted of inquiries of management about the methods of preparing the information and comparing the information for consistency with management's responses to our inquiries, the basic financial statements, and other knowledge we obtained during our audit of the basic financial statements. We do not express an opinion or provide any assurance on the information because the limited procedures do not provide us with sufficient evidence to express an opinion or provide any assurance.

Management has omitted the management's discussion and analysis that accounting principles generally accepted in the United States of America require to be presented to supplement the basic financial statements. Such missing information, although not a part of the basic financial statements, is required by the Governmental Accounting Standards Board, who considers it to be an essential part of financial reporting for placing the basic financial statements in an appropriate operational, economic, or historical context. Our opinions on the basic financial statements are not affected by this missing information.

Supplementary Information

Our audit was conducted for the purpose of forming opinions on the financial statements that collectively comprise the City of Claremont, New Hampshire's basic financial statements. The accompanying schedule of expenditures of federal awards, as required by Title 2 U.S. *Code of Federal Regulations* Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards*, is presented for purposes of additional analysis and is not a required part of the basic financial statements. Such information is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the basic financial statements. The information has been subjected to the auditing procedures applied in the audit of the basic financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the basic financial statements or to the basic financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the schedule of expenditures of federal awards is fairly stated, in all material respects, in relation to the basic financial statements as a whole.

Other Reporting Required by Government Auditing Standards

In accordance with *Government Auditing Standards*, we have also issued our report dated November 12, 2024 on our consideration of the City of Claremont, New Hampshire's internal control over financial reporting and on our tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements and other matters. The purpose of that report is solely to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the City of Claremont, New Hampshire's internal control over financial reporting or on compliance. That report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the City of Claremont, New Hampshire's internal control over financial reporting and compliance.

Vachon Clukay & Company PC

Manchester, New Hampshire
November 12, 2024

EXHIBIT A
CITY OF CLAREMONT, NEW HAMPSHIRE
Statement of Net Position
June 30, 2023

	Primary Government		
	Governmental	Business-type	
	Activities	Activities	Total
ASSETS			
Current Assets:			
Cash and cash equivalents	\$ 11,969,892	\$ 4,213,032	\$ 16,182,924
Investments	6,818,693	7,732,027	14,550,720
Taxes receivable, net	2,323,289		2,323,289
Accounts receivable, net	572,947	1,250,206	1,823,153
Due from other governments	1,063,871	217,515	1,281,386
Prepaid items	9,357		9,357
Inventory		145,552	145,552
Current portion of lease receivable		12,743	12,743
Total Current Assets	<u>22,758,049</u>	<u>13,571,075</u>	<u>36,329,124</u>
Noncurrent Assets:			
Due from other governments		877,326	877,326
Lease receivable		389,284	389,284
Capital assets:			
Non-depreciable capital assets	9,895,372	5,229,246	15,124,618
Depreciable capital assets, net	<u>30,724,872</u>	<u>24,557,513</u>	<u>55,282,385</u>
Total Noncurrent Assets	<u>40,620,244</u>	<u>31,053,369</u>	<u>71,673,613</u>
Total Assets	<u>63,378,293</u>	<u>44,624,444</u>	<u>108,002,737</u>
DEFERRED OUTFLOWS OF RESOURCES			
Deferred outflows related to OPEB	232,519	23,884	256,403
Deferred outflows related to pension	<u>2,591,087</u>	<u>156,095</u>	<u>2,747,182</u>
Total Deferred Outflows of Resources	<u>2,823,606</u>	<u>179,979</u>	<u>3,003,585</u>
LIABILITIES			
Current Liabilities:			
Accounts payable	1,282,147	90,990	1,373,137
Accrued liabilities	208,746	70,649	279,395
Retainage payable	178,254		178,254
Due to other governments	2,456		2,456
Advance from grantors	1,083,446		1,083,446
Unearned revenue	192,707		192,707
Deposits	3,509		3,509
Current portion of bonds payable	487,178	1,024,815	1,511,993
Current portion of tax increment financing bonds payable	520,000		520,000
Current portion of notes payable		62,877	62,877
Current portion of financed purchase obligations payable	439,633	128,549	568,182
Current portion of compensated absences payable	58,663	4,747	63,410
Current portion of estimated liability for landfill postclosure care costs	13,500		13,500
Total Current Liabilities	<u>4,470,239</u>	<u>1,382,627</u>	<u>5,852,866</u>
Noncurrent Liabilities:			
Bonds payable	10,476,063	3,567,994	14,044,057
Tax increment financing bonds payable	2,083,331		2,083,331
Notes payable		259,812	259,812
Financed purchase obligations payable	1,527,741	598,674	2,126,415
State of New Hampshire revolving loan		1,580,789	1,580,789
Compensated absences payable	527,965	42,719	570,684
OPEB liability	2,337,964	250,015	2,587,979
Net pension liability	12,255,849	738,330	12,994,179
Estimated liability for landfill postclosure care costs	391,500		391,500
Total Noncurrent Liabilities	<u>29,600,413</u>	<u>7,038,333</u>	<u>36,638,746</u>
Total Liabilities	<u>34,070,652</u>	<u>8,420,960</u>	<u>42,491,612</u>
DEFERRED INFLOWS OF RESOURCES			
Property taxes collected in advance	1,839,281		1,839,281
Deferred inflows related to OPEB	640,016	84,533	724,549
Deferred inflows related to pension	448,384	27,011	475,395
Deferred inflows related to lease receivable		391,895	391,895
Total Deferred Inflows of Resources	<u>2,927,681</u>	<u>503,439</u>	<u>3,431,120</u>
NET POSITION			
Net investment in capital assets	26,525,657	22,793,016	49,318,673
Restricted	6,073,243	229,767	6,303,010
Unrestricted (deficit)	<u>(3,395,334)</u>	<u>12,857,241</u>	<u>9,461,907</u>
Total Net Position	<u>\$ 29,203,566</u>	<u>\$ 35,880,024</u>	<u>\$ 65,083,590</u>

See accompanying notes to the basic financial statements

EXHIBIT B
CITY OF CLAREMONT, NEW HAMPSHIRE
Statement of Activities
For the Year Ended June 30, 2023

Functions/Programs	<u>Expenses</u>	<u>Program Revenues</u>			<u>Net (Expense) Revenue and Changes in Net Position</u>		<u>Total</u>
		<u>Charges for Services</u>	<u>Operating Grants and Contributions</u>	<u>Capital Grants and Contributions</u>	<u>Primary Government</u> <u>Governmental</u> <u>Activities</u>	<u>Business-type</u> <u>Activities</u>	
Governmental Activities:							
General government	\$ 4,978,861	\$ 102,026	\$ 792,218		\$ (4,084,617)		\$ (4,084,617)
Public safety	5,550,327	185,467	263,056		(5,101,804)		(5,101,804)
Airport/Aviation center	349,109	49,374	113,283	\$ 1,278,236	1,091,784		1,091,784
Highways and streets	3,690,224	2,653	987,953	154,524	(2,545,094)		(2,545,094)
Sanitation	244,059	576			(243,483)		(243,483)
Health and welfare	426,753		127,549		(299,204)		(299,204)
Culture and recreation	2,259,986	896,407	39	652,123	(711,417)		(711,417)
Conservation	3,060				(3,060)		(3,060)
Interest and fiscal charges	434,108		1,281		(432,827)		(432,827)
Total governmental activities	<u>17,936,487</u>	<u>1,236,503</u>	<u>2,285,379</u>	<u>2,084,883</u>	<u>(12,329,722)</u>	<u>\$ -</u>	<u>(12,329,722)</u>
Business-type Activities:							
Water	1,787,085	2,176,553		360,705		750,173	750,173
Sewer	2,395,597	2,846,134		171,171		621,708	621,708
Nonmajor enterprise fund	106,214	78,276				(27,938)	(27,938)
Total business-type activities	<u>4,288,896</u>	<u>5,100,963</u>	<u>-</u>	<u>531,876</u>	<u>-</u>	<u>1,343,943</u>	<u>1,343,943</u>
Total primary government	<u>\$ 22,225,383</u>	<u>\$ 6,337,466</u>	<u>\$ 2,285,379</u>	<u>\$ 2,616,759</u>	<u>(12,329,722)</u>	<u>1,343,943</u>	<u>(10,985,779)</u>
General revenues:							
Property and other taxes					12,574,005		12,574,005
Licenses and permits					2,721,111		2,721,111
Grants and contributions:							
Rooms and meals tax distribution					1,135,410		1,135,410
Miscellaneous grants					5,052		5,052
Interest and investment earnings					833,275	314,999	1,148,274
Miscellaneous					449,224		449,224
Transfers, net					(1,352,821)	1,352,821	-
Contributions to permanent fund principal					428		428
Total general revenues, transfers, and contributions to permanent fund principal					<u>16,365,684</u>	<u>1,667,820</u>	<u>18,033,504</u>
Change in net position					4,035,962	3,011,763	7,047,725
Net Position at beginning of year, as restated					25,167,604	32,868,261	58,035,865
Net Position at end of year					<u>\$ 29,203,566</u>	<u>\$ 35,880,024</u>	<u>\$ 65,083,590</u>

See accompanying notes to the basic financial statements

EXHIBIT C
CITY OF CLAREMONT, NEW HAMPSHIRE
Balance Sheet
Governmental Funds
June 30, 2023

	General Fund	CDBG Fund	ARPA Fund	Downtown Tax Increment Financing Fund	Permanent Funds	Nonmajor Governmental Funds	Total Governmental Funds
ASSETS							
Cash and cash equivalents	\$ 7,436,733		\$ 1,083,466			\$ 3,449,693	\$ 11,969,892
Investments	1,223,832			\$ 224	\$ 4,364,133	1,230,504	6,818,693
Taxes receivable, net	2,323,289						2,323,289
Accounts receivable, net	136,961	\$ 368,615		49,600		17,771	572,947
Due from other governments		693,678				370,193	1,063,871
Due from other funds	1,229,719					209,361	1,439,080
Advance to other funds	637,461						637,461
Prepaid items	112,284						112,284
Total Assets	<u>13,100,279</u>	<u>1,062,293</u>	<u>1,083,466</u>	<u>49,824</u>	<u>4,364,133</u>	<u>5,277,522</u>	<u>24,937,517</u>
DEFERRED OUTFLOWS OF RESOURCES							
Total Deferred Outflows of Resources	<u>-</u>	<u>-</u>	<u>-</u>	<u>-</u>	<u>-</u>	<u>-</u>	<u>-</u>
Total Assets and Deferred Outflows of Resources	<u>\$ 13,100,279</u>	<u>\$ 1,062,293</u>	<u>\$ 1,083,466</u>	<u>\$ 49,824</u>	<u>\$ 4,364,133</u>	<u>\$ 5,277,522</u>	<u>\$ 24,937,517</u>
LIABILITIES							
Accounts payable	\$ 929,144	\$ 339,004		\$ 1,035		\$ 12,964	\$ 1,282,147
Accrued liabilities	99,914						99,914
Retainage payable	91,118	61,612				25,524	178,254
Due to other governments	2,456						2,456
Due to other funds	209,361	910,261		308,007		11,451	1,439,080
Advance from other funds				637,461			637,461
Advance from grantors			\$ 1,083,446				1,083,446
Unearned revenue	192,707						192,707
Deposits	3,509						3,509
Total Liabilities	<u>1,528,209</u>	<u>1,310,877</u>	<u>1,083,446</u>	<u>946,503</u>	<u>\$ -</u>	<u>49,939</u>	<u>4,918,974</u>
DEFERRED INFLOWS OF RESOURCES							
Property taxes collected in advance	1,839,281						1,839,281
Uncollected property taxes	2,065,799						2,065,799
Total Deferred Inflows of Resources	<u>3,905,080</u>	<u>-</u>	<u>-</u>	<u>-</u>	<u>-</u>	<u>-</u>	<u>3,905,080</u>
FUND BALANCES							
Nonspendable	749,745				4,165,070		4,914,815
Restricted	505,000		20		199,063	2,316,703	3,020,786
Committed	1,683,309					2,910,880	4,594,189
Assigned	1,462,910						1,462,910
Unassigned (deficit)	3,266,026	(248,584)		(896,679)			2,120,763
Total Fund Balances (deficit)	<u>7,666,990</u>	<u>(248,584)</u>	<u>20</u>	<u>(896,679)</u>	<u>4,364,133</u>	<u>5,227,583</u>	<u>16,113,463</u>
Total Liabilities, Deferred Inflows of Resources and Fund Balances	<u>\$ 13,100,279</u>	<u>\$ 1,062,293</u>	<u>\$ 1,083,466</u>	<u>\$ 49,824</u>	<u>\$ 4,364,133</u>	<u>\$ 5,277,522</u>	<u>\$ 24,937,517</u>

See accompanying notes to the basic financial statements

EXHIBIT C-1
CITY OF CLAREMONT, NEW HAMPSHIRE
Reconciliation of the Balance Sheet of Governmental Funds
to the Statement of Net Position
June 30, 2023

Total Fund Balances - Governmental Funds (Exhibit C)	\$ 16,113,463
Amounts reported for governmental activities in the statement of net position are different because:	
Capital assets used in governmental activities are not financial resources and, therefore, are not reported in the funds.	40,620,244
Property taxes are recognized on an accrual basis in the statement of net position, not the modified accrual basis.	2,065,799
Deferred outflows of resources and deferred inflows of resources that do not require or provide the use of current financial resources are not reported within the funds.	
Deferred outflows of resources related to OPEB liability	232,519
Deferred outflows of resources related to net pension liability	2,591,087
Deferred inflows of resources related to OPEB liability	(640,016)
Deferred inflows of resources related to net pension liability	(448,384)
Debt service payments are recognized as expenditures when due within the funds. Prepaid debt service payments represent a reduction of the long-term liabilities in the statement of net position as follows:	
Prepaid interest on long-term obligations	(102,927)
Long-term liabilities are not due and payable in the current period and, therefore, are not reported in the funds. Long-term liabilities at year end consist of:	
Bonds payable	(10,963,241)
Tax increment financing bonds payable	(2,603,331)
Financed purchase obligations payable	(1,967,374)
Accrued interest on long-term obligations	(108,832)
Compensated absences payable	(586,628)
OPEB liability	(2,337,964)
Net pension liability	(12,255,849)
Estimated liability for landfill postclosure care costs	(405,000)
Net Position of Governmental Activities (Exhibit A)	<u>\$ 29,203,566</u>

See accompanying notes to the basic financial statements

EXHIBIT D

CITY OF CLAREMONT, NEW HAMPSHIRE

Statement of Revenues, Expenditures and Changes in Fund Balances

Governmental Funds

For the Year Ended June 30, 2023

	General Fund	CDBG Fund	ARPA Fund	Downtown Tax Increment Financing Fund	Permanent Funds	Nonmajor Governmental Funds	Total Governmental Funds
Revenues:							
Taxes	\$ 11,671,525			\$ 598,963		\$ 442	\$ 12,270,930
Licenses and permits	2,614,231					106,880	2,721,111
Intergovernmental	1,528,059	\$ 1,551,490	\$ 270,420			2,208,138	5,558,107
Charges for services	741,262	416,777				78,464	1,236,503
Interest and investment income	395,584			10	\$ 375,923	61,758	833,275
Miscellaneous	175,089	50,300		30,774	428	193,061	449,652
Total Revenues	<u>17,125,750</u>	<u>2,018,567</u>	<u>270,420</u>	<u>629,747</u>	<u>376,351</u>	<u>2,648,743</u>	<u>23,069,578</u>
Expenditures:							
Current operations:							
General government	4,073,632	894,947	20,400	16,126	19,915	4,527	5,029,547
Public safety	5,873,134					31,233	5,904,367
Airport/Aviation center	113,923					1,396,497	1,510,420
Highways and streets	2,722,478			66,038		1,350,270	4,138,786
Sanitation	181,408						181,408
Health and welfare	369,002				2,453	59,577	431,032
Culture and recreation	1,965,460	4,500			2,282	14,031	1,986,273
Conservation						3,060	3,060
Debt service:							
Principal retirement	700,516			520,000			1,220,516
Interest and fiscal charges	382,436			112,828			495,264
Total Expenditures	<u>16,381,989</u>	<u>899,447</u>	<u>20,400</u>	<u>714,992</u>	<u>24,650</u>	<u>2,859,195</u>	<u>20,900,673</u>
Excess revenues over (under) expenditures	<u>743,761</u>	<u>1,119,120</u>	<u>250,020</u>	<u>(85,245)</u>	<u>351,701</u>	<u>(210,452)</u>	<u>2,168,905</u>
Other financing sources (uses):							
Financed purchase obligation issuances	401,296						401,296
Transfers in	739,125			90,670		431,361	1,261,156
Transfers out	(514,460)	(1,352,821)	(250,000)		(7,571)	(489,125)	(2,613,977)
Total Other financing sources (uses)	<u>625,961</u>	<u>(1,352,821)</u>	<u>(250,000)</u>	<u>90,670</u>	<u>(7,571)</u>	<u>(57,764)</u>	<u>(951,525)</u>
Net change in fund balances	1,369,722	(233,701)	20	5,425	344,130	(268,216)	1,217,380
Fund Balances (deficit) at beginning of year, as restated	<u>6,297,268</u>	<u>(14,883)</u>		<u>(902,104)</u>	<u>4,020,003</u>	<u>5,495,799</u>	<u>14,896,083</u>
Fund Balances (deficit) at end of year	<u>\$ 7,666,990</u>	<u>\$ (248,584)</u>	<u>\$ 20</u>	<u>\$ (896,679)</u>	<u>\$ 4,364,133</u>	<u>\$ 5,227,583</u>	<u>\$ 16,113,463</u>

See accompanying notes to the basic financial statements

EXHIBIT D-1

CITY OF CLAREMONT, NEW HAMPSHIRE**Reconciliation of the Statement of Revenues, Expenditures
and Changes in Fund Balances of Governmental Funds
to the Statement of Activities**

For the Year Ended June 30, 2023

Net Change in Fund Balances - Governmental Funds (Exhibit D)	\$ 1,217,380
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Amounts reported for governmental activities in the statement of activities are different because:

Governmental funds report capital outlays as expenditures. However, in the statement of activities, the cost of those assets is allocated over their estimated useful lives as depreciation expense. Capital outlays and depreciation expense in the current period are as follows:

Capital outlay	2,815,612
Depreciation expense	(1,904,060)

Revenues in the statement of activities that do not provide current financial resources are not reported as revenues in the funds as follows:

Property tax revenue	303,075
Intergovernmental revenue	(47,383)

Repayment of principal on long-term obligations is an expenditure in the governmental funds, but the repayment reduces long-term liabilities in the statement of net position. Repayments in the current year are as follows:

Principal paid on general obligation bonds	700,516
Principal paid on tax increment financing bonds	520,000
Principal paid on financed purchase obligations payable	361,938

Long-term debt issuance are an other financing source in the funds, but long-term debt issuance increases liabilities in the statement of net position. Current year issuances are as follows:

Financed purchase obligation issuances	(401,296)
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Governmental funds only report the disposal of assets to the extent proceeds are received from the sale. In the statement of activities, a gain or loss is reported for each disposal. This is the amount of the net loss on the disposal of capital assets reduced by the actual proceeds received from the disposal.

	(37,422)
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Governmental funds report the effect of bond issuance premiums when debt is first issued, whereas these amounts are amortized in the statement of activities over the life of the related debt. Amortization recognized in the current year is as follows:

Amortization of bond issuance premium	85,689
Amortization of tax increment financing bond issuance premium	1,735

In the statement of activities, interest is accrued on outstanding long-term debt whereas in governmental funds, an interest expenditure is reported when due.

	31,010
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Some expenses reported in the statement of activities do not require the use of current financial resources and, therefore, are not reported as expenditures in governmental funds. These expenses are from the following activities:

Compensated absences	(64,924)
Landfill postclosure care costs	(67,500)

Governmental funds report OPEB and pension contributions as expenditures. However, in the statement of activities, OPEB and pension expense reflects the change in the OPEB liability and net pension liability and related deferred outflows and inflows of resources, and does not require the use of current financial resources. This is the amount by which OPEB and pension expense differed from OPEB and pension contributions in the current period.

Net changes in OPEB	59,262
Net changes in pension	462,330

Change in Net Position of Governmental Activities (Exhibit B)	\$ <u>4,035,962</u>
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See accompanying notes to the basic financial statements

EXHIBIT E
CITY OF CLAREMONT, NEW HAMPSHIRE
Statement of Net Position
Proprietary Funds
June 30, 2023

	Business-type Activities			
	Water Fund	Sewer Fund	Nonmajor Proprietary Fund	Totals
ASSETS				
Current Assets:				
Cash and cash equivalents	\$ 1,378,601	\$ 2,828,530	\$ 5,901	\$ 4,213,032
Investments	2,150,708	5,504,704	76,615	7,732,027
Accounts receivable, net	630,950	618,827	429	1,250,206
Due from other governments	21,229	196,286		217,515
Inventory	133,117	12,435		145,552
Current portion of lease receivable			12,743	12,743
Total Current Assets	<u>4,314,605</u>	<u>9,160,782</u>	<u>95,688</u>	<u>13,571,075</u>
Noncurrent Assets:				
Due from other governments	63,688	813,638		877,326
Lease receivable			389,284	389,284
Capital assets:				
Non-depreciable capital assets	2,103,482	727,544	2,398,220	5,229,246
Depreciable capital assets, net	8,879,691	14,570,465	1,107,357	24,557,513
Total Noncurrent Assets	<u>11,046,861</u>	<u>16,111,647</u>	<u>3,894,861</u>	<u>31,053,369</u>
Total Assets	<u>15,361,466</u>	<u>25,272,429</u>	<u>3,990,549</u>	<u>44,624,444</u>
DEFERRED OUTFLOWS OF RESOURCES				
Deferred outflows related to OPEB	14,311	9,573		23,884
Deferred outflows related to pension	85,135	70,960		156,095
Total Deferred Outflows of Resources	<u>99,446</u>	<u>80,533</u>	<u>-</u>	<u>179,979</u>
LIABILITIES				
Current Liabilities:				
Accounts payable	27,491	61,005	2,494	90,990
Accrued liabilities	29,159	36,745	4,745	70,649
Current portion of bonds payable	396,756	628,059		1,024,815
Current portion of notes payable			62,877	62,877
Current portion of financed purchase obligations payable	46,846	81,703		128,549
Current portion of compensated absences payable	1,352	3,395		4,747
Total Current Liabilities	<u>501,604</u>	<u>810,907</u>	<u>70,116</u>	<u>1,382,627</u>
Noncurrent Liabilities:				
Bonds payable	1,791,223	1,776,771		3,567,994
Notes payable			259,812	259,812
Financed purchase obligations payable	129,196	469,478		598,674
State of New Hampshire revolving loan	1,281,086	299,703		1,580,789
Compensated absences payable	12,168	30,551		42,719
OPEB liability	150,555	99,460		250,015
Net pension liability	402,690	335,640		738,330
Total Noncurrent Liabilities	<u>3,766,918</u>	<u>3,011,603</u>	<u>259,812</u>	<u>7,038,333</u>
Total Liabilities	<u>4,268,522</u>	<u>3,822,510</u>	<u>329,928</u>	<u>8,420,960</u>
DEFERRED INFLOWS OF RESOURCES				
Deferred inflows related to OPEB	52,083	32,450		84,533
Deferred inflows related to pension	14,732	12,279		27,011
Deferred inflows related to lease receivable			391,895	391,895
Total Deferred Inflows of Resources	<u>66,815</u>	<u>44,729</u>	<u>391,895</u>	<u>503,439</u>
NET POSITION				
Net investment in capital assets	7,487,833	12,122,295	3,182,888	22,793,016
Restricted	149,767	80,000		229,767
Unrestricted	3,487,975	9,283,428	85,838	12,857,241
Total Net Position	<u>\$ 11,125,575</u>	<u>\$ 21,485,723</u>	<u>\$ 3,268,726</u>	<u>\$ 35,880,024</u>

See accompanying notes to the basic financial statements

EXHIBIT F
CITY OF CLAREMONT, NEW HAMPSHIRE
Statement of Revenues, Expenses and Changes in Net Position
Proprietary Funds
For the Year Ended June 30, 2023

	Business-type Activities			
	Water Fund	Sewer Fund	Nonmajor Proprietary Fund	Totals
Operating revenues:				
Charges for services	\$ 2,089,138	\$ 2,678,716	\$ 78,276	\$ 4,846,130
Miscellaneous	87,415	167,418		254,833
Total Operating revenues	<u>2,176,553</u>	<u>2,846,134</u>	<u>78,276</u>	<u>5,100,963</u>
Operating expenses:				
Personnel services	516,452	353,198		869,650
Contractual services	405,186	839,315		1,244,501
Repairs and maintenance	185,813	150,004	4,969	340,786
Administration	161,464	115,380	31,297	308,141
Utilities	55,311	115,820	21,561	192,692
Depreciation	385,751	752,514	48,387	1,186,652
Total Operating expenses	<u>1,709,977</u>	<u>2,326,231</u>	<u>106,214</u>	<u>4,142,422</u>
Operating income (loss)	<u>466,576</u>	<u>519,903</u>	<u>(27,938)</u>	<u>958,541</u>
Non-operating revenues (expenses):				
Interest revenue	92,687	219,419	2,893	314,999
Interest expense	(77,108)	(69,366)		(146,474)
Net Non-operating revenues (expenses)	<u>15,579</u>	<u>150,053</u>	<u>2,893</u>	<u>168,525</u>
Income (loss) before transfers and capital contributions	482,155	669,956	(25,045)	1,127,066
Capital contributions	360,705	171,171		531,876
Transfers in			1,352,821	1,352,821
Change in net position	842,860	841,127	1,327,776	3,011,763
Net Position at beginning of year, as restated	<u>10,282,715</u>	<u>20,644,596</u>	<u>1,940,950</u>	<u>32,868,261</u>
Net Position at end of year	<u>\$ 11,125,575</u>	<u>\$ 21,485,723</u>	<u>\$ 3,268,726</u>	<u>\$ 35,880,024</u>

See accompanying notes to the basic financial statements

EXHIBIT G
CITY OF CLAREMONT, NEW HAMPSHIRE
Statement of Cash Flows
Proprietary Funds
For the Year Ended June 30, 2023

	Business-type Activities			
	Water Fund	Sewer Fund	Nonmajor Proprietary Fund	Totals
Cash flows from operating activities:				
Cash received from customers	\$ 2,063,277	\$ 2,781,913	\$ 72,632	\$ 4,917,822
Cash paid to suppliers	(1,054,419)	(1,351,434)	(51,183)	(2,457,036)
Cash paid to employees	(306,770)	(268,793)		(575,563)
Net cash provided by operating activities	<u>702,088</u>	<u>1,161,686</u>	<u>21,449</u>	<u>1,885,223</u>
Cash flows from capital financing activities:				
Purchases of capital assets	(1,077,103)	(702,952)	(4,500)	(1,784,555)
Capital contributions	305,548	281,836		587,384
Proceeds from State revolving loan funds	753,593	159,378		912,971
Principal paid on bonds payable	(507,234)	(650,026)		(1,157,260)
Principal paid on notes payable			(18,812)	(18,812)
Proceeds from financed purchase obligation issuances	60,270	70,306		130,576
Principal paid on financed purchase obligations payable	(36,894)	(73,119)		(110,013)
Interest paid on long-term debt	(82,175)	(76,822)		(158,997)
Net cash used for capital financing activities	<u>(583,995)</u>	<u>(991,399)</u>	<u>(23,312)</u>	<u>(1,598,706)</u>
Cash flows from investing activities:				
Interest on investments	92,687	219,419	2,893	314,999
Net cash provided by investing activities	<u>92,687</u>	<u>219,419</u>	<u>2,893</u>	<u>314,999</u>
Net increase in cash and cash equivalents	210,780	389,706	1,030	601,516
Cash and cash equivalents at beginning of year	3,318,529	7,943,528	81,486	11,343,543
Cash and cash equivalents at end of year	<u>\$ 3,529,309</u>	<u>\$ 8,333,234</u>	<u>\$ 82,516</u>	<u>\$ 11,945,059</u>
Reconciliation of operating income (loss) to net cash provided by operating activities:				
Operating income (loss)	\$ 466,576	\$ 519,903	\$ (27,938)	\$ 958,541
Adjustments to reconcile operating income (loss) to net cash provided by operating activities:				
Depreciation expense	385,751	752,514	48,387	1,186,652
Change in deferred outflows related to OPEB	1,137	5,415		6,552
Change in deferred outflows related to pension	(2,825)	295		(2,530)
Change in deferred inflows related to OPEB	6,679	(12,702)		(6,023)
Change in deferred inflows related to pension	(102,177)	(88,929)		(191,106)
Change in deferred inflows related to lease receivable			112,033	112,033
Changes in assets and liabilities:				
Accounts receivable, net	(113,276)	(64,221)	562	(176,935)
Prepaid items			3,778	3,778
Inventory	(11,002)	(1,072)		(12,074)
Lease receivable			(116,861)	(116,861)
Accounts payable	(28,120)	16,218	1,066	(10,836)
Accrued liabilities	6,025	4,497	1,800	12,322
Unearned revenue			(1,378)	(1,378)
Compensated absences payable	(2,717)	5,537		2,820
OPEB liability	7,308	(39,612)		(32,304)
Net pension liability	88,729	63,843		152,572
Net cash provided by operating activities	<u>\$ 702,088</u>	<u>\$ 1,161,686</u>	<u>\$ 21,449</u>	<u>\$ 1,885,223</u>
Supplemental disclosure of non-cash transactions:				
Forgiveness of long-term debt principal	\$ 76,386			\$ 76,386
Transfer of capital assets from governmental activities			\$ 1,352,821	1,352,821
	<u>\$ 76,386</u>	<u>\$ -</u>	<u>\$ 1,352,821</u>	<u>\$ 1,429,207</u>

See accompanying notes to the basic financial statements

EXHIBIT H
CITY OF CLAREMONT, NEW HAMPSHIRE
Statement of Fiduciary Net Position
Fiduciary Funds
June 30, 2023

	Private- Purpose <u>Trust Funds</u>	Custodial <u>Funds</u>
ASSETS		
Cash and cash equivalents		\$ 593,972
Investments	\$ 13,378,108	11,100,991
Total Assets	<u>13,378,108</u>	<u>11,694,963</u>
DEFERRED OUTFLOWS OF RESOURCES		
School taxes paid in advance		2,500,000
Total Deferred Outflows of Resources	<u>-</u>	<u>2,500,000</u>
LIABILITIES		
Total Liabilities	<u>-</u>	<u>-</u>
DEFERRED INFLOWS OF RESOURCES		
Property taxes collected in advance		3,018,848
Total Deferred Inflows of Resources	<u>-</u>	<u>3,018,848</u>
NET POSITION		
Restricted for:		
Individuals, organizations, and other governments	13,378,108	11,176,115
Total Net Position	<u>\$ 13,378,108</u>	<u>\$ 11,176,115</u>

See accompanying notes to the basic financial statements

EXHIBIT I
CITY OF CLAREMONT, NEW HAMPSHIRE
Statement of Changes in Fiduciary Net Position
Fiduciary Funds
For the Year Ended June 30, 2023

	Private- Purpose <u>Trust Funds</u>	Custodial <u>Funds</u>
ADDITIONS:		
Contributions:		
Private donations	\$ 78	\$ 3,369
Total Contributions	<u>78</u>	<u>3,369</u>
Investment earnings:		
Interest income	289,781	264,534
Realized gains on investments	287,152	206,302
Net increase in the fair value of investments	<u>587,772</u>	<u>423,129</u>
Total Investment earnings	<u>1,164,705</u>	<u>893,965</u>
Property tax collections for other governments		19,287,616
Motor vehicle fee collections for other governments		<u>749,237</u>
Total Additions	<u>1,164,783</u>	<u>20,934,187</u>
DEDUCTIONS:		
Beneficiary payments to individuals	184,902	
Beneficiary payments to other governments		136,729
Payments of property taxes to other governments		19,287,616
Payments of motor vehicle fees to other governments		<u>749,237</u>
Administrative expenses	<u>63,174</u>	<u>43,626</u>
Total Deductions	<u>248,076</u>	<u>20,217,208</u>
Change in net position	916,707	716,979
Net Position at beginning of year	<u>12,461,401</u>	<u>10,459,136</u>
Net Position at end of year	<u>\$ 13,378,108</u>	<u>\$ 11,176,115</u>

See accompanying notes to the basic financial statements

CITY OF CLAREMONT, NEW HAMPSHIRE
NOTES TO BASIC FINANCIAL STATEMENTS
For the Year Ended June 30, 2023

NOTE 1—SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

The accounting policies of the City of Claremont, New Hampshire conform to accounting policies generally accepted in the United States of America for local governmental units, except as indicated hereinafter. The following is a summary of significant accounting policies.

Financial Reporting Entity

The City of Claremont, New Hampshire (the City) was incorporated as a town in 1764 and as a city in 1947. The City operates under the City Council/City Manager form of government and performs local governmental functions as authorized by State law.

The financial statements include those of the various departments governed by the City Council and other officials with financial responsibility. The City has no other separate organizational units, which meet criteria for inclusion in the financial statements as defined by the Governmental Accounting Standards Board (GASB).

Basis of Presentation

The City's basic financial statements consist of government-wide statements, including a statement of net position and a statement of activities, and fund financial statements which provide a more detailed level of financial information.

1. Government-Wide Financial Statements:

The statement of net position and the statement of activities display information about the City as a whole. These statements include the financial activities of the primary government, except for fiduciary funds. The statement of net position presents the financial condition of the governmental and business-type activities of the City at year end. The statement of activities presents a comparison between direct expenses and program revenues for each program or function of the City's governmental and business-type activities. Direct expenses are those that are specifically associated with a service, program or department and therefore clearly identifiable to a particular function. Program revenues include charges paid by the recipient of the goods or services offered by the program, grants and contributions that are restricted to meeting the operational or capital requirements of a particular program and interest earned on grants that is required to be used to support a particular program. Revenues which are not classified as program revenues are presented as general revenues of the City. The comparison of direct expenses with program revenues identifies the extent to which each governmental function is self-financing or draws from the general revenues of the City.

2. Fund Financial Statements:

During the year, the City segregates transactions related to certain City functions or activities in separate funds in order to aid financial management and to demonstrate legal compliance. Fund financial statements are designed to present financial information of the City at this more detailed level. The focus of governmental and proprietary fund financial statements is on major funds. Each major fund is

CITY OF CLAREMONT, NEW HAMPSHIRE
NOTES TO BASIC FINANCIAL STATEMENTS (CONTINUED)
For the Year Ended June 30, 2023

presented in a separate column. Nonmajor funds are aggregated and presented in a single column. The fiduciary funds are reported by type.

Fund Accounting

The City uses funds to maintain its financial records during the fiscal year. A fund is defined as a fiscal and accounting entity with a self-balancing set of accounts. The City utilizes three categories of funds: governmental, proprietary, and fiduciary.

1. Governmental Funds:

Governmental funds are those through which most governmental functions typically are financed. Governmental fund reporting focuses on the sources, uses and balances of current financial resources. Expendable assets are assigned to the various governmental funds according to the purposes for which they may or must be used. Current liabilities are assigned to the fund from which they will be paid. The difference between governmental fund assets and deferred outflows of resources, and liabilities and deferred inflows of resources, is reported as fund balance. The following are the City's major governmental funds:

The *General Fund* is the main operating fund of the City and is used to account for all financial resources except those required to be accounted for in another fund.

The *Community Development Block Grant (CDBG) Fund* is used to account for the financial resources related to various federal grants applicable to economic opportunities principally for low- and moderate-income persons and the related expenditures.

The *ARPA Fund* accounts for the financial resources related to the American Rescue Plan Act funding made available to the City related to the COVID-19 stimulus package of 2021.

The *Downtown Tax Increment Financing Fund* is a debt service fund that accounts for the financial resources related to the City's parking garage.

The *Permanent Funds* account for the financial transactions related to resources that are legally restricted to the extent that only earnings and not principal may be used for purposes that support the City's programs.

2. Proprietary Funds:

Proprietary fund reporting focuses on the determination of operating income, changes in net position, financial position and cash flows. Proprietary funds are classified as enterprise or internal service. The City has no internal service funds. The following are the City's major proprietary funds:

The *Water Fund* accounts for all revenues and expenses pertaining to the City's water operations.

The *Sewer Fund* accounts for all revenues and expenses pertaining to the City's wastewater treatment operations.

CITY OF CLAREMONT, NEW HAMPSHIRE
NOTES TO BASIC FINANCIAL STATEMENTS (CONTINUED)
For the Year Ended June 30, 2023

The Water, Sewer and Nonmajor Proprietary Funds are utilized to account for operations that are financed and operated in a manner similar to private business enterprises. The stated intent is that the cost (i.e. expenses including depreciation) of providing goods or services to the residents on a continuing basis are financed or recovered primarily through user charges.

3. Fiduciary Funds:

Fiduciary fund reporting focuses on net position and changes in net position. The fiduciary fund category is split into two classifications: private-purpose trust funds and custodial funds. Trust funds are used to account for assets held by the City under a trust agreement for individuals, private organizations, or other governments and are therefore not available to support the City's own programs. The City maintains numerous private-purpose trusts which account for monies designated to benefit individuals within the City. Custodial funds are used to account for monies collected by the City and remitted to other individuals or governments. These amounts are therefore not available to support the City's own programs.

Measurement Focus

1. Government-Wide Financial Statements:

The government-wide financial statements are prepared using the economic resources measurement focus. All assets, deferred outflows of resources, liabilities, and deferred inflows of resources associated with the operation of the City are included on the Statement of Net Position.

2. Fund Financial Statements:

All governmental funds are accounted for using a flow of current financial resources measurement focus. With this measurement focus, only current assets, deferred outflows of resources, current liabilities, and deferred inflows of resources generally are included on the balance sheet. The statement of revenues, expenditures and changes in fund balances reports on the sources (i.e., revenues and other financing sources) and uses (i.e., expenditures and other financing uses) of current financial resources. This approach differs from the manner in which the governmental activities of the government-wide financial statements are prepared. Governmental fund financial statements therefore include a reconciliation with brief explanations to better identify the relationship between the government-wide statements and the statements for governmental funds.

Like the government-wide statements, the proprietary fund type is accounted for on a flow of economic resources measurement focus. All assets, deferred outflows of resources, liabilities, and deferred inflows of resources associated with the operation of these funds are included on the statement of net position. The statement of revenues, expenses and changes in net position presents increases (i.e., revenues) and decreases (i.e., expenses) in total net position. The statement of cash flows provides information about how the City finances and meets the cash flow needs of its proprietary activities.

The fiduciary funds are reported using the economic resources measurement focus.

CITY OF CLAREMONT, NEW HAMPSHIRE
NOTES TO BASIC FINANCIAL STATEMENTS (CONTINUED)
For the Year Ended June 30, 2023

Basis of Accounting

Basis of accounting determines when transactions are recorded in the financial records and reported on the financial statements. Government-wide financial statements are prepared using the accrual basis of accounting. Proprietary and fiduciary funds also use the accrual basis of accounting. Governmental funds use the modified accrual basis of accounting. Differences in the accrual and the modified accrual basis of accounting arise in the recognition of revenue and in the presentation of expenses versus expenditures.

1. Revenues – Exchange and Non-Exchange Transactions:

Revenue resulting from exchange transactions, in which each party gives and receives essentially equal value, is recorded on the accrual basis when the exchange takes place. On a modified accrual basis, revenue is recorded in the fiscal year in which the resources are measurable and become available. Available means that the resources will be collected within the current fiscal year or are expected to be collected soon enough thereafter to be used to pay liabilities of the current fiscal year. For the City, available means expected to be received within sixty days of fiscal year end.

Non-exchange transactions, in which the City receives value without directly giving equal value in return, include property taxes, grants, entitlements and donations. On an accrual basis, revenue from property taxes is recognized in the fiscal year for which the taxes are levied (see Note 13). Revenue from grants, entitlements and donations is recognized in the fiscal year in which all eligibility requirements have been satisfied. Eligibility requirements include timing requirements, which specify the year when the resources are required to be used or the fiscal year when use is first permitted; matching requirements, in which the City must provide local resources to be used for a specified purpose; and expenditure requirements, in which the resources are provided to the City on a reimbursement basis. On a modified accrual basis, revenue from non-exchange transactions must also be available before it can be recognized.

Under the modified accrual basis, the following revenue sources are considered to be both measurable and available at fiscal year-end: property taxes, charges for services, and interest on investments.

Licenses and permits and miscellaneous revenues are recorded as revenues when received in cash because they are generally not measurable until actually received.

Grants received before the eligibility requirements are met are recorded as advances from grantors. On governmental fund financial statements, property taxes receivable that will not be collected within the available period are reported as deferred inflows of resources.

2. Expenses/Expenditures:

On the accrual basis of accounting, expenses are recognized at the time they are incurred. The measurement focus of governmental fund accounting is on decreases in net financial resources (expenditures) rather than expenses. Expenditures are generally recognized in the accounting period in which the related fund liability is incurred, if measurable. Allocations of cost, such as depreciation and amortization are not recognized in governmental funds.

CITY OF CLAREMONT, NEW HAMPSHIRE
NOTES TO BASIC FINANCIAL STATEMENTS (CONTINUED)
For the Year Ended June 30, 2023

Budgetary Data

The City's budget represents functional appropriations as authorized by the City Council. The Council may transfer funds between operating categories as deemed necessary. The City adopts its budget under State regulations, which differ somewhat from accounting principles generally accepted in the United States of America in that the focus is on the entire governmental unit rather than on the basis of fund types.

State law requires balanced budgets but permits the use of beginning fund balance to reduce the property tax rate. For the year ended June 30, 2023, the City applied \$700,000 of its unassigned fund balance to reduce the tax rate.

Cash and Cash Equivalents

For the purpose of the Statement of Cash Flows, cash and cash equivalents consist of the following:

	Water <u>Fund</u>	Sewer <u>Fund</u>	Nonmajor Proprietary <u>Fund</u>	<u>Totals</u>
Cash	\$ 1,378,601	\$ 2,828,530	\$ 5,901	\$ 4,213,032
Investments in New Hampshire Public Deposit Investment Pool	<u>2,150,708</u>	<u>5,504,704</u>	<u>76,615</u>	<u>7,732,027</u>
Totals	<u>\$ 3,529,309</u>	<u>\$ 8,333,234</u>	<u>\$ 82,516</u>	<u>\$ 11,945,059</u>

Investments

Investments are stated at their fair value in all funds. Certificates of deposit with a maturity of greater than ninety days from the date of issuance are included in investments.

Taxes Receivable

Taxes levied during the current fiscal year and prior and uncollected at June 30, 2023 are recorded as receivables net of reserves for estimated uncollectibles of \$500,000.

Accounts Receivable

Charges for services billed during the current fiscal year and prior and uncollected at June 30, 2023 are recorded as receivables net of reserves for estimated uncollectibles of \$35,893 and \$59,238 in the Water Fund and Sewer Fund, respectively.

Prepaid Items

Payments made to vendors for services that will benefit periods beyond June 30, 2023 are recorded as prepaid items.

CITY OF CLAREMONT, NEW HAMPSHIRE
NOTES TO BASIC FINANCIAL STATEMENTS (CONTINUED)
For the Year Ended June 30, 2023

Inventory

On government-wide and proprietary fund financial statements, inventories are presented at the lower of cost or market on a first-in, first-out basis and are expensed when used.

Capital Assets

General capital assets result from expenditures in the governmental funds. These assets are reported in the government-wide statement of net position, but are not reported in the governmental fund financial statements. In the government-wide financial statements, capital assets are reported in the applicable governmental or business-type activities column.

All capital assets including infrastructure are capitalized at cost (or estimated historical cost) and updated for additions and retirements during the year. Donated capital assets are recorded at their acquisition value as of the date received. The City maintains a capitalization threshold of \$5,000. The City's infrastructure consists of roads, bridges, sidewalks, water purification and distribution system, sewer collection and treatment system, and similar items. Improvements are capitalized; the costs of normal maintenance and repairs that do not add to the value of the asset or materially extend an asset's life are not.

All reported capital assets except for land and construction in process are depreciated. Improvements are depreciated over the remaining useful lives of the related capital assets. Useful lives for infrastructure were estimated based on the City's historical records of necessary improvements and replacement. Depreciation is computed using the straight-line method over the following useful lives:

<u>Description</u>	<u>Years</u>
Infrastructure	10-100
Buildings and improvements	5-50
Vehicles, equipment and furnishings	5-30
Intangible assets	5

Lease Receivable and Related Deferred Inflows of Resources

Lease receivables are measured at the present value of lease payments expected to be received during the lease term, reduced by any provision for estimated uncollected amounts. No allowance has been recorded by the City. The City uses its estimated incremental borrowing rate as the discount rate for leases. The deferred inflows of resources is measured at the initial measurement of the lease receivable, plus any lease payments received at or before commencement of the lease term, less any lease incentives. The deferred inflows of resources is amortized using the straight-line method over the terms of the related lease.

Compensated Absences

Employees earn vacation and sick leave as they provide services. Provision is made in the annual budget for vacation and sick leave. Pursuant to City personnel policy and collective bargaining agreements, employees may accumulate (subject to certain limitations) unused sick and vacation leave and, upon retirement, resignation or death will be compensated for such amounts at current rates of pay.

CITY OF CLAREMONT, NEW HAMPSHIRE
NOTES TO BASIC FINANCIAL STATEMENTS (CONTINUED)
For the Year Ended June 30, 2023

For governmental fund financial statements, compensated absences are reported as liabilities and expenditures as payments come due each period upon the occurrence of employee death or retirement. The entire compensated absence liability is reported on the government-wide and proprietary fund financial statements.

Bond Premiums

Bond premiums are amortized as a component of interest expense over the lives of the related bonds using the effective interest rate method. Bonds payable are reported in the accompanying financial statements gross of any applicable unamortized bond premium.

Accrued Liabilities and Long-Term Obligations

All payables, accrued liabilities, and long-term obligations are reported in the government-wide financial statements. In general, governmental fund payables and accrued liabilities that, once incurred, are paid in a timely manner and in full from current resources are reported as obligations of the funds. However, compensated absences that will be paid from governmental funds are reported as liabilities in the fund financial statements only to the extent that they are due for payment during the current fiscal year. General obligation bonds and other long-term obligations that will be paid from governmental funds are recognized as a liability in the fund financial statements when due.

Postemployment Benefits Other Than Pensions (OPEB)

For purposes of measuring the net OPEB liability, deferred outflows of resources and deferred inflows of resources related to OPEB, and OPEB expense, information about the fiduciary net position of the New Hampshire Retirement System (NHRS) OPEB Plan and additions to/deductions from NHRS's fiduciary net position have been determined on the same basis as they are reported by NHRS. For this purpose, NHRS recognizes benefit payments when due and payable in accordance with the benefit terms. Investments are reported at fair value, except for non-registered commingled funds valued at net asset value (NAV) as a practical expedient to estimate fair value.

Pensions

For purposes of measuring the net pension liability, deferred outflows of resources and deferred inflows of resources related to pensions, and pension expense, information about the fiduciary net position of the New Hampshire Retirement System (NHRS) and additions to/deductions from NHRS's fiduciary net position have been determined on the same basis as they are reported by NHRS. For this purpose, benefit payments (including refunds of employee contributions) are recognized when due and payable in accordance with the benefit terms.

Net Position

Net position represents the difference between assets and deferred outflows of resources, and liabilities and deferred inflows of resources. Net investment in capital assets consists of capital assets, net of accumulated depreciation, reduced by the outstanding balances on any borrowings used for the acquisition, construction or improvement of those assets. Net position is reported as restricted when there are limitations imposed on their use either through the enabling legislation adopted by the City or through external restrictions imposed by creditors, grantors or laws or regulations of other governments.

CITY OF CLAREMONT, NEW HAMPSHIRE
NOTES TO BASIC FINANCIAL STATEMENTS (CONTINUED)
For the Year Ended June 30, 2023

Unrestricted net position is the net amount of the assets, deferred outflows of resources, liabilities and deferred inflows of resources that are not included in the determination of net investment in capital assets or the restricted components of net position.

The City's policy is to first apply restricted resources when an expense is incurred for purposes for which both restricted and unrestricted net position is available.

Fund Balance Policy

The City has segregated fund balance into five classifications: Nonspendable, Restricted, Committed, Assigned, and Unassigned. These components of fund balance are defined as follows:

- *Nonspendable Fund Balance*: Amounts that are not in a spendable form or are required to be maintained intact.
- *Restricted Fund Balance*: Amounts constrained to specific purposes stipulated by external resource providers (such as grantors) or through enabling legislation. Restrictions may be changed or lifted only with the consent of the resource providers or enabling legislation.
- *Committed Fund Balance*: Amounts constrained to specific purposes determined by a formal action of the City's highest level of decision making authority (City Council). Commitments may be changed or lifted only by the City Council taking the same formal action that imposed the constraint originally. Any committed funds would go back to the General Fund if the commitment is dissolved. The City Council's actions must either be approved or rescinded, as applicable, prior to the last day of the fiscal year for which the commitment is made. The amount subject to the constraint may be determined in the subsequent period.
- *Assigned Fund Balance*: Amounts that the City intends to be used for specific purposes. For all governmental funds other than the General Fund, any remaining positive amounts are to be classified as "assigned". The City Council expressly delegates this authority to the City Manager or his designee.
- *Unassigned Fund Balance*: Amounts that are the residual classification of the General Fund and includes all amounts not contained in other classifications. Unassigned amounts are technically available for any purpose. Any deficit fund balance of another governmental fund is also classified as "unassigned".

Spending Prioritization

The City's policy is to first apply restricted resources when expenditures are incurred for purposes for which both restricted and unrestricted fund balance is available. When expenditures are incurred for purposes for which amounts in any of the unrestricted fund balance classifications may be applied, committed resources are to be applied first, followed by assigned and unassigned.

Deficit Fund Balance

At year end, if any of the special revenue funds has a deficit unassigned fund balance, the City Manager is authorized to transfer funds from the General Fund to cover the deficit, providing the General Fund has the resources to do so.

CITY OF CLAREMONT, NEW HAMPSHIRE
NOTES TO BASIC FINANCIAL STATEMENTS (CONTINUED)
For the Year Ended June 30, 2023

Minimum Level of Unassigned Fund Balance

In accordance with the City's fund balance policy, the City will strive to maintain an unassigned fund balance in its General Fund equal to 5-15% of the budgeted General Fund operating expenditures each fiscal year.

Interfund Activity

Transfers between governmental and business-type activities on the government-wide statements are reported in the same manner as general revenues.

Exchange transactions between funds are reported as revenues in the seller funds and as expenditures/expenses in the purchaser funds. Flows of cash or goods from one fund to another without a requirement for repayment are reported as interfund transfers. Interfund transfers are reported as other financing sources/uses in governmental funds and after non-operating revenues/expenses in the proprietary funds. Repayments from funds responsible for particular expenditures/expenses to the funds that initially paid for them are not presented on the financial statements.

Operating Revenues and Expenses

Operating revenues are those revenues that are generated directly from the primary activity of the proprietary funds. For the water fund, sewer fund, and nonmajor proprietary fund, these revenues are charges to customers for sales and services. Operating expenses, which include depreciation on capital assets, are necessary costs incurred to provide the service that is the primary activity of the proprietary fund. All revenues and expenses not meeting this definition are reported as non-operating revenues and expenses.

Estimates

The preparation of financial statements in conformity with accounting principles generally accepted in the United States of America require management to make estimates and assumptions that affect certain reported amounts and disclosures. Accordingly, actual results may differ from those estimates.

NOTE 2—DEPOSITS AND INVESTMENTS

Deposits and investments as of June 30, 2023 are classified in the accompanying financial statements as follows:

Statement of net position:	
Cash and cash equivalents	\$ 16,182,924
Investments	14,550,720
Statement of fiduciary net position:	
Cash and cash equivalents	593,972
Investments	24,479,099
Total deposits and investments	<u>\$ 55,806,715</u>

CITY OF CLAREMONT, NEW HAMPSHIRE
NOTES TO BASIC FINANCIAL STATEMENTS (CONTINUED)
For the Year Ended June 30, 2023

Deposits and investments as of June 30, 2023 consist of the following:

Cash on hand	\$ 3,707
Deposits with financial institutions	16,973,189
Investments	<u>38,829,819</u>
Total deposits and investments	<u>\$ 55,806,715</u>

The City's investment policy for governmental and proprietary fund types requires that deposits and investments be made in New Hampshire based financial institutions that are participants in one of the federal depository insurance programs. The City limits its investments to demand deposits, short-term governmental securities or obligations, certificates of deposit, and repurchase agreements in accordance with New Hampshire State law (RSA 48:16) or the New Hampshire Public Deposit Investment Pool (NHPDIP), an external investment pool. Responsibility for the investments of the Trust Funds is with the Board of Trustees.

Credit Risk

Generally, credit risk is the risk that an issuer of an investment will not fulfill its obligation to the holder of the investment. This is measured by the assignment of a rating by a nationally recognized statistical rating organization.

The City's investment policy addresses credit risk by limiting investments to the safest types of securities and diversifying the investment portfolio. The City limits its investments to U.S. Treasury securities, short-term obligations of U.S. Government agencies, money market accounts, certificates of deposit, repurchase agreements, and the New Hampshire Public Deposit Investment Pool.

The investment policy of the Trustees of Trust Funds states that equities and convertible securities should represent a minimum of 40% of the total portfolio, with a similar minimum of 40% in fixed income securities. The fixed income investments shall include U.S. government issues and other bonds rated "A" or higher.

The following is the actual rating at year end for each investment type:

<u>Investment Type</u>	<u>Fair Value</u>	<u>Rating as of Year End</u>				
		<u>Aaa-m</u>	<u>AA</u>	<u>A</u>	<u>BBB</u>	<u>Not Rated</u>
Corporate bonds	\$ 775,876			\$ 582,837	\$ 193,039	
Federal agency securities	1,106,831		\$ 1,106,831			
Bond mutual funds	9,048,836					\$ 9,048,836
Money market mutual funds	450,284					450,284
State investment pool	<u>11,458,295</u>	<u>\$ 11,458,295</u>				
	<u>\$ 22,840,122</u>	<u>\$ 11,458,295</u>	<u>\$ 1,106,831</u>	<u>\$ 582,837</u>	<u>\$ 193,039</u>	<u>\$ 9,499,120</u>

Interest Rate Risk

Interest rate risk is the risk that changes in market interest rates will adversely affect the fair value of an investment. Generally, the longer the maturity of an investment, the greater the sensitivity of its fair value to changes in market interest rates. The City's investment policy for governmental and proprietary funds regarding interest rate risk indicates that safety and liquidity are the primary objectives. The City

CITY OF CLAREMONT, NEW HAMPSHIRE
NOTES TO BASIC FINANCIAL STATEMENTS (CONTINUED)
For the Year Ended June 30, 2023

minimizes its interest rate risk by maintaining a portfolio that is sufficiently liquid to enable the City to meet all operating requirements as reasonably anticipated. A portion of the portfolio may be placed in money market mutual funds, repurchase agreements, or local government investment pools which offer same-day liquidity for short term funds.

The Trustees of Trust Funds investment policy states that maturities of fixed income investments should generally be no longer than 10 years from the date of purchase, except for selected mortgage-backed securities. Equity securities selected for investment shall be of high quality and be liquid.

Information about the sensitivity of the fair values of the City's investments to market interest rate fluctuations is provided by the following table that shows the distribution of investments by maturity:

<u>Investment Type</u>	<u>Remaining Maturity (In Years)</u>			
	<u>Fair Value</u>	<u>0-1 Years</u>	<u>1-5 Years</u>	<u>> 5 Years</u>
Corporate bonds	\$ 775,876	\$ 442,512	\$ 333,364	
U.S. Treasury notes	1,746,785	485,508	1,261,277	
Federal agency securities	1,106,831	99,185	762,272	\$ 245,374
Bond mutual funds	9,048,836			9,048,836
	<u>\$ 12,678,328</u>	<u>\$ 1,027,205</u>	<u>\$ 2,356,913</u>	<u>\$ 9,294,210</u>

Custodial Credit Risk

Custodial credit risk for deposits is the risk that in the event of a bank failure, the City's deposits may not be returned to it. The custodial credit risk for investments is the risk that, in the event of the failure of the counterparty to a transaction, a government will not be able to recover the value of its investment or collateral securities that are in the possession of another party.

In accordance with the City's investment policy, all deposits shall be fully collateralized with the delivery of U.S. government obligations, U.S. government agency obligations, or obligations of the State of New Hampshire having a value at least 100% of the cash deposit in each case.

Of the City's deposits with financial institutions at year end, \$882,439 was collateralized by securities held by the bank in the bank's name. As of June 30, 2023, City investments in the following investment types were held by the same counterparty that was used to buy the securities.

<u>Investment Type</u>	<u>Reported Amount</u>
Equity securities	\$ 10,108,679
Corporate bonds	775,876
U.S. Treasury notes	1,746,785
Federal agency securities	1,106,831
Equity mutual funds	4,134,233
Bond mutual funds	9,048,836
Money market mutual funds	450,284
	<u>\$ 27,371,524</u>

CITY OF CLAREMONT, NEW HAMPSHIRE
NOTES TO BASIC FINANCIAL STATEMENTS (CONTINUED)
For the Year Ended June 30, 2023

Investment in NHPDIP

The City is a voluntary participant in the New Hampshire Public Deposit Investment Pool (NHPDIP), an external investment pool. The NHPDIP is not registered with the United States Securities and Exchange Commission as an investment company. The NHPDIP was created by state law and is administered by a public body of state, local and banking officials. Financial statements for the NHPDIP can be accessed through the NHPDIP's website at www.NHPDIP.com.

The City's exposure to derivatives is indirect through its participation in the NHPDIP. The City's proportional share of these derivatives is not available. The fair value of the position in the investment pool is equal to the value of the pool shares.

Fair Value Measurements of Investments

The City categorizes the fair value measurements of its investments within the fair value hierarchy established by accounting principles generally accepted in the United States. The fair value hierarchy categorizes the inputs to valuation techniques used for fair value measurement into three levels as follows (in order of priority):

- Level 1 Inputs - Inputs that reflect quoted prices (unadjusted) in active markets for identical assets or liabilities that the City has the ability to access at the measurement date.
- Level 2 Inputs - Inputs other than quoted prices that are observable for assets or liabilities either directly or indirectly, including inputs in markets that are not considered to be active.
- Level 3 Inputs - Significant unobservable inputs.

As of June 30, 2023, the City's investments measured at fair value, by type, were as follows:

<u>Investment Type</u>	<u>Totals</u>	<u>Fair Value Measurements Using:</u>		
		<u>Quoted prices in active markets for identical assets (Level 1)</u>	<u>Significant observable inputs (Level 2)</u>	<u>Significant unobservable inputs (Level 3)</u>
Equity securities	\$ 10,108,679	\$ 10,108,679		
Corporate bonds	775,876		\$ 775,876	
U.S. Treasury notes	1,746,785		1,746,785	
Federal agency securities	1,106,831		1,106,831	
Equity mutual funds	4,134,233	4,134,233		
Bond mutual funds	9,048,836	9,048,836		
	<u>\$ 26,921,240</u>	<u>\$ 23,291,748</u>	<u>\$ 3,629,492</u>	<u>\$ -</u>

Equity securities, equity mutual funds, and bond mutual funds classified as Level 1 are valued using unadjusted quoted prices in active markets for those securities. Corporate bonds, U.S. Treasury notes, and federal agency securities classified as Level 2 are valued using either a bid evaluation or a matrix pricing technique. Bid evaluations may include market quotations, yields, maturities, call features, and ratings. Matrix pricing is used to value securities based on the securities relationship to bench-mark quoted prices.

CITY OF CLAREMONT, NEW HAMPSHIRE
NOTES TO BASIC FINANCIAL STATEMENTS (CONTINUED)
For the Year Ended June 30, 2023

NOTE 3—CAPITAL ASSETS

The following is a summary of changes in capital assets in the governmental activities:

	Balance 7/1/2022	Additions	Reductions	Balance 6/30/2023
Governmental activities:				
Capital assets not depreciated:				
Land	\$ 1,672,469			\$ 1,672,469
Easements	184,500			184,500
Other intangible assets	10,000			10,000
Construction in process	7,341,005	\$ 2,538,244	\$ (1,850,846)	8,028,403
Total capital assets not being depreciated	9,207,974	2,538,244	(1,850,846)	9,895,372
Other capital assets:				
Infrastructure	30,990,792	1,035,256		32,026,048
Buildings and improvements	12,620,897	863,682		13,484,579
Vehicles, equipment and furnishings	14,045,764	191,854		14,237,618
Intangible assets	35,600			35,600
Total other capital assets at historical cost	57,693,053	2,090,792	-	59,783,845
Less accumulated depreciation for:				
Infrastructure	(11,449,965)	(976,781)		(12,426,746)
Buildings and improvements	(5,199,046)	(570,749)		(5,769,795)
Vehicles, equipment and furnishings	(10,470,302)	(356,530)		(10,826,832)
Intangible assets	(35,600)			(35,600)
Total accumulated depreciation	(27,154,913)	(1,904,060)	-	(29,058,973)
Total other capital assets, net	30,538,140	186,732	-	30,724,872
Total capital assets, net	\$ 39,746,114	\$ 2,724,976	\$ (1,850,846)	\$ 40,620,244

Depreciation was charged to governmental functions as follows:

General government	\$ 49,624
Public safety	96,637
Airport/Aviation center	114,753
Highways and streets	1,142,645
Culture and recreation	500,401
Total governmental activities depreciation expense	\$ 1,904,060

The following is a summary of changes in capital assets in the proprietary funds:

	(as restated) Balance 7/1/2022	Additions	Reductions	Balance 6/30/2023
Business-type activities:				
Capital asset not depreciated:				
Land	\$ 1,017,199			\$ 1,017,199
Construction in process	2,318,108	\$ 2,571,759	\$ (677,820)	4,212,047
Total capital assets not being depreciated	3,335,307	2,571,759	(677,820)	5,229,246

CITY OF CLAREMONT, NEW HAMPSHIRE
NOTES TO BASIC FINANCIAL STATEMENTS (CONTINUED)
For the Year Ended June 30, 2023

	(as restated) Balance <u>7/1/2022</u>	<u>Additions</u>	<u>Reductions</u>	Balance <u>6/30/2023</u>
Other capital assets:				
Infrastructure	43,805,021	677,820		44,482,841
Buildings and improvements	6,046,807	4,500		6,051,307
Vehicles and equipment	4,130,114	487,133		4,617,247
Total other capital assets at historical cost	<u>53,981,942</u>	<u>1,169,453</u>	<u>-</u>	<u>55,151,395</u>
Less accumulated depreciation for:				
Infrastructure	(24,563,342)	(920,736)		(25,484,078)
Buildings and improvements	(1,475,990)	(145,772)		(1,621,762)
Vehicles and equipment	(3,367,898)	(120,144)		(3,488,042)
Total accumulated depreciation	<u>(29,407,230)</u>	<u>(1,186,652)</u>	<u>-</u>	<u>(30,593,882)</u>
Total other capital assets, net	<u>24,574,712</u>	<u>(17,199)</u>	<u>-</u>	<u>24,557,513</u>
Total capital assets, net	<u>\$ 27,910,019</u>	<u>\$ 2,554,560</u>	<u>\$ (677,820)</u>	<u>\$ 29,786,759</u>

Depreciation was charged to proprietary funds as follows:

Water fund	\$ 385,751
Sewer fund	752,514
Nonmajor proprietary fund	48,387
Total Business-type activities depreciation expense	<u>\$ 1,186,652</u>

NOTE 4—LEASE RECEIVABLE

The City currently leases office space to independent third parties.

Lease No. 1

This lease agreement is effective for the period January 1, 2021 through December 31, 2025. Terms of the agreement include the option to extend the lease for an additional three terms of five years each. The City is reasonably certain that the lessee will exercise its option to extend the lease for the additional terms.

The City used the rental schedule to measure the lease receivable as of July 1, 2021. The lease receivable was discounted to its net present value as of July 1, 2021 using a 2.40% interest rate, the interest rate on a recent long-term obligation issuance.

Terms of the agreement include monthly rental payments. Rental payments are adjusted annually on January 1st of each year based on the difference in the Consumer Price Index – United State City Average (CPI) for the last month of the prior lease year reduced by the first month of the prior year lease. If the CPI is not available, the rent adjustments shall be based on a similar generally accepted index.

Lease No. 2

During June 2023, the City entered into another lease agreement for the period June 9, 2023 through June 30, 2030. Terms of the agreement include the option to extend the lease for an additional four terms of five years each. The City is reasonably certain that the lessee will exercise its option to extend the lease for the additional terms.

CITY OF CLAREMONT, NEW HAMPSHIRE
NOTES TO BASIC FINANCIAL STATEMENTS (CONTINUED)
For the Year Ended June 30, 2023

The City used the rental schedule to measure the lease receivable as of June 30, 2023. The lease receivable was discounted to its net present value as of June 30, 2023 using a 4.5% interest rate, the interest rate on a recent long-term obligation issuance.

Terms of the agreement include monthly rental payments. Rental payments are adjusted annually on the anniversary of the occupancy date (June 9th) of each year based on the difference in the Consumer Price Index – United State City Average (CPI) for the last month of the prior lease year reduced by the first month of the prior year lease. If the CPI is not available, the rent adjustments shall be based on a similar generally accepted index.

During the year ended June 30, 2023, the City recognized \$10,300 in lease revenue and \$4,828 in lease interest revenue under the terms of the agreements. As of June 30, 2023, the balance of the lease receivable was \$402,027 and the deferred inflows of resources related to the lease receivable amounted to \$391,895. Future payments to the City in accordance with the terms of the agreements are as follows:

Year Ending <u>June 30,</u>	<u>Principal</u>	<u>Interest</u>	<u>Total</u>
2024	\$ 12,743	\$ 12,027	\$ 24,770
2025	13,432	11,806	25,238
2026	14,288	11,426	25,714
2027	15,183	11,018	26,201
2028	16,119	10,580	26,699
2029-2033	96,167	45,190	141,357
2034-2038	126,712	28,852	155,564
2039-2043	<u>107,383</u>	<u>8,362</u>	<u>115,745</u>
Total	<u>\$ 402,027</u>	<u>\$ 139,261</u>	<u>\$ 541,288</u>

NOTE 5—LONG-TERM OBLIGATIONS

General Long-term Obligations

The changes in the City's long-term obligations for the year ended June 30, 2023 are as follows:

CITY OF CLAREMONT, NEW HAMPSHIRE
NOTES TO BASIC FINANCIAL STATEMENTS (CONTINUED)
For the Year Ended June 30, 2023

	(as restated)				
	Balance			Balance	Due Within
	<u>7/1/2022</u>	<u>Additions</u>	<u>Reductions</u>	<u>6/30/2023</u>	<u>One Year</u>
Governmental activities:					
Bonds payable	\$ 10,839,781		\$ (476,553)	\$ 10,363,228	\$ 487,178
Unamortized bond premium	685,702		(85,689)	600,013	
Total Bonds payable	11,525,483	\$ -	(562,242)	10,963,241	487,178
Tax increment financing bonds payable	2,600,000			2,600,000	520,000
Unamortized bond premium	5,066		(1,735)	3,331	
Total Tax increment financing bonds payable	2,605,066	-	(1,735)	2,603,331	520,000
Financed purchase obligations payable	1,928,016	401,296	(361,938)	1,967,374	439,633
Compensated absences payable	521,704	213,320	(148,396)	586,628	58,663
Total governmental activities	<u>\$ 16,580,269</u>	<u>\$ 614,616</u>	<u>\$ (1,074,311)</u>	<u>\$ 16,120,574</u>	<u>\$ 1,505,474</u>
Business-type activities:					
Bonds payable	\$ 5,665,152		\$ (1,157,260)	\$ 4,507,892	\$ 1,024,815
Principal forgiveness	161,303		(76,386)	84,917	
Total Bonds payable	5,826,455	\$ -	(1,233,646)	4,592,809	1,024,815
Notes payable	341,501		(18,812)	322,689	62,877
Financed purchase obligations payable	706,660	130,576	(110,013)	727,223	128,549
State of New Hampshire revolving loan	667,818	912,971		1,580,789	
Compensated absences payable	44,646	15,703	(12,883)	47,466	4,747
Total business-type activities	<u>\$ 7,587,080</u>	<u>\$ 1,059,250</u>	<u>\$ (1,375,354)</u>	<u>\$ 7,270,976</u>	<u>\$ 1,220,988</u>

Payments on bonds payable and financed purchase obligations of the governmental activities are paid out of the General Fund. Payments on tax increment financing bonds of the governmental activities are paid out of the Downtown Tax Increment Financing Fund. Payments on the bonds payable and financed purchase obligations of the business-type activities are paid out of the Water and Sewer Funds, as applicable. Payments on notes payable of the business-type activities are paid out of the Nonmajor Proprietary Fund. Compensated absences will be paid from the fund where the employee's salary is paid.

Bonds Payable

Governmental Activities

Bonds payable at June 30, 2023 are comprised of the following individual issues:

	Original Issue <u>Amount</u>	Interest <u>Rate</u>	Final Maturity <u>Date</u>	Balance at <u>6/30/2023</u>
<i>General Obligation Bonds:</i>				
Infrastructure improvements	\$ 3,512,000	2.10-5.10%	February 2041	\$ 3,278,228
Communications Dispatch Center	875,000	2.10-5.10%	February 2041	780,000
North/Main Streets, Community Center and Drapers Corner	7,452,400	3.00-4.125%	January 2041	5,570,000
Infrastructure improvements	1,400,000	2.00-4.00%	February 2031	735,000
				10,363,228
Add: Unamortized bond premium				600,013
Total Bonds Payable				<u>\$ 10,963,241</u>

CITY OF CLAREMONT, NEW HAMPSHIRE
NOTES TO BASIC FINANCIAL STATEMENTS (CONTINUED)
For the Year Ended June 30, 2023

General obligation bonds are direct obligations of the City, for which its full faith and credit are pledged, and are payable from taxes levied on all taxable property located within the City's boundaries.

Debt service requirements to retire bonds outstanding at June 30, 2023 are as follows:

Year Ending June 30,	General Obligation Bonds		
	<u>Principal</u>	<u>Interest</u>	<u>Total</u>
2024	\$ 487,178	\$ 400,421	\$ 887,599
2025	509,457	372,303	881,760
2026	522,607	351,245	873,852
2027	540,533	326,032	866,565
2028	549,747	302,214	851,961
2029-2033	2,778,706	1,155,190	3,933,896
2034-2038	2,995,000	636,896	3,631,896
2039-2041	<u>1,980,000</u>	<u>134,213</u>	<u>2,114,213</u>
Total	10,363,228	3,678,514	14,041,742
Add: Unamortized Bond Premium	<u>600,013</u>		<u>600,013</u>
Total	<u>\$ 10,963,241</u>	<u>\$ 3,678,514</u>	<u>\$ 14,641,755</u>

Business-type Activities

Bonds payable at June 30, 2023 are comprised of the following individual issues:

	<u>Original Issue Amount</u>	<u>Interest Rate</u>	<u>Maturity Date</u>	<u>Balance at 6/30/2023</u>
<u>Direct Borrowings:</u>				
<u>Water Fund:</u>				
2006 State Revolving Loan	\$ 4,050,000	3.488%	December 2026	\$ 981,033
2005 State Revolving Loan	2,298,361	3.634%	July 2027	554,704
2021 State Revolving Loan	500,000	0.3925%	August 2026	<u>362,212</u>
				<u>1,897,949</u>
<u>Sewer Fund:</u>				
2008 State Revolving Loan	336,000	3.688%	December 2027	104,667
2009 State Revolving Loan	108,261	3.488%	January 2028	32,925
2008 State Revolving Loan	2,707,734	3.488%	August 2027	826,174
2009 State Revolving Loan	422,540	3.488%	July 2028	128,973
2014 State Revolving Loan	767,757	1.940%	September 2023	73,244
2017 State Revolving Loan	2,146,698	1.940%	April 2026	563,508
2019 State Revolving Loan	721,551	2.000%	November 2023	117,109
2022 State Revolving Loan	651,635	2.000%	April 2031	<u>339,489</u>
				<u>2,186,089</u>
				<u>4,084,038</u>
<u>General Obligation Bonds:</u>				
Infrastructure improvements	700,000	2.10-5.10%	February 2033	<u>508,771</u>
Total Bonds Payable				<u>\$ 4,592,809</u>

CITY OF CLAREMONT, NEW HAMPSHIRE
NOTES TO BASIC FINANCIAL STATEMENTS (CONTINUED)
For the Year Ended June 30, 2023

Debt service requirements to retire the direct borrowings, net of principal forgiveness from the State of New Hampshire to be forgiven on the individual State Revolving Loan Funds of \$84,917, for business-type activities at June 30, 2023 are as follows:

Year Ending June 30,	Direct Borrowings			General Obligation Bonds		
	Principal	Interest	Total	Principal	Interest	Total
2024	\$ 941,993	\$ 80,063	\$ 1,022,056	\$ 82,822	\$ 8,089	\$ 90,911
2025	916,996	80,298	997,294	67,543	10,548	78,091
2026	929,882	56,193	986,075	62,393	5,698	68,091
2027	677,359	31,717	709,076	49,466	4,707	54,173
2028	372,132	13,222	385,354	50,253	3,920	54,173
2029-2033	160,759	6,073	166,832	196,294	8,415	204,709
	3,999,121	267,566	4,266,687	508,771	41,377	550,148
Add: Principal forgiveness	84,917		84,917			-
Total	<u>\$ 4,084,038</u>	<u>\$ 267,566</u>	<u>\$ 4,351,604</u>	<u>\$ 508,771</u>	<u>\$ 41,377</u>	<u>\$ 550,148</u>

The State of New Hampshire annually reimburses the City for its share of sewer related debt service payments. For the year ended June 30, 2023, the reimbursement was \$218,589 in the Sewer Fund.

General obligation bonds are direct obligations of the City, for which its full faith and credit are pledged. The bonds issued from direct borrowings are also direct obligations of the City and contain a pledge of the full faith and credit of the City for the payment of the principal and interest thereon. In the event of a default in the full and timely remittance of any payment, any State aid grant funds payable to the City under RSA 486:1 may be offset against and applied to the payment of any obligations that are due.

Tax Increment Financing Bonds

The City has pledged a portion of future tax increment financing revenues to repay \$7,661,000 in tax increment bonds issued in July 2007 to finance infrastructure improvements within the Downtown District. The bonds are payable solely from the tax increment financing taxes. Incremental taxes were projected to produce in excess of 100% of the debt service requirements over the life of the bonds. For the current fiscal year, principal and interest paid and total tax increment finance revenues were \$520,000 and \$112,828, respectively. During the year ended June 30, 2023, \$90,670 was transferred from the General Fund to the Downtown Tax Increment Financing Fund to assist with the debt service payments.

Tax increment financing bonds payable at June 30, 2023 are comprised of the following individual issues:

	Original Issue Amount	Interest Rate	Final Maturity Date	Balance at 6/30/2023
General Obligation Bonds:				
Mill District	\$ 2,722,000	4.68%	August 2027	\$ 1,300,000
Mill District	4,939,000	4.00-5.00%	August 2027	1,300,000
				2,600,000
Add: Unamortized bond premium				3,331
				<u>\$ 2,603,331</u>

CITY OF CLAREMONT, NEW HAMPSHIRE
NOTES TO BASIC FINANCIAL STATEMENTS (CONTINUED)
For the Year Ended June 30, 2023

Debt service requirements to retire tax increment financing bonds outstanding at June 30, 2023 are as follows:

Year Ending <u>June 30,</u>	General Obligation Bonds		
	<u>Principal</u>	<u>Interest</u>	<u>Total</u>
2024	\$ 520,000	\$ 56,150	\$ 576,150
2025	520,000	37,450	557,450
2026	520,000	24,750	544,750
2027	520,000	36,450	556,450
2028	520,000	350	520,350
	<u>2,600,000</u>	<u>155,150</u>	<u>2,755,150</u>
Add: Unamortized bond premium	3,331		3,331
Total	<u>\$ 2,603,331</u>	<u>\$ 155,150</u>	<u>\$ 2,758,481</u>

Notes Payable

Business-type Activities

Notes payable at June 30, 2023 is comprised of the following individual issues:

	Original Issue <u>Amount</u>	Interest <u>Rate</u>	Final Maturity <u>Date</u>	Balance at <u>6/30/2023</u>
Direct Borrowings:				
Farwell Block renovations	\$ 50,000	2.50%	December 2022	\$ 50,000
Renovations of 46-54 Opera House Square	300,000	2.00%	January 2041	272,689
				<u>\$ 322,689</u>

Debt service requirements to retire notes payable outstanding at June 30, 2023 are as follows:

Year Ending <u>June 30,</u>	Direct Borrowings		
	<u>Principal</u>	<u>Interest</u>	<u>Total</u>
2024	\$ 62,877	\$ 6,690	\$ 69,567
2025	13,150	5,063	18,213
2026	13,402	4,811	18,213
2027	13,673	4,541	18,214
2028	13,937	4,276	18,213
2029-2033	74,071	16,994	91,065
2034-2038	81,858	9,208	91,066
2039-2041	49,721	1,441	51,162
Total	<u>\$ 322,689</u>	<u>\$ 53,024</u>	<u>\$ 375,713</u>

The Farwell Block renovations note payable is secured by a second mortgage lien on nine tracts of land in the Syd Clarke Industrial Park, situated in the City of Claremont. The City is not deemed to be in default on the note if payment is received within seven days of the due date. However, the City will be assessed a 5% late charge based on the payment that is due.

CITY OF CLAREMONT, NEW HAMPSHIRE
NOTES TO BASIC FINANCIAL STATEMENTS (CONTINUED)
For the Year Ended June 30, 2023

The City's outstanding notes from the renovations at 46-54 Opera House Square contain provisions that in the event of default, the lender may take possession of the property and continue the construction project or accelerate maturity of the note and demand payment of all sums due under the note. The note agreement also contains a prepayment penalty whereby a penalty up to 5.0% of the outstanding principal balance will be imposed if the City pays off the loan in full with another financial institution during the first five-year term.

Financed Purchase Obligations

Financed purchase obligations represent lease agreements entered into for the financing of vehicle and equipment acquisitions. These contracts are subject to cancellation should funds not be appropriated to meet payment obligations. Amounts are annually budgeted in the applicable function.

Governmental Activities

The following are the outstanding individual financed purchase obligations of the governmental activities at June 30, 2023:

Vehicles and equipment due in annual installments, including interest at 2.99%, of \$95,420 through September 2023, reduced to annual installments of \$69,710 through September 2026, then reduced to annual installments of \$44,702 through, September 2033	\$ 526,422
Vehicles and equipment due in annual installments of \$48,017, including interest at 4.46%, through June 2029	247,983
Vehicles and equipment due in annual installments of \$63,359, including interest at 2.94%, through September 2027	290,665
Vehicles and equipment due in annual installments of \$98,310, including interest at 3.042%, through August 2022 then reduced to annual installments of \$78,316, including interest at 3.042%, through August 2027	358,231
Vehicles and equipment due in annual installments of \$55,687, including interest at 4.42%, through June 2026	153,313
Equipment due in annual installments of \$38,151, including interest at 2.97%, through January 2026	108,351
Vehicles due in annual installments of \$48,477, including interest at 3.49%, through November 2025	135,840
Vehicles and equipment due in annual installments of \$76,477, including interest at 2.89%, through September 2024	146,569
	<u>\$ 1,967,374</u>

CITY OF CLAREMONT, NEW HAMPSHIRE
NOTES TO BASIC FINANCIAL STATEMENTS (CONTINUED)
For the Year Ended June 30, 2023

Debt service requirements to retire financed purchase obligations outstanding for governmental activities at June 30, 2023 are as follows:

Year Ending <u>June 30,</u>	<u>Principal</u>	<u>Interest</u>	<u>Total</u>
2024	\$ 439,633	\$ 65,180	\$ 504,813
2025	427,457	53,736	481,193
2026	365,147	36,569	401,716
2027	235,233	24,127	259,360
2028	217,929	16,465	234,394
2029-2033	244,798	26,725	271,523
2034	37,177	1,298	38,475
Total	<u>\$ 1,967,374</u>	<u>\$ 224,100</u>	<u>\$ 2,191,474</u>

Business-type Activities

The following are the outstanding individual financed purchase obligations of the business-type activities at June 30, 2023:

Vehicles and equipment due in annual installments, including interest at 2.409%, of \$59,276, through March 2033	\$ 458,529
Vehicles and equipment due in annual installments, including interest at 4.55%, of \$9,694, through June 2032	70,306
Vehicles and equipment due in annual installments, including interest at 4.62%, of \$11,730, through June 2029	60,270
Vehicles and equipment due in annual installments, including interest at 2.99%, of \$30,447 through September 2023, reduced to annual installments of \$21,863, through September 2026	88,684
Vehicles due in annual installments of \$12,735, including interest at 2.89%, through September 2024	24,407
Equipment due in annual installments of \$25,813, including interest at 3.14%, through February 2024	25,027
	<u>\$ 727,223</u>

Debt service requirements to retire financed purchase obligations outstanding for business-type activities at June 30, 2023 are as follows:

CITY OF CLAREMONT, NEW HAMPSHIRE
NOTES TO BASIC FINANCIAL STATEMENTS (CONTINUED)
For the Year Ended June 30, 2023

Year Ending <u>June 30,</u>	<u>Principal</u>	<u>Interest</u>	<u>Total</u>
2024	\$ 128,549	\$ 21,200	\$ 149,749
2025	97,933	17,366	115,299
2026	88,085	14,478	102,563
2027	79,138	11,868	91,006
2028	60,706	9,429	70,135
2029-2033	<u>272,812</u>	<u>21,211</u>	<u>294,023</u>
Total	<u>\$ 727,223</u>	<u>\$ 95,552</u>	<u>\$ 528,752</u>

State of New Hampshire Revolving Loans

The City has drawn \$1,281,086 of approximately \$1,500,000 in funds under the State of New Hampshire, Drinking Water State Revolving Loan Fund Program for the water distribution pipe replacement project. The City may be provided federal financial assistance whereby a portion of the borrowed funds is forgiven. The principal forgiveness will be determined when the aggregate principal loan amount is established and will be applied to the loan upon the initial repayment.

The City has also drawn \$299,703 of approximately \$3,469,000 in funds under the State of New Hampshire, Water Pollution Control Revolving Loan Fund Program for the wastewater electrical upgrades project. The City may be provided federal financial assistance whereby a portion of the borrowed funds is forgiven, not to exceed \$346,900.

The City has approximately \$1,554,000 in funds available under the State of New Hampshire, Drinking Water State Revolving Loan Fund Program for the lead services and water main replacement project. The City has no outstanding balance due as of June 30, 2023. The City may be provided federal financial assistance whereby a portion of the borrowed funds is forgiven. The principal forgiveness will be determined when the aggregate principal loan amount is established and will be applied to the loan upon the initial repayment.

During August 2022, the City entered into an agreement to borrow approximately \$3,163,300 in funds available under the State of New Hampshire, Water Pollution Control State Revolving Loan Fund Program for the wastewater treatment facility dewatering upgrade project. The City has no outstanding balance due as of June 30, 2023. The City may be provided federal financial assistance whereby a portion of the borrowed funds is forgiven, not to exceed \$316,330.

Payments are not scheduled to commence until the first day of the month following the first anniversary of the substantial completion date of the project or the first anniversary of the scheduled completion date of the project, whichever is earlier. Interest is accrued at 1% during the construction period of the project and is to be paid upon completion of the construction project within the following year.

CITY OF CLAREMONT, NEW HAMPSHIRE
NOTES TO BASIC FINANCIAL STATEMENTS (CONTINUED)
For the Year Ended June 30, 2023

NOTE 6—OTHER POSTEMPLOYMENT BENEFITS

Total OPEB Liabilities, Deferred Outflows of Resources, Deferred Inflows of Resources and OPEB Expense

	Deferred <u>Outflows</u>	OPEB <u>Liability</u>	Deferred <u>Inflows</u>	OPEB <u>Expense</u>
Cost-Sharing Multiple Employer Plan	\$ 100,747	\$ 867,538	\$ -	\$ 76,393
Single Employer Plan	<u>155,656</u>	<u>1,720,441</u>	<u>724,549</u>	<u>49,147</u>
Total	<u>\$ 256,403</u>	<u>\$ 2,587,979</u>	<u>\$ 724,549</u>	<u>\$ 125,540</u>

The net amount of deferred outflows of resources and deferred inflows of resources related to OPEB is reflected as a decrease to unrestricted net position in the amount of (\$468,146).

COST-SHARING MULTIPLE EMPLOYER PLAN

Plan Description

The New Hampshire Retirement System (NHRS) administers a cost-sharing multiple-employer other postemployment benefit plan (OPEB Plan). The OPEB Plan provides a medical insurance subsidy to qualified retired members.

The NHRS issues a publicly available financial report that includes financial statements and required supplementary information for NHRS. That report may be obtained by writing to New Hampshire Retirement System at 54 Regional Drive, Concord, New Hampshire 03301 or from their website at www.nhrs.org.

The OPEB Plan is divided into four membership types. The four membership types are Group II Police Officer and Firefighters, Group I Teachers, Group I Political Subdivision Employees, and Group I State Employees. The OPEB plan is closed to new entrants.

Benefits Provided

Benefit amounts and eligibility requirements for the OPEB Plan are set by state law (RSA 100-A:52, RSA 100-A:52-a and RSA 100-A:52-b), and members are designated in statute by type. The medical insurance subsidy is a payment made by NHRS to the former employer or its insurance administrator toward the cost of health insurance for a qualified retiree, his/her qualified spouse, and his/her certified dependent children with a disability who are living in the household and being cared for by the retiree. If the health insurance premium amount is less than the medical subsidy amount, then only the health insurance premium amount will be paid. If the health insurance premium amount exceeds the medical subsidy amount, then the retiree or other qualified person is responsible for paying any portion that the employer does not pay.

Group I benefits are based on creditable service, age and retirement date. Group II benefits are based on hire date, age and creditable service. Medical subsidy rates established by RSA 100-A:52 II are dependent upon whether retirees are eligible for Medicare. Retirees not eligible for Medicare may receive a maximum medical subsidy of \$375.56 for a single person plan and \$751.12 for a two-person plan.

CITY OF CLAREMONT, NEW HAMPSHIRE
NOTES TO BASIC FINANCIAL STATEMENTS (CONTINUED)
For the Year Ended June 30, 2023

Retirees eligible for Medicare may receive a maximum medical subsidy of \$236.84 for a single person plan and \$473.68 for a two-person plan.

Funding Policy

Per RSA-100:16, contribution rates are established and may be amended by the New Hampshire State legislature and are determined by the NHRS Board of Trustees based on an actuarial valuation. The City's contribution rates for the covered payroll of public safety employees and political subdivision employees were 3.21% and 0.31%, respectively, for the year ended June 30, 2022. Contributions to the OPEB plan for the City were \$98,376 for the year ended June 30, 2023. Employees are not required to contribute to the OPEB plan.

OPEB Liabilities, OPEB Expense, and Deferred Outflows of Resources and Deferred Inflows of Resources Related to OPEB

At June 30, 2023, the City reported a liability of \$867,538 for its proportionate share of the net OPEB liability. The net OPEB liability was measured as of June 30, 2022, and the total OPEB liability used to calculate the net OPEB liability was determined by a roll forward of the actuarial valuation from June 30, 2021. The City's proportion of the net OPEB liability was based on actual contributions by the City during the relevant fiscal year relative to the actual contributions of all participating plan members, excluding contributions to separately finance specific liabilities of individual employers or NHRS. At June 30, 2022, the City's proportion was approximately 0.2296 percent, which was an increase of 0.0113 percentage points from its proportion measured as of June 30, 2021.

For the year ended June 30, 2023, the City recognized OPEB expense of \$76,393. At June 30, 2023, the City reported deferred outflows of resources and deferred inflows of resources related to OPEB from the following sources:

	Deferred Outflows of <u>Resources</u>	Deferred Inflows of <u>Resources</u>
Net difference between projected and actual earnings on OPEB plan investments	\$ 2,371	
City contributions subsequent to the measurement date	<u>98,376</u>	
Totals	<u>\$ 100,747</u>	<u>\$ -</u>

The City reported \$98,376 as deferred outflows of resources related to OPEB resulting from City contributions subsequent to the measurement date. This amount will be recognized as a reduction of the net OPEB liability in the measurement period ended June 30, 2023. Other amounts reported as deferred outflows of resources and deferred inflows of resources related to OPEB will be recognized in OPEB expense for the measurement periods as follows:

CITY OF CLAREMONT, NEW HAMPSHIRE
NOTES TO BASIC FINANCIAL STATEMENTS (CONTINUED)
For the Year Ended June 30, 2023

<u>June 30,</u>	
2023	\$ 394
2024	102
2025	(933)
2026	<u>2,808</u>
	<u>\$ 2,371</u>

Actuarial Assumptions

The total OPEB liability was determined by a roll forward of the actuarial valuation as of June 30, 2021, using the following actuarial assumptions, applied to all periods included in the measurement, unless otherwise specified:

Inflation	2.00%
Wage inflation	2.75% (2.25% for Teachers)
Salary increases	5.40%, average, including inflation
Investment rate of return	6.75%, net of OPEB plan investment expense, including inflation for determining solvency contributions

Mortality rates were based on the Pub-2010 Healthy Retiree Mortality Tables with credibility adjustments for each group (Police and Fire combined) and projected fully generational mortality improvements using scale MP-2019.

The actuarial assumptions used in the June 30, 2021 valuation were based on the results of the most recent actuarial experience study, which was for the period July 1, 2015 – June 30, 2019.

The long-term expected rate of return on OPEB Plan investments was selected from a best estimate range determined using the building block approach. Under this method, an expected future real return range is calculated separately for each asset class. These ranges are combined to produce the long-term expected rate of return by weighting the expected future real rates of return net of investment expenses by the target asset allocation percentage and by adding expected inflation. Following is a table presenting target allocations and geometric real rates of return for each asset class:

<u>Asset Class</u>	<u>Target Allocation</u>	<u>Weighted Average Long-Term Expected Real Rate of Return</u>
Public equity	50%	7.60-7.90%
Private market equity	20%	6.60-8.85%
Private debt	5%	7.25%
Fixed income	<u>25%</u>	3.60%
Total	<u>100%</u>	

The discount rate used to measure the collective total OPEB liability as of June 30, 2022 was 6.75%. The projection of cash flows used to determine this single discount rate assumed that employer contributions will be made under the current statutes RSA 100-A:16 and RSA 100-A:53. Based on those assumptions, the OPEB Plan's fiduciary net position was projected to make all projected future benefit payments of current plan members. Therefore, the long-term expected rate of return on OPEB Plan investments was applied to all periods of projected benefit payments to determine the collective total OPEB liability.

CITY OF CLAREMONT, NEW HAMPSHIRE
NOTES TO BASIC FINANCIAL STATEMENTS (CONTINUED)
For the Year Ended June 30, 2023

Sensitivity of the City's Proportionate Share of the Net OPEB Liability to Changes in the Discount Rate

The following presents the City's proportionate share of the net OPEB liability calculated using the discount rate of 6.75%, as well as what the City's proportionate share of the net OPEB liability would be if it were calculated using a discount rate that is 1-percentage-point lower or 1-percentage-point higher than the single discount rate:

	<u>1% Decrease</u>	<u>Current Discount Rate</u>	<u>1% Increase</u>
Net OPEB liability	\$ 941,860	\$ 867,538	\$ 802,809

SINGLE EMPLOYER PLAN

Plan Description

The City of Claremont, New Hampshire administers the retiree health care benefits program, a single employer defined benefits plan that is used to provide postemployment benefits other than pensions (OPEB) for all permanent full-time employees. No assets are accumulated in a trust that meets the criteria in paragraph 4 of Statement 75.

Benefits Provided

Per RSA 100-A:50, any political subdivision of the state that provides for its active employees to receive medical, life and dental insurance shall permit its employees upon retirement to participate in the same plan as its active members. Accordingly, in addition to providing pension benefits, the City provides medical, life insurance, and dental benefits to its eligible retirees and their dependents. General employees hired before July 1, 2011 must meet one of the following eligibility requirements: age 60 or older with no minimum service requirement, age 50 with 10 years of service, or age plus service equals 70 with a minimum of 20 years of service. General employees hired on or after July 1, 2011 must meet the following eligibility requirements: age 65 regardless of years of creditable service or age 60 with a minimum of 30 years of service. Police officers and firefighters hired before July 1, 2011 must meet the following eligibility requirements: age 45 with 20 years of service or age 60 with no minimum service requirement. Police officers and firefighters hired on or after July 1, 2011 must meet the following eligibility requirements: age 50 with a minimum of 25 years of service, age 52.5 with a minimum of 25 years of service or age 60 with no minimum service requirement. Retirees and their covered spouses pay the full cost of the medical premiums.

Employees Covered By Benefit Terms

At June 30, 2022, the actuarial valuation date, the following employees were covered by the benefit terms:

Inactive employees or beneficiaries currently receiving benefit payments	58
Active employees	<u>75</u>
	<u>133</u>

CITY OF CLAREMONT, NEW HAMPSHIRE
NOTES TO BASIC FINANCIAL STATEMENTS (CONTINUED)
For the Year Ended June 30, 2023

Total OPEB Liability

The City's total OPEB liability of \$1,720,441 was measured as of June 30, 2023, and was determined by an actuarial valuation as of June 30, 2022.

Actuarial Assumptions and Other Inputs for OPEB

The total OPEB liability in the June 30, 2022 valuation was determined using the following actuarial assumptions and other inputs, applied to all periods included in the measurement, unless otherwise specified:

Inflation	2.25%
Salary increases	2.75%
Discount rate	4.13%
Healthcare cost trend rates	7.50% initial rate, decreasing 0.50% per year to an ultimate rate of 4.50% for 2029 and later years

The discount rate was based on the Bond Buyer 20-Year General Obligation Municipal Bond Index as of June 30, 2023.

Mortality rates were based on the SOA Pub-2010 General Headcount Weighted Mortality Table fully generational using Scale MP-2021 for general participants, SOA Pub-2010 Public Safety Headcount Weighted Mortality Table fully generational using Scale MP-2021 for public safety participants, and SOA Pub-2010 Continuing Survivor Headcount Weighted Mortality Table fully generational using Scale MP-2021 for surviving spouses. The actuarial assumptions used in the June 30, 2023 valuation were based on the results of an actuarial valuation date of June 30, 2022.

Changes in the Total OPEB Liability

Balance at June 30, 2022	\$ 1,841,212
Changes for the year:	
Service cost	71,106
Interest	75,821
Changes of assumptions or other inputs	(5,478)
Differences between expected and actual experience	(144,020)
Benefit payments	(118,200)
Net changes	(120,771)
Balance at June 30, 2023	<u>\$ 1,720,441</u>

The following assumption was changed in the current year:

- Increased the discount rate from 4.09% at June 30, 2022 to 4.13% at June 30, 2023

CITY OF CLAREMONT, NEW HAMPSHIRE
NOTES TO BASIC FINANCIAL STATEMENTS (CONTINUED)
For the Year Ended June 30, 2023

Sensitivity of the Total OPEB Liability to Changes in the Discount Rate

The following presents the total OPEB liability of the City, as well as what the City's total OPEB liability would be if it were calculated using a discount rate that is 1-percentage-point lower or 1-percentage-point higher than the current discount rate:

	<u>1% Decrease</u>	<u>Current Discount Rate</u>	<u>1% Increase</u>
Total OPEB liability	\$ 1,864,922	\$ 1,720,441	\$ 1,591,087

Sensitivity of the Total OPEB Liability to Changes in the Healthcare Cost Trend Rate

The following presents the total OPEB liability of the City, as well as what the City's total OPEB liability would be if it were calculated using healthcare cost trend rates that are 1-percentage-point lower or 1-percentage-point higher than the current healthcare cost trend rate:

	<u>1% Decrease</u>	<u>Healthcare Cost Trend Rates</u>	<u>1% Increase</u>
Total OPEB liability	\$ 1,544,711	\$ 1,720,441	\$ 1,928,652

OPEB Expense and Deferred Outflows of Resources and Deferred Inflows of Resources Related to OPEB

For the year ended June 30, 2023, the City recognized OPEB expense of \$49,147. At June 30, 2023, the City reported deferred outflows of resources and deferred inflows of resources related to OPEB from the following sources:

	<u>Deferred Outflows of Resources</u>	<u>Deferred Inflows of Resources</u>
Differences between expected and actual experience	\$ 2,733	\$ 516,029
Changes of assumptions	152,923	208,520
Totals	<u>\$ 155,656</u>	<u>\$ 724,549</u>

Amounts reported as deferred outflows of resources and deferred inflows of resources related to OPEB will be recognized in OPEB expense as follows:

<u>June 30,</u>	
2024	\$ (97,783)
2025	(101,948)
2026	(101,949)
2027	(110,709)
2028	(76,488)
Thereafter	(80,016)
	<u>\$ (568,893)</u>

CITY OF CLAREMONT, NEW HAMPSHIRE
NOTES TO BASIC FINANCIAL STATEMENTS (CONTINUED)
For the Year Ended June 30, 2023

NOTE 7—DEFINED BENEFIT PENSION PLAN

Plan Description

The City contributes to the New Hampshire Retirement System (NHRS), a public employee retirement system that administers a single cost-sharing multiple-employer defined benefit pension plan. The plan provides service, disability, death and vested retirement allowances to plan members and beneficiaries. Benefit provisions are established and may be amended by the New Hampshire State legislature.

The NHRS issues a publicly available financial report that includes financial statements and required supplementary information for NHRS. That report may be obtained by writing to New Hampshire Retirement System, 54 Regional Drive, Concord, New Hampshire 03301 or from their website at www.nhrs.org.

Substantially all full-time state and local employees, public school teachers, permanent firefighters and permanent police officers within the State are eligible and required to participate in the Pension Plan.

The Pension Plan is divided into two membership groups. State and local employees and teachers belong to Group I. Police and firefighters belong to Group II.

Benefits Provided

Benefit formulas and eligibility requirements for the pension plan are set by State law (RSA 100-A).

Group I benefits are provided based on creditable service and average final salary for the highest of either three or five years, depending on when service commenced.

Group II benefits are provided based on age, years of creditable service and a benefit multiplier depending on vesting status as of January 1, 2012. The maximum retirement allowance for Group II members vested by January 1, 2012 (45 years of age with 20 years of service or age 60 regardless of years of creditable service) is the average final compensation multiplied by 2.5% multiplied by creditable service. For Group II members not vested by January 1, 2012, the benefit is calculated the same way but the multiplier used in the calculation will change depending on age and years of creditable service as follows:

Years of Creditable Service as of <u>January 1, 2012</u>	Minimum <u>Age</u>	Minimum <u>Service</u>	Benefit <u>Multiplier</u>
At least 8 but less than 10 years	46	21	2.4%
At least 6 but less than 8 years	47	22	2.3%
At least 4 but less than 6 years	48	23	2.2%
Less than 4 years	49	24	2.1%

Funding Policy

Covered police officers and fire employees are required to contribute 11.55% and 11.80%, respectively of their covered salary, whereas general employees are required to contribute 7.0% of their covered salary. The City is required to contribute at an actuarially determined rate. The City's pension contribution rates for the covered payroll of police officers, fire employees, and general employees were 30.67%, 29.78%,

CITY OF CLAREMONT, NEW HAMPSHIRE
NOTES TO BASIC FINANCIAL STATEMENTS (CONTINUED)
For the Year Ended June 30, 2023

and 13.75%, respectively, for the year ended June 30, 2023. The City contributes 100% of the employer cost for police officers, fire employees, and general employees of the City.

Per RSA-100-A:16, plan member contribution rates are established and may be amended by the New Hampshire State legislature and employer contribution rates are determined by the NHRS Board of Trustees based on an actuarial valuation. The City's contributions to the NHRS for the year ending June 30, 2023 were \$1,319,654.

Pension Liabilities, Pension Expense, and Deferred Outflows of Resources and Deferred Inflows of Resources Related to Pensions

At June 30, 2023, the City reported a liability of \$12,994,179 for its proportionate share of the net pension liability. The net pension liability was measured as of June 30, 2022, and the total pension liability used to calculate the net pension liability was determined by a roll forward of the actuarial valuation from June 30, 2021. The City's proportion of the net pension liability was based on actual contributions by the City during the relevant fiscal year relative to the actual contributions of all participating plan members, excluding contributions to separately finance specific liabilities of individual employers or NHRS. At June 30, 2022, the City's proportion was approximately 0.2265 percent, which was a decrease of 0.0016 percentage points from its proportion measured as of June 30, 2021.

For the year ended June 30, 2023, the City recognized pension expense of \$816,256. At June 30, 2023, the City reported deferred outflows of resources and deferred inflows of resources related to pension from the following sources:

	Deferred Outflows of <u>Resources</u>	Deferred Inflows of <u>Resources</u>
Differences between expected and actual experience	\$ 243,878	\$ 49,882
Net difference between projected and actual earnings on pension plan investments	492,463	
Changes of assumptions	691,187	
Changes in proportion and differences between City contributions and proportionate share of contributions		425,513
City contributions subsequent to the measurement date	<u>1,319,654</u>	
Totals	<u>\$ 2,747,182</u>	<u>\$ 475,395</u>

The net amount of deferred outflows of resources and deferred inflows of resources related to pension is reflected as an increase to unrestricted net position in the amount of \$2,271,787. The City reported \$1,319,654 as deferred outflows of resources related to pension resulting from City contributions subsequent to the measurement date. This amount will be recognized as a reduction of the net pension liability in the measurement period ended June 30, 2023. Other amounts reported as deferred outflows of resources and deferred inflows of resources related to pension will be recognized in pension expense in the measurement periods as follows:

CITY OF CLAREMONT, NEW HAMPSHIRE
NOTES TO BASIC FINANCIAL STATEMENTS (CONTINUED)
For the Year Ended June 30, 2023

<u>June 30,</u>	
2023	\$ 203,315
2024	343,645
2025	(258,478)
2026	663,651
	<u>\$ 952,133</u>

Actuarial Assumptions

The total pension liability was determined by a roll forward of the actuarial valuation as of June 30, 2021, using the following actuarial assumptions:

Inflation	2.00%
Wage inflation	2.75% (2.25% for Teachers)
Salary increases	5.460%, average, including inflation
Investment rate of return	6.75%, net of pension plan investment expense, including inflation

Mortality rates were based on the Pub-2010 Healthy Retiree Mortality Tables with credibility adjustments for each group (Police and Fire combined) and projected fully generational mortality improvements using Scale MP-2019.

The actuarial assumptions used in the June 30, 2021 valuation were based on the results of the most recent actuarial experience study, which was for the period July 1, 2015 – June 30, 2019.

The long-term expected rate of return on pension plan investments was selected from a best estimate range determined using the building block approach. Under this method, an expected future real return range is calculated separately for each asset class. These ranges are combined to produce the long-term expected rate of return by weighting the expected future real rates of return net of investment expenses by the target asset allocation percentage and by adding expected inflation. Following is a table presenting target allocations and geometric real rates of return for each asset class:

<u>Asset Class</u>	<u>Target Allocation</u>	<u>Weighted Average Long-Term Expected Real Rate of Return</u>
Public equity	50%	7.60-7.90%
Private market equity	20%	6.60-8.85%
Private debt	5%	7.25%
Fixed income	<u>25%</u>	3.60%
Total	<u>100%</u>	

Discount Rate

The discount rate used to measure the collective pension liability as of June 30, 2022 was 6.75%. The projection of cash flows used to determine the discount rate assumed that plan member contributions will be made at the current contribution rate and that employer contributions will be made at rates equal to the difference between actuarially determined contribution rates and the member rate. For purposes of the projection, member contributions and employer contributions are projected based on the expected payroll

CITY OF CLAREMONT, NEW HAMPSHIRE
NOTES TO BASIC FINANCIAL STATEMENTS (CONTINUED)
For the Year Ended June 30, 2023

of current members only. Employer contributions are determined based on the pension plan's actuarial funding policy and as required by RSA 100-A:16. Based on those assumptions, the pension plan's fiduciary net position was projected to be available to make all projected future benefit payments of current plan members. Therefore, the long-term expected rate of return on pension plan investments was applied to all periods of projected benefit payments to determine the collective pension liability.

Sensitivity of the City's Proportionate Share of the Net Pension Liability to Changes in the Discount Rate

The following presents the City's proportionate share of the net pension liability calculated using the discount rate of 6.75%, as well as what the City's proportionate share of the net pension liability would be if it were calculated using a discount rate that is 1-percentage-point lower or 1-percentage-point higher than the single discount rate:

	<u>1% Decrease</u>	<u>Current Discount Rate</u>	<u>1% Increase</u>
City's proportionate share of the net pension liability	\$ 17,434,912	\$ 12,994,179	\$ 9,302,121

NOTE 8—LANDFILL POSTCLOSURE CARE COSTS

The City closed its landfill in 2002. State and federal laws and regulations require that the City place a final cover on its landfill when closed and perform certain maintenance and monitoring functions at the landfill site for thirty years after closure. An estimated liability has been recorded based on the future postclosure care costs that will be incurred. The estimated liability for landfill postclosure care costs has a balance of \$405,000 as of June 30, 2023. However, the actual cost of postclosure care may be higher due to inflation, changes in technology, or change in landfill laws and regulations. The City will finance the postclosure care costs through annual appropriations.

The following is a summary of changes in the estimated liability for postclosure care costs for the year ended June 30, 2023:

Balance - July 1, 2022	\$ 337,500
Expenditures recognized in the General Fund	(15,260)
Net change in the estimated liability for postclosure care costs	<u>82,760</u>
Balance - June 30, 2023	<u>\$ 405,000</u>

NOTE 9—INTERFUND BALANCES AND TRANSFERS

The City has combined the cash resources of its governmental fund types. In addition, the General Fund directly pays for various items which are subsequently reimbursed from the applicable funds. These unpaid balances are represented in the interfund balances. Interfund balances at June 30, 2023 are as follows:

CITY OF CLAREMONT, NEW HAMPSHIRE
NOTES TO BASIC FINANCIAL STATEMENTS (CONTINUED)
For the Year Ended June 30, 2023

		Due from				
		Downtown				
		Tax Increment				
		Financing				
		Nonmajor				
		Governmental				
		General	CDBG	Financing	Nonmajor	Totals
		Fund	Fund	Fund	Funds	
Due to	General Fund		\$ 910,261	\$ 308,007	\$ 11,451	\$ 1,229,719
	Nonmajor Governmental Funds	\$ 209,361				209,361
		<u>\$ 209,361</u>	<u>\$ 910,261</u>	<u>\$ 308,007</u>	<u>\$ 11,451</u>	<u>\$ 1,439,080</u>

In addition to the short-term interfunds noted above, the City's General Fund advanced monies to the Downtown Tax Increment Financing Fund. These advances were to assist in funding the operations and are not expected to be repaid within one year. As of June 30, 2023, the Downtown Tax Increment Financing Fund owed the General Fund for advances in the amount of \$637,461.

During the year, several interfund transactions occurred between funds. These transfers were made in accordance with budgetary authorizations. Funding transferred from the CDBG Fund to the Nonmajor Proprietary Fund represents grant funded renovations to an existing building. Interfund transfers for the year ended June 30, 2023 are as follows:

		Transfer from					
		Nonmajor					
		Governmental					
		General	CDBG	ARPA	Permanent	Nonmajor	Totals
		Fund	Fund	Fund	Funds	Funds	
Transfer to	General Fund			\$ 250,000		\$ 489,125	\$ 739,125
	Downtown Tax Increment						
	Financing Fund	\$ 90,670					90,670
	Nonmajor Governmental Funds	423,790			\$ 7,571		431,361
	Nonmajor Proprietary Fund		\$ 1,352,821				1,352,821
		<u>\$ 514,460</u>	<u>\$ 1,352,821</u>	<u>\$ 250,000</u>	<u>\$ 7,571</u>	<u>\$ 489,125</u>	<u>\$ 2,613,977</u>

NOTE 10—RESTRICTED NET POSITION

Net position of the governmental activities and business-type activities is restricted for specific purposes as follows:

CITY OF CLAREMONT, NEW HAMPSHIRE
NOTES TO BASIC FINANCIAL STATEMENTS (CONTINUED)
For the Year Ended June 30, 2023

	Governmental <u>Activities</u>	Business-type <u>Activities</u>
Permanent Funds - Principal	\$ 4,165,070	
Permanent Funds - Income	199,063	
Financed Purchase Obligations	505,000	\$ 229,767
SB401 - Highway block grant funding	362,020	
SB401 - Bridge aid funding	300,000	
Grants Fund	433,612	
ARPA Fund	20	
Police Grants Fund	39,234	
Disaster Fund	22,085	
Airport and Fire Grants Fund	46,201	
Library Historic Preservation Fund	772	
Parks and Recreation Project Fund	166	
	<u>\$ 6,073,243</u>	<u>\$ 229,767</u>

NOTE 11—COMPONENTS OF FUND BALANCE

The components of the City's fund balance for its governmental funds at June 30, 2023 are as follows:

	General	CDBG	ARPA	Downtown Tax Increment Financing	Permanent	Nonmajor Governmental	Total Governmental
	<u>Fund</u>	<u>Fund</u>	<u>Fund</u>	<u>Fund</u>	<u>Funds</u>	<u>Funds</u>	<u>Funds</u>
Nonspendable:							
Advances to other funds	\$ 637,461						\$ 637,461
Prepaid items	112,284						112,284
Permanent Funds - principal					\$ 4,165,070		4,165,070
Restricted for:							
Permanent Funds - income					199,063		199,063
Public Works Projects Fund						\$ 1,774,633	1,774,633
Financed Purchase Obligations	505,000						505,000
Grants Fund						433,612	433,612
Police Grants Fund						39,234	39,234
Disaster Fund						22,085	22,085
Airport and Fire Grants Fund						46,201	46,201
Library Historic Preservation Fund						772	772
Parks and Recreation Project Fund						166	166
ARPA Fund			\$ 20				20
Committed for:							
Capital Reserve Funds	920,309						920,309
Expendable Trust Funds						1,439,865	1,439,865
Public Works Projects Fund						1,460,679	1,460,679
Encumbrances	763,000						763,000
Conservation Fund						10,336	10,336

CITY OF CLAREMONT, NEW HAMPSHIRE
NOTES TO BASIC FINANCIAL STATEMENTS (CONTINUED)
For the Year Ended June 30, 2023

	General	CDBG	ARPA	Downtown Tax Increment Financing	Permanent	Nonmajor Governmental	Total Governmental
	<u>Fund</u>	<u>Fund</u>	<u>Fund</u>	<u>Fund</u>	<u>Funds</u>	<u>Funds</u>	<u>Funds</u>
Assigned for:							
Encumbrances	218,552						218,552
Contingency for abatements	350,000						350,000
Designated to offset subsequent year's taxrate	894,358						894,358
Unassigned (deficit):							
General Fund	3,266,026						3,266,026
CDBG Fund		\$ (248,584)					(248,584)
Downtown Tax Increment Financing Fund				\$ (896,679)			(896,679)
	<u>\$ 7,666,990</u>	<u>\$ (248,584)</u>	<u>\$ 20</u>	<u>\$ (896,679)</u>	<u>\$ 4,364,133</u>	<u>\$ 5,227,603</u>	<u>\$ 16,113,483</u>

NOTE 12—ENCUMBRANCES

The encumbrances of the General Fund as of June 30, 2023, by function, are as follows:

<u>Function</u>	<u>Committed</u>	<u>Assigned</u>
General government	\$ 231,000	\$ 38,733
Public safety	250,000	128
Airport/Aviation center		706
Highways and streets	135,000	158,990
Sanitation	50,000	
Health and welfare	32,000	
Culture and recreation	65,000	19,995
	<u>\$ 763,000</u>	<u>\$ 218,552</u>

NOTE 13—PROPERTY TAXES

Taxes are levied on the assessed valuation of all taxable real property as of the prior April 1st (\$741,000,280 as of April 1, 2022) and are due in four installments on July 1, 2022, October 1, 2022, January 18, 2023 and April 1, 2023. Taxes paid after the due dates accrue interest at 8% per annum. Property taxes are recognized as revenue when received in cash or if available to finance current period operations (within sixty days of year-end).

Under State law, the Tax Collector obtains tax liens on properties which have unpaid taxes in the following calendar year after taxes were due for the amount of unpaid taxes, interest and costs. Priority tax liens obtained prior to April 1, 2019 accrue interest at 18% per annum. Priority tax liens obtained after April 1, 2019 accrued interest at 14% per annum. If the property is not redeemed within a two year redemption period, the property may be tax deeded to the City.

In accordance with State law, the City collects taxes for the Claremont School District and Sullivan County, both independent governmental units, which are remitted to them as required by law. The City also collects State of New Hampshire Education taxes, which are remitted directly to the school district. Total taxes appropriated during the year were \$16,967,387 and \$2,320,229 for the Claremont School

CITY OF CLAREMONT, NEW HAMPSHIRE
NOTES TO BASIC FINANCIAL STATEMENTS (CONTINUED)
For the Year Ended June 30, 2023

District and Sullivan County, respectively. These taxes are recognized in these financial statements within the fiduciary funds only. The City bears responsibility for uncollected taxes.

NOTE 14—RISK MANAGEMENT

The City is exposed to various risks of losses related to torts; theft of, damage to, and destruction of assets; errors and omissions; injuries to employees; and natural disasters. During the fiscal year ended June 30, 2023, the City was a member of and participated in a public entity risk pool (Trust) for property and liability insurance and worker's compensation coverage. Coverage has not been significantly reduced from the prior year and settled claims have not exceeded coverage in any of the past three years.

The Trust agreements permit the Trust to make additional assessments to members should there be a deficiency in Trust assets to meet its liabilities. Accounting principles generally accepted in the United States of America require members of pools with a sharing of risk to determine whether or not such assessment is probable and, if so, a reasonable estimate of such assessment. At this time, the Trust foresees no likelihood of an additional assessment for any of the past years. Claims expenditures and liabilities are reported when it is probable that a loss has occurred and the amount of that loss can be reasonably estimated. These losses include an estimate of claims that have been incurred but not reported. Based on the best available information there is no liability at June 30, 2023.

Property and Liability Insurance

The Trust provides certain property and liability insurance coverage to member towns, cities, and other qualified political subdivisions of New Hampshire. As a member of the Trust, the City shares in contributing to the cost of and receiving benefit from a self-insured pooled risk management program. The program includes a Self-Insured Retention Fund from which is paid up to \$500,000 for each and every covered property, crime and/or liability loss that exceeds \$1,000, up to an aggregate of \$1,200,000. Each property loss is subject to a \$1,000 deductible. All losses over the aggregate are covered by insurance policies.

Worker's Compensation

The Trust provides statutory worker's compensation coverage to member towns, cities, and other qualified political subdivisions of New Hampshire. The Trust is self-sustaining through annual member premiums and provides coverage for the statutorily required workers' compensation benefits and employer's liability coverage up to \$2,000,000. The program includes a Loss Fund from which is paid up to \$500,000 for each and every covered claim.

NOTE 15—CONTINGENT LIABILITIES

Litigation

The City's management estimates that any claims against the City, which are not covered by insurance, are immaterial and would not affect the financial position of the City.

CITY OF CLAREMONT, NEW HAMPSHIRE
NOTES TO BASIC FINANCIAL STATEMENTS (CONTINUED)
For the Year Ended June 30, 2023

Federal Grants

The City participates in a number of federally assisted grant programs. These programs are subject to financial and compliance audits by the grantors or their representatives. The amounts, if any, of expenditures which may be disallowed by the granting agency cannot be determined at this time, although the City expects such amounts, if any, to be immaterial.

NOTE 16—CHANGE IN ACCOUNTING PRINCIPLES

GASB Statement No. 94 – Public-Private and Public-Public Partnerships and Availability Payment Arrangements

During the year ended June 30, 2023, the City implemented GASB Statement No. 94, *Public-Private and Public-Public Partnerships and Availability Payment Arrangements*. Under Statement No. 94, the City is required to record a receivable for installment payments and a deferred inflow of resources for the consideration received or to be received as part of the availability payment arrangement. Governmental fund revenue would be recognized in a systematic and rational manner over the term of the arrangement. No such arrangements have been identified by the City. Accordingly, management has determined that the effect of implementing GASB Statement No. 94 on its financial statements to be immaterial.

GASB Statement No. 96 – Subscription-Based Information Technology Arrangements

During the year ended June 30, 2023, the City implemented GASB Statement No. 96, *Subscription-Based Information Technology Arrangements*. GASB Statement No. 96 defines a subscription-based information arrangement (SBITA) as a contract to use another party's software, alone or in combination with tangible capital assets as specified in the contract for a period of time in an exchange or exchange-like transaction. Under this Statement, governments generally recognize a right-to-use subscription asset (intangible asset) and a corresponding liability for each SBITA agreement greater than one year in length.

The City has entered into various SBITA arrangements for the use of vendor software. Management has determined that the effect of implementing GASB Statement No. 96 related to these SBITA agreements is immaterial to these financial statements

NOTE 17—SUBSEQUENT EVENTS

State of New Hampshire Revolving Loans

During July 2023, the City received an amendment increasing its loan amount for the wastewater electrical upgrades project by \$700,000 to \$4,169,000 and increased the portion of the borrowed funds to be forgiven by \$70,000 to not exceed \$416,900. Subsequent to year end, the City has drawn down an additional \$1,625,790 of the available \$4,169,000 in funds under the State of New Hampshire, Water Pollution Control Revolving Loan Fund Program for the wastewater electrical upgrades project.

During August 2023, the City entered into an agreement to borrow approximately \$2,150,000 in funds available under the State of New Hampshire, Drinking Water State Revolving Loan Fund Program for the lead service line replacement and water main replacement 2023 project. The City has not drawn down any funds from this State Revolving Loan agreement. The City may be provided federal financial assistance whereby a portion of the borrowed funds is forgiven, not to exceed \$1,170,000.

CITY OF CLAREMONT, NEW HAMPSHIRE
NOTES TO BASIC FINANCIAL STATEMENTS (CONTINUED)
For the Year Ended June 30, 2023

Note Payable

During July 2023, a \$220,000 note payable was issued to the Claremont Development Authority Fund (a nonmajor proprietary fund). Interest only payments at a rate of 2.0% are payable in monthly installments for twenty-four months. Thereafter, principal and interest payments at a rate of 6.0% are to be paid in monthly installments of \$1,417 through maturity.

Note Payable Extension

During September 2023, the \$50,000 note payable applicable to the renovations of the Farwell Block and reported as a liability of the Claremont Development Authority Fund (a nonmajor proprietary fund) was extended to December 31, 2023. During August 2024, this note payable was extended again to a new maturity date of December 31, 2025.

Financed Purchase Obligation

During September 2024, the City entered into a financed purchase obligation for the acquisition of equipment in the amount of \$530,270. The contract is subject to cancellation should funds not be appropriated to meet payment obligations. Payments are due in annual installments through September 2028.

NOTE 18—RESTATEMENT OF NET POSITION / FUND BALANCE

Governmental Activities and Business-type Activities

During the year ended June 30, 2023, it was discovered that the initial renovations to a building owned by the Nonmajor Proprietary Fund had not been previously capitalized. In addition, it was identified that the financed purchase obligations held in escrow as of June 30, 2022 were recorded in the incorrect fund. Net position of the Governmental Activities and Business-type Activities as of July 1, 2022 have been restated as follows:

	Governmental <u>Activities</u>	Business-type <u>Activities</u>
Net Position, July 1, 2022 (as previously reported)	\$ 25,167,604	\$ 32,740,752
Amount of restatement due to:		
Understatement of capital assets		127,509
Escrow funds recognized in incorrect fund	(285,116)	285,116
Financed purchase obligations recognized in incorrect fund	<u>285,116</u>	<u>(285,116)</u>
Net Position, July 1, 2022, as restated	<u>\$ 25,167,604</u>	<u>\$ 32,868,261</u>

Governmental Funds

During the year ended June 30, 2023, it was identified that the financed purchase obligations held in escrow as of June 30, 2022, were recorded in the incorrect fund. Fund balance of the General Fund has been restated as follows:

CITY OF CLAREMONT, NEW HAMPSHIRE
NOTES TO BASIC FINANCIAL STATEMENTS (CONTINUED)
For the Year Ended June 30, 2023

	General <u>Fund</u>
Fund balance - July 1, 2022 (as previously reported)	\$ 6,582,384
Amount of restatement due to:	
Escrow funds recognized in incorrect fund	<u>(285,116)</u>
Fund balance - July 1, 2022, as restated	<u>\$ 6,297,268</u>

Proprietary Funds

During the year ended June 30, 2023, it was discovered that the initial renovations to a building owned by the Nonmajor Proprietary Fund had not been previously capitalized. In addition, it was identified that the financed purchase obligations held in escrow as of June 30, 2022, were recorded in the incorrect fund. Net position of the Proprietary Funds as of July 1, 2022, have been restated as follows:

	Water <u>Fund</u>	Sewer <u>Fund</u>	Nonmajor Proprietary <u>Fund</u>	<u>Totals</u>
Net Position, July 1, 2022 (as previously reported)	\$ 10,282,715	\$ 20,644,596	\$ 1,813,441	\$ 32,740,752
Amount of restatement due to:				
Understatement of capital assets			127,509	127,509
Escrow funds recognized in incorrect fund	61,464	223,652		285,116
Financed purchase obligations recognized in incorrect fund	<u>(61,464)</u>	<u>(223,652)</u>		<u>(285,116)</u>
Net Position, July 1, 2022, as restated	<u>\$ 10,282,715</u>	<u>\$ 20,644,596</u>	<u>\$ 1,940,950</u>	<u>\$ 32,868,261</u>

SCHEDULE 1

CITY OF CLAREMONT, NEW HAMPSHIRE

Schedule of Revenues, Expenditures and Changes in Fund Balance

Budget and Actual (Budgetary Basis) - General Fund

For the Year Ended June 30, 2023

	<u>Budgeted Amounts</u>		<u>Actual</u>	Variance with
	<u>Original</u>	<u>Final</u>	<u>Amounts</u>	Final Budget - Favorable (Unfavorable)
Revenues:				
Taxes	\$ 11,892,682	\$ 11,892,682	\$ 11,974,600	\$ 81,918
Licenses and permits	2,265,400	2,265,400	2,614,231	348,831
Intergovernmental	1,561,020	1,561,020	1,528,059	(32,961)
Charges for services	1,205,450	1,205,450	741,262	(464,188)
Interest income	62,530	63,030	357,189	294,159
Miscellaneous	169,705	169,705	175,089	5,384
Total Revenues	<u>17,156,787</u>	<u>17,157,287</u>	<u>17,390,430</u>	<u>233,143</u>
Expenditures:				
Current operations:				
General government	4,392,003	4,455,900	4,102,855	353,045
Public safety	6,548,339	6,548,339	5,928,196	620,143
Airport/Aviation center	138,065	138,065	112,196	25,869
Highways and streets	3,278,367	3,040,680	2,743,958	296,722
Sanitation	236,321	236,321	230,390	5,931
Health and welfare	393,897	393,897	389,002	4,895
Culture and recreation	2,220,429	2,235,429	2,002,810	232,619
Debt service:				
Principal retirement	700,516	700,516	700,516	-
Interest and fiscal charges	414,434	414,434	382,436	31,998
Total Expenditures	<u>18,322,371</u>	<u>18,163,581</u>	<u>16,592,359</u>	<u>1,571,222</u>
Excess revenues over (under) expenditures	<u>(1,165,584)</u>	<u>(1,006,294)</u>	<u>798,071</u>	<u>1,804,365</u>
Other financing sources (uses):				
Transfers in	465,584	715,584	810,125	94,541
Transfers out	<u>(90,670)</u>	<u>(514,460)</u>	<u>(514,460)</u>	<u>-</u>
Total Other financing sources (uses)	<u>374,914</u>	<u>201,124</u>	<u>295,665</u>	<u>94,541</u>
Net change in fund balance	(790,670)	(805,170)	1,093,736	1,898,906
Fund Balance at beginning of year				
- Budgetary Basis	<u>6,232,192</u>	<u>6,232,192</u>	<u>6,232,192</u>	<u>-</u>
Fund Balance at end of year				
- Budgetary Basis	<u>\$ 5,441,522</u>	<u>\$ 5,427,022</u>	<u>\$ 7,325,928</u>	<u>\$ 1,898,906</u>

See accompanying notes to the required supplementary information

SCHEDULE 2

CITY OF CLAREMONT, NEW HAMPSHIRE

Schedule of Changes in the City's Proportionate Share of the Net OPEB Liability

For the Year Ended June 30, 2023

<u>Measurement Period Ended</u>	Cost-Sharing Multiple Employer Plan Information Only				
	<u>City's Proportion of the Net OPEB Liability</u>	<u>City's Proportionate Share of the Net OPEB Liability</u>	<u>City's Covered Payroll</u>	<u>City's Proportionate Share of the Net OPEB Liability as a Percentage of Covered Payroll</u>	<u>Plan Fiduciary Net Position as a Percentage of the Total OPEB Liability</u>
June 30, 2022	0.22957555%	\$ 867,538	\$ 6,352,669	13.66%	10.64%
June 30, 2021	0.21831806%	\$ 874,270	\$ 6,146,802	14.22%	11.06%
June 30, 2020	0.22031701%	\$ 964,347	\$ 5,951,021	16.20%	7.74%
June 30, 2019	0.24417154%	\$ 1,070,475	\$ 5,862,140	18.26%	7.75%
June 30, 2018	0.27588692%	\$ 1,263,137	\$ 6,132,474	20.60%	7.53%
June 30, 2017	0.19245460%	\$ 879,968	\$ 6,307,134	13.95%	7.91%
June 30, 2016	0.19732865%	\$ 955,278	\$ 6,104,210	15.65%	5.21%
June 30, 2015	*	*	*	*	*
June 30, 2014	*	*	*	*	*
June 30, 2013	*	*	*	*	*

Note to Required Supplementary Schedule:

* 10 Year schedule, historical information not available

Significant Actuarial Assumptions					
<u>Measurement Periods</u>	<u>Inflation</u>	<u>Salary Increases</u>	<u>Investment Rate of Return</u>	<u>Mortality Table</u>	<u>Mortality Scale</u>
June 30, 2022	2.00%	5.40%	6.75%	Pub-2010	MP-2019
June 30, 2020 - 2021	2.00%	5.60%	6.75%	Pub-2010	MP-2019
June 30, 2016 - 2019	2.50%	5.60%	7.25%	RP-2014	MP-2015

See accompanying notes to the required supplementary information

SCHEDULE 3
CITY OF CLAREMONT, NEW HAMPSHIRE
Schedule of City OPEB Contributions
For the Year Ended June 30, 2023

Cost-Sharing Multiple Employer Plan Information Only					
<u>Year Ended</u>	<u>Contractually Required Contribution</u>	<u>Contributions in Relation to the Contractually Required Contribution</u>	<u>Contribution Deficiency (Excess)</u>	<u>City's Covered Payroll</u>	<u>Contributions as a Percentage of Covered Payroll</u>
June 30, 2023	\$ 98,376	\$ (98,376)	\$ -	\$ 6,339,755	1.55%
June 30, 2022	\$ 96,672	\$ (96,672)	\$ -	\$ 6,352,669	1.52%
June 30, 2021	\$ 104,801	\$ (104,801)	\$ -	\$ 6,146,802	1.70%
June 30, 2020	\$ 102,265	\$ (102,265)	\$ -	\$ 5,951,021	1.72%
June 30, 2019	\$ 111,430	\$ (111,430)	\$ -	\$ 5,862,140	1.90%
June 30, 2018	\$ 122,033	\$ (122,033)	\$ -	\$ 6,132,474	1.99%
June 30, 2017	\$ 114,068	\$ (114,068)	\$ -	\$ 6,307,134	1.81%
June 30, 2016	\$ 114,660	\$ (114,660)	\$ -	\$ 6,104,210	1.88%
June 30, 2015	*	*	*	*	*
June 30, 2014	*	*	*	*	*

Note to Required Supplementary Schedule:
* 10 Year schedule, historical information not available

See accompanying notes to the required supplementary information

SCHEDULE 4

CITY OF CLAREMONT, NEW HAMPSHIRE

Schedule of Changes in the City's Total OPEB Liability and Related Ratios

For the Year Ended June 30, 2023

<u>Single Employer Plan Information Only</u>		<u>2023</u>	<u>2022</u>	<u>2021</u>	<u>2020</u>	<u>2019</u>	<u>2018</u>	<u>2017</u>	<u>2016</u>	<u>2015</u>	<u>2014</u>
Total OPEB Liability:											
Service cost	\$	71,106	\$ 110,151	\$ 104,442	\$ 112,966	\$ 102,308	\$ 78,256	*	*	*	*
Interest		75,821	47,888	59,731	86,337	90,273	80,774	*	*	*	*
Changes of assumptions or other inputs		(5,478)	(271,635)	80,489	149,831	70,055	10,024	*	*	*	*
Differences between expected and actual experience		(144,020)	(69,491)	(201,783)	(423,555)		19,149	*	*	*	*
Benefit payments		(118,200)	(103,836)	(110,901)	(151,120)	(141,230)	(130,688)	*	*	*	*
Net change in total OPEB liability		(120,771)	(286,923)	(68,022)	(225,541)	121,406	57,515	*	*	*	*
Total OPEB Liability at beginning of year		<u>1,841,212</u>	<u>2,128,135</u>	<u>2,196,157</u>	<u>2,421,698</u>	<u>2,300,292</u>	<u>2,242,777</u>	*	*	*	*
Total OPEB Liability at end of year	\$	<u>1,720,441</u>	<u>1,841,212</u>	<u>2,128,135</u>	<u>2,196,157</u>	<u>2,421,698</u>	<u>2,300,292</u>	*	*	*	*
Covered employee payroll	\$	5,354,187	\$ 4,470,101	\$ 5,786,560	\$ 5,604,416	\$ 5,812,146	\$ 5,472,469	*	*	*	*
Total OPEB liability as a percentage of covered employee payroll		32.13%	41.19%	36.78%	39.19%	41.67%	42.03%	*	*	*	*
<u>Significant Actuarial Assumptions</u>											
Discount rate		4.13%	4.09%	2.19%	2.66%	3.51%	3.87%	*	*	*	*
Health cost trend rates:											
Initial		7.50% - 2022	7.50% - 2022	8.00% - 2020	8.00% - 2020	9.00% - 2018	9.00% - 2018	*	*	*	*
Ultimate		4.50% - 2029	4.50% - 2029	4.50% - 2027	4.50% - 2027	5.00% - 2026	5.00% - 2026	*	*	*	*
Mortality data set		SOA Pub-2010	SOA Pub-2010	SOA Pub-2010	SOA Pub-2010	RPH-2017	RPH-2017	*	*	*	*
Mortality improvement scale		MP-2021	MP-2021	MP-2019	MP-2019	MP-2017	MP-2017	*	*	*	*

Notes to Required Supplementary Schedule:

No assets are accumulated in a trust that meets the criteria in paragraph 4 of Statement 75

* 10 Year schedule, historical information not available

See accompanying notes to the required supplementary information

SCHEDULE 5

CITY OF CLAREMONT, NEW HAMPSHIRE

Schedule of Changes in the City's Proportionate Share of the Net Pension Liability

For the Year Ended June 30, 2023

<u>Measurement Period Ended</u>	<u>City's Proportion of the Net Pension Liability</u>	<u>City's Proportionate Share of the Net Pension Liability</u>	<u>City's Covered Payroll</u>	<u>City's Proportionate Share of the Net Pension Liability (Asset) as a Percentage of Covered Payroll</u>	<u>Plan Fiduciary Net Position as a Percentage of the Total Pension Liability</u>
June 30, 2022	0.22653210%	\$ 12,994,179	\$ 6,352,669	204.55%	65.12%
June 30, 2021	0.22815127%	\$ 10,111,480	\$ 6,146,802	164.50%	72.22%
June 30, 2020	0.22913208%	\$ 14,655,634	\$ 5,951,021	246.27%	58.72%
June 30, 2019	0.23661753%	\$ 11,385,218	\$ 5,862,140	194.22%	65.59%
June 30, 2018	0.26135996%	\$ 12,585,011	\$ 6,132,474	205.22%	64.73%
June 30, 2017	0.28219702%	\$ 13,878,429	\$ 6,307,134	220.04%	62.66%
June 30, 2016	0.28358653%	\$ 15,079,984	\$ 6,104,210	247.04%	58.30%
June 30, 2015	0.28298298%	\$ 11,210,447	\$ 6,084,955	184.23%	65.47%
June 30, 2014	0.26142305%	\$ 9,812,738	\$ 5,439,299	180.40%	66.32%
June 30, 2013	0.25823893%	\$ 11,114,047	\$ 5,225,327	212.70%	59.81%

Significant Actuarial Assumptions

<u>Measurement Periods</u>	<u>Inflation</u>	<u>Salary Increases</u>	<u>Investment Rate of Return</u>	<u>Mortality Table</u>	<u>Mortality Scale</u>
June 30, 2022	2.00%	5.40%	6.75%	Pub-2010	MP-2019
June 30, 2020 - 2021	2.00%	5.60%	6.75%	Pub-2010	MP-2019
June 30, 2016 - 2019	2.50%	5.60%	7.25%	RP-2014	MP-2015
June 30, 2013 - 2015	3.00%	3.75-5.80%	7.75%	RP-2000	Scale AA

See accompanying notes to the required supplementary information

SCHEDULE 6
CITY OF CLAREMONT, NEW HAMPSHIRE
Schedule of City Pension Contributions
For the Year Ended June 30, 2023

<u>Year Ended</u>	<u>Contractually Required Contribution</u>	<u>Contributions in Relation to the Contractually Required Contribution</u>	<u>Contribution Deficiency (Excess)</u>	<u>City's Covered Payroll</u>	<u>Contributions as a Percentage of Covered Payroll</u>
June 30, 2023	\$ 1,319,654	\$ (1,319,654)	\$ -	\$ 6,339,755	20.82%
June 30, 2022	\$ 1,311,655	\$ (1,311,655)	\$ -	\$ 6,352,669	20.65%
June 30, 2021	\$ 1,047,011	\$ (1,047,011)	\$ -	\$ 6,146,802	17.03%
June 30, 2020	\$ 1,017,901	\$ (1,017,901)	\$ -	\$ 5,951,021	17.10%
June 30, 2019	\$ 1,029,716	\$ (1,029,716)	\$ -	\$ 5,862,140	17.57%
June 30, 2018	\$ 1,104,658	\$ (1,104,658)	\$ -	\$ 6,132,474	18.01%
June 30, 2017	\$ 1,033,810	\$ (1,033,810)	\$ -	\$ 6,307,134	16.39%
June 30, 2016	\$ 1,015,464	\$ (1,015,464)	\$ -	\$ 6,104,210	16.64%
June 30, 2015	\$ 949,374	\$ (949,374)	\$ -	\$ 6,084,955	15.60%
June 30, 2014	\$ 848,117	\$ (848,117)	\$ -	\$ 5,439,299	15.59%

See accompanying notes to the required supplementary information

CITY OF CLAREMONT, NEW HAMPSHIRE
NOTES TO REQUIRED SUPPLEMENTARY INFORMATION
For the Year Ended June 30, 2023

NOTE 1—BUDGET TO ACTUAL RECONCILIATION

General Fund

Amounts recorded as budgetary amounts in the Schedule of Revenues, Expenditures and Changes in Fund Balance – Budget and Actual (Budgetary Basis) – General Fund (Schedule 1) are reported on the basis budgeted by the City. Those amounts differ from those reported in conformity with accounting principles generally accepted in the United States of America in the Statement of Revenues, Expenditures and Changes in Fund Balances – Governmental Funds (Exhibit D). Property tax budgetary revenues are recognized when levied rather than when susceptible to accrual. Budgetary revenues and other financing sources and expenditures and other financing uses were adjusted for encumbrances, financed purchase obligation activity, non-budgetary activity, and budgetary transfers as follows:

	Revenues and Other Financing Sources	Expenditures and Other Financing Uses
Per Exhibit D	\$ 18,266,171	\$ 16,896,449
Difference in property taxes meeting susceptible to accrual criteria	303,075	
Encumbrances - June 30, 2023		981,552
Encumbrances - June 30, 2022		(927,886)
Financed purchase obligation activity	(401,296)	103,704
Non-budgetary activity	(38,395)	
Budgetary transfers	71,000	53,000
Per Schedule 1	<u>\$ 18,200,555</u>	<u>\$ 17,106,819</u>

Major Special Revenue Funds

Budgetary information in these financial statements has been presented only for the General Fund. Although budget resolutions are approved for each CDBG award and the ARPA award, these budgets are carried forward each year until the project is completed. Accordingly, the budgetary information is not meaningful for the CDBG Fund or the ARPA Fund.

NOTE 2—BUDGETARY FUND BALANCE

The components of the budgetary fund balance for the General Fund at June 30, 2023 are as follows:

Nonspendable:	
Advances to other funds	\$ 637,461
Prepaid items	112,284
Assigned for:	
Contingency for abatements	350,000
Designated to offset subsequent year's tax rate	894,358
Unassigned:	
General operations	5,331,825
	<u>\$ 7,325,928</u>

SCHEDULE I
CITY OF CLAREMONT, NEW HAMPSHIRE
Schedule of Expenditures of Federal Awards
For the Year Ended June 30, 2023

Federal Grantor / Pass-Through Grantor / Program or Cluster Title	Assistance Listing Number	Pass-Through Entity Identifying Number	Total Federal Expenditures	Expenditures to Subrecipients
DEPARTMENT OF HOUSING AND URBAN DEVELOPMENT				
Pass Through Payments from the New Hampshire Community Development Finance Authority				
COVID-19 - Community Development Block Grants / State's Program and Non-Entitlement Grants in Hawaii	14.228	#21-222-CDFP-CV	\$ 127,549	\$ 1,527
Community Development Block Grants / State's Program and Non-Entitlement Grants in Hawaii	14.228	#19-222-CDPF	770,318	767,606
Community Development Block Grants / State's Program and Non-Entitlement Grants in Hawaii	14.228	#19-222-CDPF2	652,123	
Community Development Block Grants / State's Program and Non-Entitlement Grants in Hawaii	14.228	#20-222-FSPF	1,500	
			<u>1,551,490</u>	<u>769,133</u>
Total Department of Housing and Urban Development			<u>1,551,490</u>	<u>769,133</u>
DEPARTMENT OF TRANSPORTATION				
Pass Through Payments from the New Hampshire Department of Transportation				
COVID-19 Airport Improvement Program	20.106	#SBG-02-21-2021	13,000	
Airport Improvement Program	20.106	#SBG-02-15-2020	73,990	
Airport Improvement Program	20.106	#SBG-02-19-2021	29,077	
Airport Improvement Program	20.106	#SBG-02-20-2021	1,070,765	
Airport Improvement Program	20.106	#SBG-02-23-2022	79,774	
Airport Improvement Program	20.106	#SBG-02-24-2022	66,207	
			<u>1,332,813</u>	<u>-</u>
Pass Through Payments from the New Hampshire Department of Transportation				
Highway Planning and Construction	20.205	#X-0131(0389)	114,241	
Highway Planning and Construction	20.205	#X-A004(736)	40,283	
			<u>154,524</u>	<u>-</u>
Total Department of Transportation			<u>1,487,337</u>	<u>-</u>
DEPARTMENT OF THE TREASURY				
Pass Through Payments from the New Hampshire Office of the Governor				
COVID-19 Coronavirus State and Local Fiscal Recovery Funds	21.027	N/A	270,400	
Pass Through Payments from the New Hampshire Department of Environmental Services				
COVID-19 Coronavirus State and Local Fiscal Recovery Funds	21.027	#CYB-ARPA-002	12,996	
COVID-19 Coronavirus State and Local Fiscal Recovery Funds	21.027	#LSL-08	15,000	
COVID-19 Coronavirus State and Local Fiscal Recovery Funds	21.027	#0461010-05	26,354	
COVID-19 Coronavirus State and Local Fiscal Recovery Funds	21.027	#CS-334114-22	63,247	
			<u>117,597</u>	<u>-</u>
Pass Through Payments from the New Hampshire Institute of Museum and Library Services				
COVID-19 Coronavirus State and Local Fiscal Recovery Funds	21.027	#20575437	20	
Total Department of the Treasury			<u>388,017</u>	<u>-</u>

See notes to schedule of expenditures of federal awards

SCHEDULE I

CITY OF CLAREMONT, NEW HAMPSHIRE

Schedule of Expenditures of Federal Awards (Continued)

For the Year Ended June 30, 2023

Federal Grantor / Pass-Through Grantor / Program or Cluster Title	Assistance Listing Number	Pass-Through Entity Identifying Number	Total Federal Expenditures	Expenditures to Subrecipients
ENVIRONMENTAL PROTECTION AGENCY				
Pass Through Payments from the New Hampshire Department of Environmental Services				
<i>Drinking Water State Revolving Fund Cluster:</i>				
Capitalization Grants for Drinking Water State Revolving Funds	66.468	#0461010.04	584,035	
<i>Total Drinking Water State Revolving Fund Cluster</i>			584,035	-
Total Environmental Protection Agency			584,035	-
Total Expenditures of Federal Awards			\$ 4,010,879	\$ 769,133

See notes to schedule of expenditures of federal awards

CITY OF CLAREMONT, NEW HAMPSHIRE
NOTES TO SCHEDULE OF EXPENDITURES OF FEDERAL AWARDS
For the Year Ended June 30, 2023

NOTE 1—BASIS OF PRESENTATION

The accompanying Schedule of Expenditures of Federal Awards (the Schedule) includes the federal award activity of the City of Claremont, New Hampshire (the City) under programs of the federal government for the year ended June 30, 2023. The information in this Schedule is presented in accordance with the requirements of Title 2 U.S. *Code of Federal Regulations* Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirement for Federal Awards* (Uniform Guidance). Because the Schedule presents only a selected portion of the operations of the City, it is not intended to and does not present the financial position, changes in net position, or cash flows of the City.

NOTE 2—SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

Expenditures reported on the Schedule are reported on the modified accrual basis of accounting for federal programs accounted for in the governmental funds, and on the accrual basis of accounting for federal programs accounted for in the proprietary funds, which are described in Note 1 to the City's basic financial statements. Such expenditures are recognized following the cost principles contained in the Uniform Guidance, wherein certain types of expenditures are not allowable or are limited as to reimbursement.

NOTE 3—INDIRECT COST RATE

The City has not elected to use the 10-percent de minimis indirect cost rate allowed under the Uniform Guidance.

**REPORT ON INTERNAL CONTROL OVER FINANCIAL REPORTING
AND ON COMPLIANCE AND OTHER MATTERS BASED ON AN AUDIT
OF FINANCIAL STATEMENTS PERFORMED IN ACCORDANCE
WITH GOVERNMENT AUDITING STANDARDS**

Independent Auditor's Report

To the Honorable Mayor, City Council and Manager
City of Claremont, New Hampshire

We have audited, in accordance with the auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards* issued by the Comptroller General of the United States, the financial statements of the governmental activities, the business-type activities, each major fund, and the aggregate remaining fund information of the City of Claremont, New Hampshire, as of and for the year ended June 30, 2023, and the related notes to the financial statements, which collectively comprise the City of Claremont, New Hampshire's basic financial statements and have issued our report thereon dated November 12, 2024.

Report on Internal Control Over Financial Reporting

In planning and performing our audit of the financial statements, we considered the City of Claremont, New Hampshire's internal control over financial reporting (internal control) as a basis for designing audit procedures that are appropriate in the circumstances for the purpose of expressing our opinions on the financial statements, but not for the purpose of expressing an opinion on the effectiveness of the City of Claremont, New Hampshire's internal control. Accordingly, we do not express an opinion on the effectiveness of the City of Claremont, New Hampshire's internal control.

A *deficiency in internal control* exists when the design or operation of a control does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, misstatements on a timely basis. A *material weakness* is a deficiency, or a combination of deficiencies, in internal control, such that there is a reasonable possibility that a material misstatement of the entity's financial statements will not be prevented, or detected and corrected, on a timely basis. A *significant deficiency* is a deficiency, or a combination of deficiencies, in internal control that is less severe than a material weakness, yet important enough to merit attention by those charged with governance.

Our consideration of internal control was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control that might be material weaknesses or significant deficiencies and therefore, material weaknesses or significant deficiencies may exist that were not identified. We identified certain deficiencies in internal control, described in the accompanying Schedule of Findings and Questioned Costs as items #2023-001 and #2023-002 that we consider to be material weaknesses.

Report on Compliance and Other Matters

As part of obtaining reasonable assurance about whether the City of Claremont, New Hampshire's financial statements are free from material misstatement, we performed tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements, noncompliance with which could have a direct and material effect on the financial statements. However, providing an opinion on compliance with those provisions was not an objective of our audit, and accordingly, we do not express such an opinion. The results of our tests disclosed no instances of noncompliance or other matters that are required to be reported under *Government Auditing Standards*.

City of Claremont, New Hampshire's Response to Findings

Government Auditing Standards requires the auditor to perform limited procedures on the City of Claremont, New Hampshire's response to the findings identified in our audit and described in the accompanying schedule of findings and questioned costs. The City of Claremont, New Hampshire's response was not subjected to the other auditing procedures applied in the audit of the financial statements and, accordingly, we express no opinion on the response.

Purpose of this Report

The purpose of this report is solely to describe the scope of our testing of internal control and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the entity's internal control or on compliance. This report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the entity's internal control and compliance. Accordingly, this communication is not suitable for any other purpose.

Vachon Clukay & Company PC

Manchester, New Hampshire
November 12, 2024

**REPORT ON COMPLIANCE FOR EACH MAJOR FEDERAL PROGRAM
AND REPORT ON INTERNAL CONTROL OVER COMPLIANCE
REQUIRED BY THE UNIFORM GUIDANCE**

Independent Auditor's Report

To the Honorable Mayor, City Council and Manager
City of Claremont, New Hampshire

Report on Compliance for Each Major Federal Program

Opinion on Each Major Federal Program

We have audited the City of Claremont, New Hampshire's compliance with the types of compliance requirements identified as subject to audit in the OMB *Compliance Supplement* that could have a direct and material effect on each of the City of Claremont, New Hampshire's major federal programs for the year ended June 30, 2023. The City of Claremont, New Hampshire's major federal programs are identified in the summary of auditor's results section of the accompanying schedule of findings and questioned costs.

In our opinion, the City of Claremont, New Hampshire complied, in all material respects, with the compliance requirements referred to above that could have a direct and material effect on each of its major federal programs for the year ended June 30, 2023.

Basis for Opinion on Each Major Federal Program

We conducted our audit of compliance in accordance with auditing standards generally accepted in the United States of America; the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States; and the audit requirements of Title 2 U.S. *Code of Federal Regulations* Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (Uniform Guidance). Our responsibilities under those standards and the Uniform Guidance are further described in the Auditor's Responsibilities for the Audit of Compliance section of our report.

We are required to be independent of the City of Claremont, New Hampshire and to meet our other ethical responsibilities, in accordance with relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion on compliance for each major federal program. Our audit does not provide a legal determination of the City of Claremont, New Hampshire's compliance with the compliance requirements referred to above.

Responsibilities of Management for Compliance

Management is responsible for compliance with the requirements referred to above and for the design, implementation, and maintenance of effective internal control over compliance with the requirements of laws, statutes, regulations, rules, and provisions of contracts or grant agreements applicable to the City of Claremont, New Hampshire's federal programs.

Auditor's Responsibilities for the Audit of Compliance

Our objectives are to obtain reasonable assurance about whether material noncompliance with the compliance requirements referred to above occurred, whether due to fraud or error, and express an opinion on the City of Claremont, New Hampshire's compliance based on our audit. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with generally accepted auditing standards, *Government Auditing Standards*, and the Uniform Guidance will always detect material noncompliance when it exists. The risk of not detecting material noncompliance resulting from fraud is higher than for that resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Noncompliance with the compliance requirements referred to above is considered material if there is a substantial likelihood that, individually or in the aggregate, it would influence the judgment made by a reasonable user of the report on compliance about the City of Claremont, New Hampshire's compliance with the requirements of each major federal program as a whole.

In performing an audit in accordance with generally accepted auditing standards, *Government Auditing Standards*, and the Uniform Guidance, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material noncompliance, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the City of Claremont, New Hampshire's compliance with the compliance requirements referred to above and performing such other procedures as we considered necessary in the circumstances.
- Obtain an understanding of the City of Claremont, New Hampshire's internal control over compliance relevant to the audit in order to design audit procedures that are appropriate in the circumstances and to test and report on internal control over compliance in accordance with the Uniform Guidance, but not for the purpose of expressing an opinion on the effectiveness of the City of Claremont, New Hampshire's internal control over compliance. Accordingly, no such opinion is expressed.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and any significant deficiencies and material weaknesses in internal control over compliance that we identified during the audit.

Report on Internal Control over Compliance

Our consideration of internal control over compliance was for the limited purpose described in the Auditor's Responsibilities for the Audit of Compliance section above and was not designed to identify all deficiencies in internal control over compliance that might be material weaknesses or significant deficiencies in internal control over compliance and therefore, material weaknesses or significant deficiencies may exist that were not identified. However, as discussed below, we did identify certain deficiencies in internal control over compliance that we consider to be a material weakness.

A deficiency in internal control over compliance exists when the design or operation of a control over compliance does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, noncompliance with a type of compliance requirement of a federal program on a timely basis. *A material weakness in internal control over compliance* is a deficiency, or a combination of deficiencies, in internal control over compliance, such that there is a reasonable possibility that material noncompliance with a type of compliance requirement of a federal program will not be prevented, or detected and corrected, on a timely basis.

A *significant deficiency in internal control over compliance* is a deficiency, or a combination of deficiencies, in internal control over compliance with a type of compliance requirement of a federal program that is less severe than a material weakness in internal control over compliance, yet important enough to merit attention by those charged with governance. We consider the deficiencies in internal control over compliance described in the accompanying schedule of findings and questioned costs as item #2023-002 to be a material weakness.

Our audit was not designed for the purpose of expressing an opinion on the effectiveness of internal control over compliance. Accordingly, no such opinion is expressed.

Government Auditing Standards requires the auditor to perform limited procedures on the City of Claremont, New Hampshire's response to the internal control over compliance findings identified in our audit described in the accompanying schedule of findings and questioned costs. The City of Claremont, New Hampshire's response was not subjected to the other auditing procedures applied in the audit of compliance and, accordingly, we express no opinion on the response.

The purpose of this report on internal control over compliance is solely to describe the scope of our testing of internal control over compliance and the results of that testing based on the requirements of the Uniform Guidance. Accordingly, this report is not suitable for any other purpose.

Vachon Clukay & Company PC

Manchester, New Hampshire
November 12, 2024

City of Claremont, New Hampshire
Schedule of Findings and Questioned Costs
For the Year Ended June 30, 2023

Section I—Summary of Auditor’s Results

Financial Statements

Type of auditor’s report issued on whether the financial statements audited were prepared in accordance with GAAP: Unmodified - all reporting units

Internal control over financial reporting:

Material weakness(es) identified? X yes no

Significant deficiency(ies) identified? yes X no

Noncompliance material to financial statements noted? yes X no

Federal Awards

Internal control over major federal programs:

Material weakness(es) identified? X yes no

Significant deficiency(ies) identified? yes X no

Type of auditor’s report issued on compliance for major federal programs:

Unmodified

Any audit findings disclosed that are required to be reported in accordance with 2 CFR 200.516(a)?

 X yes no

Identification of major federal programs:

Assistance Listing Number(s)	Name of Federal Program or Cluster
14.228	Community Development Block Grants / State's Program and Non-Entitlement Grants in Hawaii
20.106	Airport Improvement Program

Dollar threshold used to distinguish between Type A and Type B programs: \$ 750,000

Auditee qualified as low-risk auditee?

 yes X no

Section II—Financial Statement Findings

The following findings relating to the internal control structure are required to be reported by GAGAS.

Finding #2023-001 – General Ledger Reconciliation

Criteria: The City’s management is responsible for the presentation of financial statements in accordance with generally accepted accounting principles.

Condition: The City’s financial records presented for the audit required material adjustments to bring them in conformity with generally accepted accounting principles. In the preliminary trial balances provided for the audit, we noted that numerous balance sheet accounts were not reconciled through the general ledger.

Cause: During the fiscal year ending June 30, 2023, there was additional employee turnover in key positions with several remaining unfilled. The City contracted with an outside consultant to assist with the reconciliation of the various general ledger balances. The recent conversion to a new accounting software continued to limit the finance personnel’s abilities to reconcile and adjust balances.

Effect or potential effect: The controls over the financial activities of the City are weakened. Failure to reconcile the activity throughout the year increases the risk that errors may occur and remain undetected. In addition, the City Council, City Manager, and department heads are making financial decisions based upon inaccurate financial information.

Identification as a repeating finding: This was reported as Finding #2022-001 in the June 30, 2022 financial statements.

Recommendation: The City needs to take immediate steps to improve its internal accounting to ensure that balances are reconciled in a timely manner. We recommend that all balance sheet accounts be reconciled on a monthly basis to detect any errors or omissions in a timely fashion. Any discrepancies should be identified and properly adjusted. We further recommend that the City’s finance office personnel review the quantity and nature of the adjustments proposed by the auditors for the purpose of eliminating the need for such adjustments in the future.

Views of Responsible Officials: The City’s management concurs with this audit finding.

Finding #2023-002 – Internal Controls over Federal Grant Reporting

Summary: As reported in Section III below, we noted that the controls over the financial activities of the City’s grants are weakened. The preliminary federal grant activity presented for the audit was materially misstated and required material adjustments to bring them in conformity with generally accepted accounting principles. In addition, such adjustments impacted amounts to be reported on the schedule of expenditures of federal awards. See the information contained in Section III for additional information on this finding.

Section III—Federal Award Findings and Questioned Costs

The following findings and questioned costs are required to be reported under 2 CFR 200.516(a).

Finding #2023-002 – Internal Controls over Federal Grant Reporting

Department of Housing and Urban Development

ALN 14.228 – Community Development Block Grants / State’s Program and Non-Entitlement Grants in Hawaii

Pass Through Payments from the New Hampshire Community Development Finance Authority

Environmental Protection Agency

ALN 20.106 – Airport Improvement Program

Pass Through Payments from the New Hampshire Department of Transportation

Criteria or specific requirement: The City’s management is responsible for the presentation of financial statements in accordance with generally accepted accounting principles. In addition, the City’s management is responsible for the preparation of the schedule of expenditures of federal awards.

Condition: The City received a significant amount of grant funding during the year ending June 30, 2023 including federal funds that were received in advance. Material audit adjustments were required impacting both grant receivables and grant revenue. In addition, previously recognized grant expenditures were adjusted from the current year activity.

Cause: The grant activity was primarily recorded on the cash basis in the general ledger, which is not consistent with generally accepted accounting principles.

Effect or potential effect: The controls over the financial activities of the City’s grants are weakened. The preliminary federal grant activity was materially misstated within the basic financial statements and in the Schedule of Expenditures of Federal Awards. The failure to reconcile the grant activity through the general ledger increases the risk that errors may occur and remain undetected.

Identification as a repeating finding: This was reported as Finding #2022-002 in the June 30, 2022 financial statements.

Questioned costs: None.

Context: The City expended in excess of \$750,000 in federal awards and assistance during the year ending June 30, 2023 requiring a compliance audit in accordance with the Uniform Guidance. The recognition of expenditures and the applicable federal revenue in the general ledger was not properly reconciled at the individual grant level.

Recommendation: We recommend that grant activity be reconciled on a per grant basis. Grant awards are for a specified amount; therefore, grant revenue should agree with the corresponding grant expenditures. We further recommend that all federal award expenditures be reported on the Schedule of Expenditures of Federal Awards in accordance with the Uniform Guidance.

Views of Responsible Officials: The City’s management concurs with this audit finding.

**City of Claremont, New Hampshire
Summary Schedule of Prior Audit Findings
For the Year Ended June 30, 2023**

FINANCIAL STATEMENT FINDING:

Finding #2022-001 – General Ledger Reconciliation

Criteria: The City’s management is responsible for the presentation of financial statements in accordance with generally accepted accounting principles.

Condition: The City’s financial records presented for the audit required material adjustments to bring them in conformity with generally accepted accounting principles. Fieldwork for the City’s audit began in October 2022; however, the preliminary trial balances provided to us were not in “auditable” condition.

Cause: During the fiscal year ending June 30, 2022, there was employee turnover in key positions with several remaining unfilled. Additionally, there was a conversion to a new accounting software at year end resulting in a learning curve in its usage. The employee turnover and software conversion contributed to the reconciliation process not being completed.

Effect or potential effect: The controls over the financial activities of the City are weakened. Failure to reconcile the activity throughout the year increases the risk that errors may occur and remain undetected. In addition, the City Council, City Manager, and department heads are making financial decisions based upon inaccurate financial information.

Recommendation: The City needs to take immediate steps to improve its internal accounting to ensure that balances are reconciled in a timely manner. We recommend that all balance sheet accounts be reconciled on a monthly basis to detect any errors or omissions in a timely fashion. Any discrepancies should be identified and properly adjusted. We further recommend that the City’s finance office personnel review the quantity and nature of the adjustments proposed by the auditors for the purpose of eliminating the need for such adjustments in the future.

Status of Finding: This finding has not been corrected. See the current year finding #2023-001.

FEDERAL AWARD FINDING:

Finding #2022-002 – Internal Controls over Federal Grant Reporting

**Department of Housing and Urban Development
ALN 14.228 – Community Development Block Grants / State’s Program and Non-Entitlement
Grants in Hawaii
Pass Through Payments from the New Hampshire Community Development Finance Authority**

**Environmental Protection Agency
ALN 66.468 – Drinking Water State Revolving Fund Cluster
Pass Through Payments from the New Hampshire Department of Environmental Services**

Criteria or specific requirement: The City's management is responsible for the presentation of financial statements in accordance with generally accepted accounting principles. In addition, the City's management is responsible for the preparation of the schedule of expenditures of federal awards.

Condition: The City received a significant amount of grant funding during the year ending June 30, 2022 including federal funds that were received in advance. Material audit adjustments were required to increase grant receivables and grant revenue. In addition, previously recognized grant expenditures were removed from the current year activity.

Cause: The grant activity was primarily recorded on the cash basis in the general ledger, which is not consistent with generally accepted accounting principles.

Effect or potential effect: The controls over the financial activities of the City's grants are weakened. The preliminary federal grant activity was materially misstated within the basic financial statements and in the Schedule of Expenditures of Federal Awards. The failure to reconcile the grant activity increases the risk that errors may occur and remain undetected.

Recommendation: We recommend that grant activity be reconciled on a per grant basis. Grant awards are for a specified amount; therefore, grant revenue should agree with the corresponding grant expenditures. We further recommend that all federal award expenditures be reported on the Schedule of Expenditures of Federal Awards in accordance with the Uniform Guidance.

Status of Finding: This finding has not been corrected. See the current year finding #2023-002.



Finance Director's Office
58 Opera House Square,
Claremont, New Hampshire 03743
Ph: (603) 542-7000
Fax: (603) 542-7014
Email: nbates@claremontnh.com
www.claremontnh.com

Corrective Action Plan Year Ended June 30, 2023

Contact Person: Nancy Bates, Finance Director

Finding #2023-001 – General Ledger Reconciliation

Description of Finding: The City's financial records presented for the audit required material adjustments to bring them in conformity with generally accepted accounting principles. Fieldwork for the City's audit began in November 2023; however, the preliminary trial balances provided to us were not in "auditable" condition.

Statement of Concurrence or Nonconcurrence: Concurrence

Planned Correction Action: After the 2023 audit field work, a new Finance Director was hired in March 2024 to replace the outgoing employee. A new City Treasurer was hired in June 2024 to replace the outgoing employee. The new staff is continuing with the reconciliation process started by the previous Finance Director and is currently in the process of creating a checklist for balancing procedures with a schedule of when they need to be completed. The Finance Director will review the bank reconciliations and balance sheets monthly with the Treasurer. The Finance Director will be reviewing and updating policies throughout the year to streamline processes.

Anticipated Completion Date: 06/30/2025

Finding #2023-002 – Internal Controls over Federal Grant Reporting

Description of Finding: The City received a significant amount of grant funding during the year ending June 30, 2023, including federal funds that were received in advance. Material audit adjustments were required to increase grant receivables, record an advance from grantors, and increase grant revenue. The grant activity was primarily recorded on the cash basis in the general ledger, which is not consistent with generally accepted accounting principles.

Statement of Concurrence or Nonconcurrence: Concurrence



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Planned Correction Action: A new Finance Director was hired in March 2024 to replace the outgoing employee. A new City Treasurer was hired in June 2024 to replace the outgoing employee. The Finance Director has met with Department Heads and the Treasurer to review grants. We are balancing the current grants the best we can with the information provided. Starting with new grants and projects we are assigning project numbers to isolate information for balancing purposes. Training on the BS&A software, with specific attention to grants and projects, has been scheduled for December 2024. We are also creating receivable invoices when requesting grant reimbursement to track the funds received. We are setting up a schedule for grant review quarterly. A consultant specializing in State and Federal Grant reporting has been engaged to assist the Finance Department in addressing any weakness in grant accounting identified by the auditor. We will be preparing a grant policy for the council to review and adopt in the coming months.

Anticipated Completion Date: 06/30/2025



City Manager's Office
58 Opera House Square
Claremont, New Hampshire 03743
Ph: (603) 542-7002
Fax: (603) 542-7014
Email: citymanager@claremontnh.com
www.claremontnh.com

Memorandum

To: Honorable Mayor, Assistant Mayor, and City Council

From: Yoshi Manale, City Manager

Date: 2024-12-02

Re: Municipal Parking, Water St/United Way St/ Crescent St

With the pending purchase of the State's building at 17 Water Street, there is an opportunity to purchase the currently 20 leased spots across from the building on Water St, United Way St, and Crescent St. The current assessed value of those spots is \$46,900, and the city has negotiated a price of \$45,000. The owner receives \$10,000 yearly from the state to lease the spots. The city would make these spots available to the future tenants of 17 Water St and alleviate some of the concerns about parking in the area.

The goal would be to consider making the United Way St one-way and potentially converting the spots into angled parking, allowing additional parallel spots along the new one-way road. The city currently has 18 public and 3 handicap spots on Water St/Crescent St, a further ten regular and 2 handicap spots with the pending purchase of the State's building and potential for 12-15 more spots that could be created with more efficient lining on Crescent and United Way St. The Common Man and Red River currently have leases with the city for 8 spots.

Building a new parking deck costs between \$21,000 and \$30,000 per parking space. Purchasing these 20 spots would cost \$2,500 per space. Additional maintenance and plowing costs would be minimal as the city currently maintains and plows spaces on Water St.

Therefore, the council is requested to authorize the city manager to purchase lots #120-26 and #120-25, located on Crescent and Water St. Funds for acquiring these two lots would come from the Capital Reserve Fund for the Construction, Reconstruction or Acquisition of City-Owned Facilities account, which currently has a balance of \$76,697.39. This account is for the acquisition and maintenance of city properties.

RESOLUTION 2025-28

AUTHORIZATION TO PURCHASE – PARKING LOT MAP LOT 120-25 AND 120-26

WHEREAS the City Manager, with prior City Council approval, extended a purchase offer for property at 17 Water Street on behalf of the City; and

WHEREAS the State of New Hampshire has accepted said offer for property located at 17 Water Street, currently owned by the State; and

WHEREAS there is an opportunity to purchase lots #120-25 and #120-26, located on Crescent and Water Streets, formerly leased by the State to provide parking for the 17 Water Street property;

NOW THEREFORE BE IT RESOLVED that the City Manager or his designees are hereby authorized to purchase said lots for \$45,000.00; and

BE IT FURTHER RESOLVED that the purchase of said lots is to be paid for from the Construction, Reconstruction, or Acquisition of City Property Capital Reserve, established by resolution 2021-7 for said purpose. *Majority vote required*)

Dated this 11th day of December, 2024 the City of Claremont, County of Sullivan, State of New Hampshire.

AYES _____

ABSENT _____

NAYS _____

ABSTAIN _____

CERTIFICATION

I, Julia A. Bizzarro, the undersigned officer, hereby certify that the foregoing Resolution was adopted by the City Council of the City of Claremont, New Hampshire, at a meeting, duly noticed, and held on December 11, 2024.

Julia A. Bizzarro, Clerk to the Council

Claremont Fire Department	Title: Taxiway Alpha Phase II Grant Acceptance
MEMO	Section: Claremont Municipal Airport
	Guide #:
	Effective:
	Revised:
	Approved by:

Respected Manager, Honorable Mayor, and City Councilors,

I am seeking your approval to accept the Phase II grant for the construction of Taxiway Alpha at the Claremont Municipal Airport.

To provide context, the Claremont City Council previously approved the acceptance of this grant on December 26, 2022, under Resolution 2023-14. However, the project timeline was postponed due to delays in releasing funds to the state. This delay required the project to be re-bid.

As a result of the re-bidding process, the City's 5% matching contribution is now \$22,632, which represents an increase of \$2,071 from the match amount approved in the previous resolution. The city's total match of 5% for \$22,632 will be allocated from the airport special reserve account.

The acceptance of this grant funding is necessary to proceed with Phase II of the project and will ensure the continued development and operational improvements at the Claremont Municipal Airport.

I am humbly asking for your approval of this grant.

James Chamberlain

James Chamberlain

Chief of Department/Airport Manager

RESOLUTION 2025-29

Taxi-way Alpha Grant Phase II Grant Approval

WHEREAS, the Claremont City Council previously approved the acceptance of the Phase II grant for Taxiway Alpha construction at the Claremont Municipal Airport on December 26, 2022, through Resolution 2023-14; and

WHEREAS, the funding for the grant was delayed due to the release of funds to the state, causing a postponement in the project timeline; and

WHEREAS, the delay required the project to be re-bid, resulting in a total project cost of \$407,361, of which the City of Claremont is responsible for a 5% match, amounting to \$22,632; and

WHEREAS, the City's matching contribution will be funded through the airport's special reserve account; with no impact on the tax rate; and

WHEREAS, the acceptance of this grant funding is necessary to proceed with Phase II of the project and ensure the continued development and operational improvements at the Claremont Municipal Airport;

NOW, THEREFORE, BE IT RESOLVED The City Council hereby approves the acceptance of the Phase II grant funding for the construction of Taxiway Alpha at the Claremont Municipal Airport. The City Council authorizes the allocation of \$22,632 from the airport's special reserve account to meet the City's 5% matching requirement.

Dated this 11th day of December, 2024 the City of Claremont, County of Sullivan, State of New Hampshire.

AYES _____

ABSENT _____

NAYS _____

ABSTAIN _____

CERTIFICATION

I, Julia A. Bizzarro, the undersigned officer, hereby certify that the foregoing Resolution was adopted by the City Council of the City of Claremont, New Hampshire, at a meeting, duly noticed, and held on December 11, 2024.

Julia A. Bizzarro, Clerk to the Council



Central Collections Office
58 Opera House Square
Claremont, New Hampshire 03743
Ph: (603) 542-7003
Fax: (603) 542-7038
Email: cityclerk@claremontnh.com
www.claremontnh.com

Memorandum

To: Yoshi Manale, City Manager
From: Gwen Melcher, City Clerk
Date: 12-6-2024
Re: 2024 Rural and Nonmetro Election Infrastructure Grant

Attached is Resolution 2025-30, for the acceptance of a \$20,000 grant.

The City of Claremont was awarded this grant from Center for Tech and Civic Life to help support our work organizing and maintaining secure elections. This grant will be used to purchase new voting booths and related supplies.

Resolution 2025-30

Rural and Nonmetro Election Infrastructure Grant

BE IT RESOLVED by the Claremont City Council, after a public hearing, duly noticed, that

WHEREAS, the Claremont City Clerk's Office has been awarded a Center for Tech and Civic Life 2024 Rural and Nonmetro Election Infrastructure Grant in the amount of \$20,000 to support our nonpartisan work planning and operationalizing reliable and secure election administration; and

WHEREAS, the City of Claremont intends to accept and transfer these grant funds to the appropriate department account for their designated use, with a total budget of \$20,000, and

WHEREAS, this grant acceptance and transfer will have no cost impact on the tax rate; and

WHEREAS, this donation will greatly benefit the City of Claremont and its Elections Department by enhancing the department's operational capabilities; and

NOW, THEREFORE BE IT RSOLVED, that the City Council hereby accepts the Center for Tech and Civic Life 2024 Rural and Nonmetro Election Infrastructure Grant in the amount of \$20,000, resulting in no cost to the tax rate; and

BE IT FURTHER RESOLVED, that the City Manager, or their designees, are hereby authorized to undertake all actions and execute all documents as may be required to implement this resolution. *(2/3 vote required)*

Dated this 11th day of December, 2024, the City of Claremont, County of Sullivan, State of New Hampshire.

AYES	_____	ABSENT	_____
NAYS	_____	ABSTAIN	_____

CERTIFICATION

I, Julia A. Bizzarro, the undersigned officer, certify that the foregoing Resolution was adopted by the City Council of Claremont, New Hampshire, at a meeting, duly noticed, and held on December 11, 2024.

Julia A. Bizzarro
Clerk to the Council



Planning and Development Department
14 North Street
Claremont, New Hampshire 03743
Ph: (603) 504-0341
Fax: (603) 542-7033
Email: aford@claremontnh.com
www.claremontnh.com

Memorandum

To: City Manager, Mayor and City Council
From: Austin Ford, City Planner
Date: December 4, 2024
Subject: RSA 79E Application for 174 Broad Street

RECOMMENDATION

Accept this report and proceed with a noticed public hearing.

79- E APPLICATIONS PREVIOUSLY APPROVED

- 29 Water Street, Monadnock Mills Landowner LLC
- 40 Union Street, Deglace LLC
- 54-62 Pleasant Street, Goddard Block LTD Partnership
- 131 Broad Street, 131 Broad Street LLC
- 13 Water Street, Jeff & Sarah Barrette

BACKGROUND

On July 22, 2015, the City Council approved Resolution #2016-11, which adopted the provisions of NH RSA 79-E "Community Revitalization Tax Relief Incentive." The City Council amended the Resolution on September 12, 2018 to expand the eligible area from the Historic District to City Center Zoning District. On August 26, 2020 the City Council adopted Resolution #2021-13 which expanded the eligible incentive period by 2 years for new residential units. The program is designed to enhance downtown and city centers by providing property tax incentives for the rehabilitation, or in some instances, replacement, of qualifying real estate improvement projects.

Terry Predzimirski has applied seeking RSA 79-E relief for residential property located at 174 Broad Street.

The building was built prior to 1850 and is located on a .50-acre parcel. It is in the professional residential district (PR) but not in the historic district. The property is currently assessed at \$460,900.

The property previously consisted of mixed use with a professional business and one apartment. The applicant received Zoning Board and Planning Board approval to turn it into two residential units with a gross area of approximately 12,660 +/- square feet and a living area of approximately 5,890 +/- square feet.



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On July 6, 2023, the Zoning Board of Adjustment approved an area variance from the residential density requirements in Sec. 22-389 of the Zoning Ordinance to permit conversion of the building at 174 Broad Street to a 5-unit residential building.

On December 11, 2023, the Planning Board issued site plan approval for the change of use from office space and a single dwelling unit to four dwelling units and a four-room tourist home, as detailed in the site plan entitled, "Site Plan Prepared for 1742 Broadmain Associates, LLC, 174 Broad Street" by Wayne McCutcheon, dated November 14, 2023.

The applicant conducted initial renovations in Summer 2024 with an estimated total cost of \$200,000.

The applicant plans to invest \$75,000 to do the necessary remaining repairs to comply with Planning Board approval. This would give needed housing and tourist options for visitors seeing our City.

DISCUSSION

Overview: Terry Predzimirski has applied for RSA 79-E Community Tax Relief Incentive to support renovation of 174 Broad Street.

A copy of the application and the tax card are attached.

In order for the City to approve this application, the City Council must determine whether the structure at issue is a qualifying structure, whether any proposed rehabilitation qualifies as substantial rehabilitation, and whether there is a public benefit to granting the requested tax relief and, if so, for what duration. The City Council may grant tax relief provided the following as set forth in RSA 79-E4, IV are met:

1. The governing body finds a public benefit under RSA 79-E:7.
2. The specific public benefit is preserved through a covenant under RSA 79-E:8; and
3. The governing body finds that the proposed use is consistent with the municipality's master plan or development regulations.

Public Benefit: In order to approve this application, the City Council must determine that the development project will create one or more "public benefits" as set forth in RSA 79-E:7, as follows:

- I. It enhances the economic vitality of the downtown;
- II. It enhances and improves a structure that is culturally or historically important on a local, regional, state, or national level, either independently or within the context of an historic district, town center, or village center in which the building is located;



Planning and Development Department

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- II-a. It promotes the preservation and reuse of existing building stock throughout a municipality by the rehabilitation of historic structures, thereby conserving the embodied energy in accordance with energy efficiency guidelines established by the U.S. Secretary of the Interior's Standards for Rehabilitation.
- III. It promotes development of municipal centers, providing for efficiency, safety, and a greater sense of community, consistent with RSA 9-B (New Hampshire's "Smart Growth" statute); or
- IV. It increases residential housing in urban or town centers.

The project only needs to satisfy one of these criteria to be eligible for consideration.

Other Considerations: In addition to those requirements mandated by the Statute, the City Council should also consider the following when evaluating this application:

1. The Claremont threshold for 79-E is an investment of \$75,000 or 25% of pre-renovation assessed value, whichever is less. The current assessed value of the qualifying structure at 174 Broad Street is \$460,900 and the applicant anticipates an investment of \$75,000. This does not include \$200,000 +/- that was put into the first part of renovation.
2. The proposal is consistent with the 2017 Master Plan which supports enhancement of existing City neighborhoods & downtown districts; rehabilitation of existing housing stock; municipal advocacy for good quality housing;
3. The application requests 5 years of tax relief;



PLANNING AND DEVELOPMENT

14 NORTH STREET

CLAREMONT, NH 03743

PH: (603) 542-7008 FAX: (603) 542-7033

**APPLICATION FOR
COMMUNITY REVITALIZATION TAX RELIEF PROGRAM (RSA 79-E)
Instructions to the Applicant**

The following documents contain everything you need to complete your application for tax relief to revitalize your property. Please read everything carefully. The application materials are based upon the requirements set forth by N.H. RSA Chapter 79-E and Claremont City Council Resolution 2016-11, adopted July 22, 2015. You will need to fill out the application, provide required documentation, take part in a public hearing before the City Council and execute a covenant with the City of Claremont, which will be recorded in the Sullivan County Registry of Deeds. To the extent that may be required by your specific application, you may also need to submit your proposal to the Planning Board, the Zoning Board of Adjustment and/or the Historic District Commission.

The Planning and Development Department will be available to respond to questions the applicant(s) may have regarding the application form, drawings and plans. Legal assistance should be obtained from the applicant's personal attorney.

If you have any questions with the application, the process, or what to expect, please call Nancy Merrill, Director of Planning and Development at 603-504-0340 or email: nmerrill@claremontnh.com.

Office Use Only

Date Application Submitted: 11/13/2024 Received by: Amanda

Application Fee Received on: 11/13/2024 by check

Council Action: _____

COMMUNITY REVITALIZATION TAX RELIEF PROGRAM (RSA 79-E)
(To be completed by the Applicant)

Property/Building Information

Building Name (if any):

Property/Building Address: 174 Broad St.

Eligible Zoning District: PR Tax Map: 120 Lot: 120 Registry Book/Page: 2255/717

Contact throughout this application process will be made through the applicant listed below.

The property owner may designate an agent as the coordinator for the project. This person (the applicant) shall attend public hearings, will receive comments, recommendations, staff reports, and will communicate all case information to the other parties as required.

The Property Owner may act as the Applicant. If so, list under Applicant's Name, "Owner", and complete owner's information as requested.

Applicant's Name <u>Terry J. Predzimirski</u> Address: <u>174 Broad St.</u> City: <u>Claremont</u> State: <u>NH</u> Zip: <u>03743</u> Phone: <u>203-299-6850</u> Fax: _____ E-mail: <u>terrydodi@aol.com</u>	Owner's Name <u>Terry J. Predzimirski</u> Address: <u>174 Broad St.</u> City: <u>Claremont</u> State: <u>N.H</u> Zip: <u>03743</u> Phone: _____ 203-299-6850 Fax: _____ E-mail: <u>terrydodi@aol.com</u>
---	--

Existing Property/Building Information:

Existing Uses (describe current use, size, and number of employees):

Commercial/Office use with an attached residential Apt.

Is the building eligible for listing or listed individually on the State or National Register of Historic Places or located within a locally designated, State, or National Register Historic district? Yes ☐ No ☒

If yes, provide a copy of the approved designation by the State or National Register of the building or the district.

Is the building located within and is it significant to locally designated historic district? Yes ☐ No ☒

Gross Square Footage of Building: ~~5890~~ 12,660 Year Building was Built: Before 1850

Gross Square Footage of Parcel 5,890

Area of Parcel to be impacted: 0.50 acres

Square footage of building to impacted: 5,890

Is the project in an existing Tax Increment Finance (TIF) District? Yes ☒ No

Total assessed value of parcel as of date of application:

Assessed value of building 398,300

Assessed value of land: 62,600 > \$460,900 total

Project Description

Proposed Uses (describe use, size, and number of employees):

Is this a change of use associated with this project? ☒ Yes ☐ No To all residential

Will the project include new residential units? ☒ Yes ☐ No

If yes, please describe: Existing office to change to all commercial

Will the project include new affordable housing units? Yes ☐ No ☒

Has an abatement application been filed or has an abatement been awarded on this property within the past year?
Yes ☐ No ☒

Will any state or federal grants or low income subsidies or any other tax credits be used with this project?
Yes ☐ No ☒

If yes, describe and detail the amount of the aid and terms of repayment:

Number of years of requested tax relief:

For any request for tax relief for up to an additional four (4) years for historic buildings, the project described must meet the Secretary of Interior's Standards for Rehabilitation.

Replacement of Qualifying Structure

Does the project involve the replacement of a qualifying structure? Yes ☐ No ☒

1. A New Hampshire division of historical resources individual resource inventory form, prepared by a qualified architectural historian.
2. A letter from the Claremont Historic District Commission that identifies any and all historical, cultural, and architectural value of the structure or structures that are proposed to be replaced and the property on which those structures are located.

Public Benefit (RSA 79:E -7)

In order to qualify for tax relief under this program, the proposed substantial rehabilitation must provide at least one of the public benefits listed below. Any proposed replacement must provide one or more of the public benefits listed below to a greater degree than would a substantial rehabilitation of the same qualifying structure.

Does the project provide the following public benefits? (Check all that apply)

Enhances the economic vitality of the designated area. ☒ Yes ☐ No

If yes, please describe: Improves the neighborhood by renovating a home with aged electrical, plumbing and other antiquated systems.
The significant improvements will in all respects make this building luxury Apes in contrast to the surrounding rental housing inventory.

Enhances and improves a culturally or historically important structure. ☒ Yes ☐ No

If yes, please describe: Maintain the Historicity of the Broad St. corridor into town of many residences with significant architecture.

Promotes development of the designated area, providing for efficiency, safety, and a greater sense of community, consistent with RSA 9-B? ☒ Yes ☐ No

If yes, please describe:

Increases residential housing in urban or town centers? ☒ Yes ☐ No

If yes, Please describe: 2 units initially, 2 more units to follow on another permit.

Promotes preservation and reuse of existing building stock by rehabilitation of historic structures? ☒ Yes ☐ No

If yes, Please describe: Building is historic age wise, but not in the town's Historic District.

Other issues and matters applicant deems relevant to this request? ☐ Yes ☐ No

If yes, Please describe:

Initial Renovation - Phase 1

Substantial Rehabilitation

Describe the work to be done and estimated costs.

1. Attach additional sheets if necessary and any written construction estimates.
2. Attach any project narratives, plot plans, building plans, sketches, renderings, or photographs that will help explain this application.

Structural (both exterior and interior):

Estimated Cost:

Electrical:

Upgraded 95% of Electrical Wiring throughout 1st & 2nd floor. New wiring for 2 kitchens and five (5) bathrooms.

\$51,000

Estimated Cost:

Plumbing/Heating:

Created 2 new bathrooms, each Shower, Vanity & Toilet.
Upgraded 3 other baths ~~area~~ by adding showers, vanities and new toilets.

\$18,000

Added on Plumbing needed for 2 kitchens.
Added water lines and drains for 2 water/dryer set up.

Estimated Cost:

Mechanical:

Estimated Cost:

Other:

Roofing, Exterior/Interior painting, Wood Floor re finishing, Shower/bath/Plumbing fixtures, Kitchen cabinets for two kitchens, bath vanities, Carpentry/trim work, flooring/installation

\$131,000

Estimated Cost:

Total Estimated Project Cost:

\$275,000 (Phase 1 & 2)

Expected Project Start Date:

Summer 2024

Expected Project Completion Date:

Summer 2025

2nd Phase Renovation

2nd Permit

\$75,000

Optional attachments to this application include the following:

Sketches, renderings, photographs, plot plans, building plans, elevations, construction details/costs not included in application, and multi-year cash flow pro forma showing all revenues and expenditures for the project, which might help explain the project.

Applicant/Owner Signature

To qualify for this tax relief incentive, the cost of the project must be at least 25% of the pre-rehabilitation assessed value or \$75,000, whichever is less.

I/we certify the estimated costs are reasonable and the costs of the project meet the above requirement.

Initial here:   _____

I/We understand that failure to meet this threshold or the listing of unreasonable construction costs will result in the denial of the application and forfeiture of the application fee.

Initial here:   _____

Note: The application for tax relief shall not be deemed to be complete and the governing body shall not schedule the public hearing on the application as required under RSA 79-E:4, II until the inventory form and letter required by RSA 79-E:4, I-a, and all other required information, have been submitted, if required

Initial here:   _____

IMPORTANT

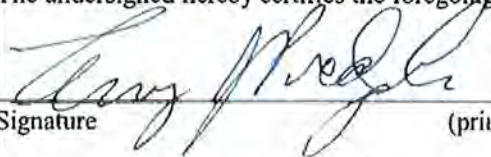
PER RSA 79-E:13(II), THE BASE OR "ORIGINAL" ASSESSED VALUE FOR ANY TAX RELIEF PERIOD IS ONLY SET AFTER THE FOLLOWING TWO CONDITIONS ARE MET:

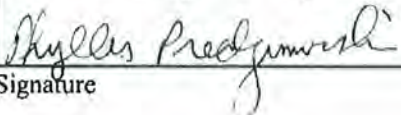
1. APPROVAL BY THE CITY COUNCIL AND;
2. THE APPLICANT'S ENTERING INTO A COVENANT WITH THE CITY OF CLAREMONT TO PROTECT THE PUBLIC BENEFIT.

THEREFORE, THE APPLICANT AND/OR PROPERTY OWNER SHALL NOT COMMENCE ANY OF THE IMPROVEMENTS INCLUDED IN THIS APPLICATION UNTIL SUCH TIME AS HE/SHE HAS SECURED THE ABOVE. THIS PROHIBITION SHALL INCLUDE ANY DEMOLITION TO AN EXISTING STRUCTURE.

Affidavit

I/we have read and understand the RSA 79-E, Community Revitalization Tax Relief Incentive and Claremont City Council Resolution 2016-11 (see attached) and am/are aware that this will be a public process including a public hearing to be held to discuss the merits of this application and the subsequent need to grant a covenant in the deed to the property to the City and pay all reasonable expenses associated with the drafting/recording of the covenant. The undersigned hereby certifies the foregoing information is true and correct;

 Terry J. Predzinski 11-13-24
Signature (printed name) Date

 Phyllis Predzinski 11-13-24
Signature (printed name) Date

Signature (printed name) Date

Signature (printed name) Date

Signature (printed name) Date

State Use 306
Print Date 11-13-2024 3:56:57 P

2403
CLAREMONT, NH
VISION

Property Location 174 BROAD ST
Vision ID 3558

Account # 17500

Map ID 120 / 120 /

Bldg # 1

Bldg Name
Sec # 1 of 1

Card # 1 of 1

State Use 306
Print Date 11-13-2024 3:56:58 P

CONSTRUCTION DETAIL			CONSTRUCTION DETAIL (CONTINUED)		
Element	Cd	Description	Element	Cd	Description
Style:	80	Stores/Apt			
Model	94	Com/Ind			
Grade	6	C+			
Stories:	2.00				
Occupancy	2.00				
Exterior Wall 1	25	Vinyl			
Exterior Wall 2	20	Brick			
Roof Structure	03	Gable/Hip			
Roof Cover	11	Slate			
Interior Wall 1	03	Plastered			
Interior Wall 2	05	Sheetrock			
Interior Floor 1	14	Carpet			
Interior Floor 2	12	Hardwood			
Heating Fuel	02	Oil			
Heating Type	05	Hot Water			
AC Type	06	Partial A/C			
Bldg Use	306	Office/Res MDL-94			
Total Rooms					
Total Bedrms	00				
Total Baths	0				
Heat/AC	02	Heat/AC Split			
Frame Type	02	Wood Frame			
Baths/Plumbing	02	Average			
Ceiling/Wall	06	Ceil & Walls			
Rooms/Prtns	02	Average			
Wall Height	8.00				
% Conn Wall	0.00				
1st Floor Use:	306				

MIXED USE		
Code	Description	Percentage
306	Office/Res MDL-94	100
		0
		0

COST / MARKET VALUATION		
RCN		742,635
Year Built	1850	
Effective Year Built	1976	
Depreciation Code	G	
Remodel Rating		
Year Remodeled		
Depreciation %	47	
Functional Obsol	0	
External Obsol	0	
Trend Factor	1	
Condition		
Condition %		
Percent Good	53	
RCNLD		393,600
Dep % Ovr		
Dep Ovr Comment		
Misc Imp Ovr		
Misc Imp Ovr Comment		
Cost to Cure Ovr		
Cost to Cure Ovr Comment		

OB - OUTBUILDING & YARD ITEMS(L) / XF - BUILDING EXTRA FEATURES(B)									
Code	Description	L/B	Units	Unit Price	Yr Blt	Cond. Cd	% Good	Grade	Appr. Value
FPL1	Brick Fireplac	B	3	2700.00	1972		50		4,100
FPO	Fpl Extra Open	B	1	1100.00	1972		53		600

BUILDING SUB-AREA SUMMARY SECTION						
Code	Description	Living Area	Floor Area	Eff Area	Unit Cost	Undeprec Value
BAS	First Floor	2,945	2,945	2,945	99.92	294,276
FOP	Open Porch	0	580	116	19.98	11,591
FUS	Upper Story, Finished	2,945	2,945	2,945	99.92	294,276
UAT	Attic, Unfinished	0	2,897	290	10.00	28,978
UBM	Basement, Unfinished	0	2,953	1,034	34.99	103,321
UEP	Porch, Enclosed, Unfinished	0	340	102	29.98	10,192
Ttl Gross Liv / Lease Area		5,890	12,660	7,432		742,634





**PLANNING AND DEVELOPMENT
ZONING BOARD OF ADJUSTMENT**

14 NORTH STREET

CLAREMONT, NH 03743

PH: (603) 542-7008 FAX: (603) 542-7033

EMAIL: cityplanner@claremontnh.com

**NOTICE OF DECISION
ZONING BOARD OF ADJUSTMENT**

RE: Case No. ZO 2023-00012: Application for a Variance #ZO 2023-00012
DATE: July 6, 2023

Property Owner: 1742 Broadmain Associates LLC
Applicant: Terry Predzimirski
Agent: None
Property Address: 174 Broad Street
Parcel Tax ID: Tax Map 120, Lot 120
Zoning: Professional Residential (PR)

The Claremont Zoning Board of Adjustment on **July 5, 2023**, after public hearing duly noticed, completed its consideration of the above application for a variance from the residential density requirements in Sec 22-389 of the Claremont Zoning Ordinance to permit conversion of the building at 174 Broad Street from a business with one dwelling unit to a 5-unit residential building subject to the following conditions:

1. The applicant shall obtain and receive all necessary permits and approvals as determined by the local, state and federal governments including but not limited to site plan approval from the Claremont Planning Board.
2. Pursuant to Sec 22-389.7 of the zoning ordinance, any outside storage, trash receptacles or mechanical equipment shall be screened by appropriate year-round landscaping plants or fences.
3. No work is permitted to commence until such permits or appropriate statements of compliance with local, state and federal regulations are submitted and approved by the Planning and Development Department.
4. This variance shall be recorded in the chain of title.

deForest Bearse, City Planner, Planning & Development Dept.

In accordance with NH RSA 677:2, Motion for Rehearing, any party to the action or any person directly affected thereby may apply to the Zoning Board of Adjustment for a rehearing in a petition setting forth the reasons for a rehearing. Such a request shall be presented to the Zoning Board of Adjustment within 30 days from the date on which the Board made its decision. In accordance with 674:33, this special exception or variance shall be valid if exercised within 2 years from the date of final approval, provided that no such approval shall expire within 6 months after the resolution of a planning application filed in reliance upon the special exception or variance."

**NOTICE OF DECISION
CLAREMONT PLANNING BOARD**

RE: Case No. PL 2023-00019: Application for site plan approval
DATE: December 11, 2023

Property Owners: 1742 Broadmain Associates
Applicant: Terry Predzimirski
Agent: Wayne McCutcheon
Property Address: 174 Broad Street
Parcel Tax ID: Tax Map 120, Lot 120
Zoning: Professional Residential (PR)
Water Source: Municipal
Waste Disposal: Municipal

The Claremont Planning Board at its meeting of December 11, 2023 and after due public hearing duly noticed, completed its consideration of the application for a change of use of a building from office space and a single dwelling unit to four dwelling units and a 4-room tourist home on the property at 174 Broad Street, parcel 120 120, subject to the following conditions:

1. The property shall be developed in substantial conformance with the site plan entitled, "Site Plan Prepared for 1742 Broadmain Associates, LLC, 174 Broad Street", by Wayne McCutcheon, dated November 14, 2023 with no revisions and with the information provided in application #PL 2023-00019 and with testimony given during the public hearing for said case.
2. Details regarding the exterior lighting fixtures and any proposed signage shall be provided to the Planning & Development Department and made a part of this site plan. All signage shall comply with the current zoning ordinance.
3. The applicant shall obtain and receive all necessary permits and approvals to complete the work.
4. The building shall not be occupied until a Certificate of Occupancy has been approved by the Planning & Development Department staff.
5. No work is permitted to commence until such permits or appropriate statements of compliance with local, state and federal regulations are submitted and approved by the Planning and Development Department.
6. Failure to comply with all of the conditions of this decision shall constitute a violation of the Claremont Zoning Ordinance (Sec. 22-9(2)).
7. Two (2) copies of the final approved Site Plan - printed on mylar and in a form suitable for recording at the Sullivan County Registry of Deeds - shall be provided to the Claremont Planning and Development Department within six (6) months of the date of this approval.
8. No development of the project site is permitted to commence until the site plan has been recorded at the Sullivan County Registry of Deeds.

9. This Site Plan is valid for two (2) years from the date of approval. If no action is taken to exercise this Site Plan before the two-year deadline, the Site Plan is no longer valid and must be recertified through the Planning Board.


deForest Bearse, City Planner, Planning & Development Department

In accordance with NH RSA 676:5, III, any person aggrieved by any decision of the planning board related to subdivision or site plan review, based upon the terms of the zoning ordinance or upon any construction, interpretation or application of the zoning ordinance, which would be appealable to the board or adjustment if it had been made by the administrative officer, may appeal to the board of adjustment. In accordance with NH RSA 677:15, I, any person aggrieved by any decision of the Planning Board concerning a plat or subdivision plan may present to the Superior Court a petition setting forth that such decision is illegal or unreasonable in whole or in part and specifying the grounds upon which the same is claimed to be illegal or unreasonable. Such petition shall be presented to the court within 30 days after the date on which the board voted to approve the application, unless the planning board decision is appealable to the board of adjustment pursuant to RSA 676:5, III, in which case the provisions of RSA 677:15, I shall apply.